

CHAPTER 32.

An Act to consolidate the enactments relating
to National Health Insurance.

[14th July 1936.]

BE it enacted by the King's most Excellent Majesty,
by and with the advice and consent of the Lords
Spiritual and Temporal, and Commons, in this present
Parliament assembled, and by the authority of the same,
as follows :—

PART I.

INSURED PERSONS AND CONTRIBUTIONS.

Employed Contributors and Voluntary Contributors.

1. Subject to the provisions of this Act, all persons Insured persons.
of the age of sixteen and upwards who are employed
within the meaning of this Act shall be, and any
such persons who are not so employed but who
possess the qualifications hereinafter mentioned may
be, insured in manner provided in this Act, and all
persons so insured (in this Act referred to as "insured
persons") shall be entitled in the manner provided by,
and subject to the conditions contained in, this Act to
the benefits in respect of health insurance and prevention
of sickness conferred by this Act.

2.—(1) The persons employed within the meaning Employed contributors.
of this Act are all persons of either sex, whether
British subjects or not, who are engaged in any of the
employments specified in Part I of the First Schedule
to this Act, not being employments specified in Part II
of that Schedule :

Provided that, subject to the approval of the
Treasury, provision may be made by special order for
including among the persons employed within the
meaning of this Act any persons engaged in any of the
excepted employments specified in Part II of the said
Schedule, either unconditionally or subject to such
conditions as may be specified in the order.

PART I.
—cont.

(2) Notwithstanding anything in this or the preceding section, a person shall not be deemed to be an insured person by reason only that he is employed for the purposes of any business of which, within a period of two years immediately before the date when the employment began, he was the owner or part owner, if he is so employed by a relative, or by a company where the majority of the voting power or shares is in the hands of the employed person or his relatives or of the nominees of the employed person or his relatives.

In this subsection "relative" means the husband or wife, son or daughter, or son-in-law or daughter-in-law, of the employed person, or any of them, and "nominee" means a person who may be required to exercise his voting power on the directions of, or holds shares directly or indirectly on behalf of, the employed person or any of his relatives.

(3) Persons who are insured by reason of employment within the meaning of this Act are referred to as "employed contributors."

Voluntary
contributors,

3.—(1) The persons not employed within the meaning of this Act who are entitled to be insured persons (in this Act referred to as "voluntary contributors") include, subject to the provisions of this Act, all persons who—

- (a) having been employed within the meaning of this Act and insured as employed contributors for a period, whether continuous or not, of one hundred and four weeks or upwards, have ceased to be so employed;
- (b) having become insured as employed contributors while insured as voluntary contributors, have ceased to be employed within the meaning of this Act;
- (c) being male exempt persons as hereinafter defined in respect of whom not less than one hundred and four contributions have been paid, have ceased to be employed within the meaning of this Act;

and who give notice within the prescribed time and in the prescribed manner that they desire to become voluntary contributors.

(2) All persons engaged in any excepted employment as respects whom the Minister is satisfied that in the special circumstances they should be allowed to be voluntary contributors may become such contributors.

PART I.
—cont.

(3) A man who, not being insured for the purposes of the Widows', Orphans' and Old Age Contributory Pensions Act, 1936 (hereinafter called "the Contributory Pensions Act") marries a woman who is insured for the purposes of that Act and by or in respect of whom one hundred and four contributions have been paid under that Act, may, if he gives notice within the prescribed time after the marriage and in the prescribed manner, become a voluntary contributor.

26 Geo. 5. &
1 Edw. 8.
c. 33.

(4) If a person who has under paragraph (b) of subsection (1) of section twenty-two of the Contributory Pensions Act or the corresponding provision of any Act repealed by that Act become a voluntary contributor for the purposes of the Contributory Pensions Act returns to Great Britain, he shall, at any time while he continues to be insured under that Act, be entitled, on giving notice in that behalf in writing to the Minister, to become a voluntary contributor for the purposes of this Act.

(5) In calculating the period of one hundred and four weeks for the purposes of paragraph (a) of subsection (1) of this section, there shall—

(a) in the case of a person who, being a man, was immediately before he became insured as an employed contributor an exempt person or entitled to medical benefit by reason of having been an exempt person, be included the number of weeks for which contributions under this Act were paid in respect of him as an exempt person;

(b) in the case of a person who, within a period of twenty-one months before he became insured as an employed contributor, was employed in an employment which is an excepted employment by virtue of a certificate given under paragraph (b) or paragraph (c) or paragraph (d) of Part II of the First Schedule to this Act, not being an excepted employment by virtue of paragraph (k) of that Part of that Schedule, be included the

PART I.
—cont.

number of weeks for which contributions under the Contributory Pensions Act were paid in respect of him;

as if in either case such weeks had been weeks for which he was employed within the meaning of this Act and insured as an employed contributor.

Regulations
with respect
to voluntary
contri-
butors.

4.—(1) Regulations prescribing the time and the manner in which persons are to give notice that they desire to become voluntary contributors may make different provisions for different classes of contributors.

(2) Notwithstanding any limit of time prescribed in any such regulations in relation to the persons mentioned in paragraph (b) of subsection (1) of the last preceding section, any such person who has been continuously insured since the beginning of the year nineteen hundred and eighteen and was on or before the first day of January of that year a voluntary contributor, may become a voluntary contributor at any time before he ceases to be insured.

(3) Regulations may provide for determining the date as from which a person who has elected to become a voluntary contributor is to be treated for any purpose of this Act as a voluntary contributor.

Exempt Persons.

Exempt
persons.

5.—(1) Where any person employed within the meaning of this Act proves that he—

- (a) is in receipt of any pension or income of the annual value of twenty-six pounds or upwards not dependent on his personal exertions; or
- (b) is ordinarily and mainly dependent for his livelihood on some other person; or
- (c) is ordinarily and mainly dependent for his livelihood on the earnings derived by him from an occupation which is not employment within the meaning of this Act; or
- (d) has not been employed within the meaning of this Act for the prescribed number of weeks during any prescribed period;

he shall be entitled to a certificate exempting him from the liability to be insured under this Act.

(2) An insured person to whom a certificate of exemption is granted shall on the grant of the certificate cease to be an insured person.

PART I.
—cont.

(3) All claims for exemption shall be made to, and certificates of exemption granted by, the Minister in the prescribed manner and subject to the prescribed conditions, and, if it is so prescribed, any such claims may be made to, and any such certificates may be granted by, approved societies and insurance committees hereinafter mentioned.

(4) A person holding a certificate of exemption under this section is in this Act referred to as "an exempt person."

Period of Insurance.

6.—(1) Subject as hereinafter provided, where an insured person, being a member of an approved society, ceases to be employed within the meaning of this Act or to pay contributions as a voluntary contributor, as the case may be, he shall, during a period ending on the thirtieth day of June, or the thirty-first day of December, whichever next precedes the expiration of two years from the end of the contribution week in which he ceased to be so employed or in respect of which the last contribution paid by him as a voluntary contributor was paid (which period is hereinafter called a "free insurance period"), be treated for all purposes as if he were an employed contributor or a voluntary contributor, as the case may be, insured under this Act:

Provided that, if it is proved to the satisfaction of his approved society, or in the case of a dispute it is decided in manner provided by this Act, that when he ceased to be so employed or at the end of the contribution week in respect of which the last contribution paid by him as a voluntary contributor was paid he was incapable of work by reason of some specific disease or bodily or mental disablement of which notice is given within the prescribed time, the said two years shall be reckoned from the end of the contribution week in which he ceased to be so incapable of work.

(2) Notwithstanding anything in the preceding subsection, but subject to the provisions of subsection (3) of the next succeeding section, a person who becomes

PART I.
—cont.

employed within the meaning of this Act during a free insurance period shall not, on ceasing to be so employed, become entitled by reason thereof to a new free insurance period, unless since the beginning of the contribution half-year following that in which the first-mentioned period began he has been employed within the meaning of this Act during at least eight contribution weeks, whether continuous or not, in a period comprising two consecutive contribution half-years.

Extended
insurance
period.

7.—(1) Where immediately before the beginning of a free insurance period an insured person is an employed contributor and has been continuously insured for at least ten years, then, if within the prescribed time after the expiration of the free insurance period it is proved to the satisfaction of his approved society, or in the case of a dispute it is decided in manner provided by this Act, that throughout the period, except when he was employed within the meaning of this Act, he was either incapable of work by reason of some specific disease or bodily or mental disablement of which notice was given within the prescribed time, or was available for but unable to obtain employment within the meaning of this Act, he shall from the expiration of the free insurance period continue to be treated as insured for a further period of a year (hereinafter called an “extended insurance period”), and thereafter, if within the prescribed time after the expiration of each extended insurance period the like proof or decision is given with respect to that period, he shall continue to be treated as insured for a further extended insurance period :

Provided that, in respect of not more than twelve weeks of a free insurance period or in respect of not more than seven weeks of an extended insurance period in respect of which proof as aforesaid would otherwise be required for the purposes of this subsection, such proof shall not be necessary.

(2) A person shall not be entitled to sickness or disablement benefit during an extended insurance period unless and until, since the end of his free insurance period, he has been employed within the meaning of this Act during at least twenty-six contribution weeks, whether continuous or not, in a period comprising not more than four consecutive contribution

half-years, and twenty-six contributions have been paid by or in respect of him :

PART I.
—cont.

Provided that this subsection shall not apply to a person who is employed within the meaning of this Act at the beginning of an extended insurance period and would, if he had ceased to be so employed immediately before that date, have then been entitled to a new free insurance period.

(3) Notwithstanding anything in subsection (2) of the last preceding section—

- (a) a person who has been continuously employed within the meaning of this Act since before the beginning of an extended insurance period shall, on ceasing to be so employed, become entitled to a new free insurance period, if he would have become so entitled had he ceased to be so employed immediately before the beginning of that extended insurance period;
- (b) in any other case, a person who is so employed during an extended insurance period shall not, on ceasing to be so employed, become entitled by reason thereof to a new free insurance period, unless and until the provisions of the last preceding subsection disentitling him to sickness and disablement benefit have ceased to be applicable to him.

8. A person who during an extended insurance period becomes a voluntary contributor shall for the purpose of determining his title to sickness and disablement benefit be treated as if he had not been previously insured, but if he was employed within the meaning of this Act immediately before the first week in respect of which a contribution was paid by him as a voluntary contributor he shall, for the purpose of determining his title to those benefits, be treated as though he had become a voluntary contributor on the date when that employment began :

Persons
becoming
voluntary
contributors
during
extended
insurance
period.

Provided that this section shall not apply to a person who becomes a voluntary contributor immediately on ceasing to be so employed, if he would have been entitled to a new free insurance period had he not become a voluntary contributor.

PART I.
—*cont.*
Continuance
of free or
extended
insurance
periods in
certain
cases.

9.—(1) If it is proved to the satisfaction of his approved society, or in the case of a dispute it is decided in manner provided by this Act, that at the expiration of a free insurance period or extended insurance period a person was incapable of work by reason of some specific disease or bodily or mental disablement of which notice within the prescribed time is or has been given, the free insurance period or extended insurance period, as the case may be, shall continue until the thirtieth day of June, or the thirty-first day of December, whichever next follows the day on which he ceased to be so incapable of work, but nothing in this subsection shall be construed as depriving a person of any rights to which he would have been entitled but for the provisions thereof.

(2) If a person is employed within the meaning of this Act at the date when, if he were not employed, he would cease to be insured, his free insurance period or, as the case may be, his extended insurance period, shall, if he is not otherwise insured, continue until the thirtieth day of June, or the thirty-first day of December, whichever next follows the date on which he ceases to be so employed.

(3) Where a person becomes employed within the meaning of this Act during a free insurance period or extended insurance period, that period shall not expire before it would have expired if he had not been so employed, but nothing in this subsection shall be construed as depriving a person of any rights to which he would have been entitled but for the provisions thereof.

(4) For the purposes of the provisions of this Part of this Act relating to free insurance periods or extended insurance periods, an insured person who at any time in a contribution week is employed within the meaning of this Act, shall be treated as having been employed throughout that week.

Persons of
sixty-five
and over.

10.—(1) A person who, on attaining the age of sixty-five, is insured under this Act shall thereafter continue to be an insured person throughout his life, notwithstanding anything in the provisions of this Part of this Act relating to free insurance periods or extended insurance periods.

(2) A person who, on attaining the age of sixty-five, is not insured under this Act shall not be capable of becoming insured. PART I.
—cont.

(3) A person who, for the purposes of the provisions of the Contributory Pensions Act relating to contributions payable under that Act, is treated as if he had attained the age of sixty-five shall not be capable of becoming insured under this Act.

11. Where any person has ceased to be an insured person, he shall, if subsequently he becomes employed within the meaning of this Act or becomes a voluntary contributor, be treated as if he had not previously been an insured person. Effect of
ceasing to
be insured.

Contributions.

12.—(1) Subject to the provisions of this Act, the funds required for defraying the cost of the benefits conferred by this Act and the expenses of the administration of those benefits shall be derived in the case of men as to six-sevenths thereof, and in the case of women as to four-fifths thereof, from contributions made by or in respect of the contributors by themselves or their employers, and as to the balance thereof from moneys provided by Parliament. Contribu-
tions by
insured
persons,
employers,
and the
Treasury.

(2) For the purpose of determining the amount to be derived from moneys provided by Parliament in respect of the cost of additional benefits administered by a society, other than additional benefits consisting of increases of sickness, disablement or maternity benefit, the amount of that cost shall be apportioned between men and women in such manner as may be prescribed by regulations made by the Minister with the consent of the Treasury.

13.—(1) In addition to the moneys which under the last preceding section are required to be contributed out of moneys provided by Parliament towards defraying the cost of any of the benefits conferred by this Act or the expenses of administration of any of those benefits or otherwise for the purposes of this Act, there shall be contributed out of moneys provided by Parliament towards such cost, expenses and purposes such additional sums as Parliament may from time to time determine, Provision
of addi-
tional
money by
Parliament.

PART I.
—*cont.*

and the provisions of this Act as to the manner in which the cost of benefits and the expenses of administration are to be defrayed shall be construed as applying only to the balance of such cost and expenses after such additional sums have been applied for the purposes for which they have been provided.

(2) Any additional sums so contributed for the purpose of medical benefit shall be applicable towards the provision, in like manner and to the like extent as if it were medical benefit, of medical treatment and attendance for such members of any friendly or other society which, or a separate section of which, is or becomes an approved society as were members thereof on the sixteenth day of December, nineteen hundred and eleven, and are not entitled to medical benefit under this Act by reason that, being subject to permanent disablement on the fifteenth day of July, nineteen hundred and twelve, they were not qualified to become insured persons.

(3) Subject to the consent of the Treasury, provision may be made by regulations for the administration of any medical treatment and attendance the cost of which may be defrayed out of any additional sums which may be provided by Parliament under this section.

Rates of
contri-
bution.

14.—(1) The contributions payable under this Act in respect of employed contributors shall be at the rate set out in the Second Schedule to this Act (in this Act referred to as “the employed rate”), and shall comprise contributions by the contributors and contributions by their employers at the rates specified in that Schedule.

(2) The contributions payable by voluntary contributors shall be at the employed rate :

Provided that, in the case of a voluntary contributor who is not entitled to receive medical benefit, the weekly contribution which would otherwise have been payable shall be reduced by threepence, and there shall be credited to the approved society of which the contributor is a member, or, if he is a deposit contributor, to the Deposit Contributors Fund hereinafter mentioned, the difference between the amount of the contributions actually paid by him at the reduced rate and the amount which would have been paid if those contributions had been at the full rate, and the amount of

that difference shall be treated as having been expended on benefits, and the proper proportion thereof shall accordingly be paid out of moneys provided by Parliament.

PART I.
—cont.

15. Where it is proved to the satisfaction of the Minister that a trade or business carried on by any employer is of a seasonal nature and subject to periodical fluctuation, and that the employer systematically employs persons throughout the year and works short time during the season when the trade or business is depressed, provision may be made by special order for reducing, as respects those persons, the employed rate and the contributions payable by the employer and contributors to such extent and for such period in the year as may be specified in the order, and for increasing the rate and contributions to a corresponding extent and for a corresponding period during the remainder of the year, and the order may contain such incidental, supplemental and consequential provisions as may appear necessary for adapting the other provisions of this Act to cases under this section.

Rates of
contri-
bution in
case of
certain
seasonal
employ-
ments.

16.—(1) The employer of an exempt person shall be liable to pay the employer's contributions in respect of him in the same manner as if that person had been an employed contributor, and contributions so payable shall, in the case of a master or seaman serving on a foreign-going ship, be at the rate which would have been payable by the employer if the employed person had not been an exempt person, and, in any other case, be at the rate of fourpence halfpenny per week.

Liability of
employer to
pay contri-
bution in
respect of
exempt
person.

(2) Contributions paid under this section shall be carried to such account and dealt with in such manner as may be prescribed.

17.—(1) Contributions shall be payable at weekly or other prescribed intervals.

Payment
of contri-
butions.

(2) Contributions payable in respect of an employed contributor or by a voluntary contributor shall cease to be payable on his attaining the age of sixty-five.

18. In the case of an employed contributor, the employer shall, in the first instance, pay both the contribution payable by himself (in this Act referred to as "the employer's contribution"), and also on behalf of the employed contributor the contribution payable by

Payment
to be made
by em-
ployer in
first
instance.

PART I.
—*cont.*

the contributor, and shall be entitled in accordance with and subject to the provisions of this Act to recover from the contributor by deduction from his wages or otherwise the amount of the contribution so paid by him on behalf of the contributor.

Payment by
employed
contri-
butor in
certain
cases.

19.—(1) Where an employed contributor by or in respect of whom less than one hundred and four weekly contributions have been paid ceases to be employed within the meaning of this Act, or where the employer of such a contributor ceases to be liable to pay contributions in respect of him, the contributor shall, if he proves to the approved society of which he is a member, or if in the case of a dispute it is decided in manner provided by this Act, that during any period he was either incapable of work or unable to obtain employment within the meaning of this Act, be entitled, within the prescribed time, to pay contributions at the employed rate in respect of the said period of incapacity or unemployment.

(2) An employed contributor who has, on attaining the age of sixty in the case of a man, or fifty-five in the case of a woman, been continuously insured for a period of ten years shall be entitled, within such time and subject to such conditions as may be prescribed, to pay contributions in respect of any period of unemployment as if he were a voluntary contributor.

Payment
of contri-
butions by
voluntary
contri-
butor.

20.—(1) Where at the end of any contribution year the number of contributions, calculated in the prescribed manner, paid, or deemed in accordance with regulations under this Act to have been paid, for that contribution year by a person insured as a voluntary contributor is less than forty-five, then, unless within the prescribed period he pays such further contributions in respect of that year as will bring the total number of contributions for the year up to forty-five, he shall cease to be entitled to pay contributions as a voluntary contributor :

Provided that, where a person has, on attaining the age of sixty in the case of a man, or fifty-five in the case of a woman, been continuously insured for a period of ten years, this subsection shall in respect of that person apply as if for the references to forty-five contributions there were substituted references to twenty-six contributions.

(2) Where a person is in receipt of a pension payable by the Minister of Pensions, the Minister of Pensions may, with the consent of the pensioner, notwithstanding anything in any Act, Royal Warrant, Order in Council, or order, pay any contributions payable by the pensioner as a voluntary contributor, and deduct the amount so paid on his behalf from the pension payable to him.

PART I.
—cont.

21. Subject to the provisions of this Act, provision may be made by regulations for any matters incidental to the payment and collection of contributions payable under this Act, and in particular for—

Power to
make regu-
lations with
respect to
payment of
contribu-
tions.

- (a) payment of contributions by means of adhesive or other stamps affixed to or impressed upon books or cards or otherwise, and regulating the manner, times and conditions in, at and under which such stamps are to be affixed or impressed or payments are otherwise to be made;
- (b) the entry in or upon books or cards of particulars of contributions paid and benefits distributed in the case of the insured persons to whom those books or cards relate;
- (c) the issue, sale, custody, production and delivery up of books or cards, and the replacement of books or cards which have been lost, destroyed or defaced.

22.—(1) Stamps required for the purposes of this Act shall be prepared and issued in such manner as the Postmaster-General, with the consent of the Treasury, may direct, and the Postmaster-General may make regulations applying, with the necessary adaptations, as respects any such stamps, all or any of the provisions (including penal provisions) of the Stamp Duties Management Act, 1891, as amended by or in pursuance of any subsequent enactment, and section sixty-five of the Post Office Act, 1908, and may provide for the sale of such stamps through the Post Office.

Provision
as to
stamps.

54 & 55 Vict.
c. 38.
8 Edw. 7.
c. 48.

(2) The provisions of this Act relating to the laying before Parliament, the effect and the annulling, of regulations shall apply to regulations made by the Postmaster-General under this section.

PART I.

—cont.

Alternative
methods of
payment.

23. If provision is made by regulations under this Act for the payment of contributions, at the option of the persons liable to pay, either by means of adhesive stamps or by some alternative method the use of which involves greater expenses in administration to the Government departments concerned than would be incurred if the contributions were paid by means of adhesive stamps, a provision may be included in the regulations for requiring any person who adopts the alternative method to pay to the Minister such fees as may be determined by the Minister, with the concurrence of the Treasury, to represent the difference between the expenses incurred by the said departments by reason of the adoption of the alternative method and the expenses which would have been incurred by the said departments if the contributions payable by that person had been paid by means of adhesive stamps.

General
rules as to
payment of
contribu-
tions in
respect of
employed
contributors
and re-
covery by
employers
of amounts
paid on
behalf of
contribu-
tors.

24.—(1) A weekly contribution shall be payable for each week during the whole, or any part of which an employed contributor has been employed :

Provided that, where no services have been rendered by a contributor during any week and no remuneration is paid in respect of that week, or where no services have been rendered by a contributor during any week and the contributor has been rendered incapable of work by reason of some specific disease or bodily or mental disablement for the whole or any part of that week, the employer shall not be liable to pay any contribution either on his own behalf or on behalf of the contributor in respect of that week.

(2) Where one weekly contribution has been paid in respect of the contributor for any week, no further contribution shall be payable in respect of him for the same week.

(3) Where the contributor is employed by more than one employer in any week, the employer who first employs him in that week or such other employer or employers as may be prescribed shall be deemed to be the employer for the purposes of the provisions of this Act relating to the payment of contributions.

25.—(1) Where an employed contributor receives any wages or other pecuniary remuneration from the employer, the amount of any contribution paid, or, in the case of a master or seaman serving on a foreign-going ship, due to be paid, by the employer on behalf of the contributor shall, notwithstanding the provisions of any Act or any contract to the contrary, be recoverable by means of deductions from the wages or other remuneration of the contributor, and not otherwise :

PART I.
—*cont.*
Power of employer to deduct contribution from wages.

Provided that no such deduction may be made from any wages or remuneration other than such as are paid in respect of the period or part of the period in respect of which the contribution is payable, or in excess of the sum which represents the amount of the contributions for the period, if that period is longer than a week, in respect of which the wages or other remuneration are paid.

(2) Notwithstanding any contract to the contrary, the employer shall not be entitled to deduct the employer's contribution from the wages of the contributor or otherwise to recover it from him.

(3) Any sum deducted by an employer from wages or other remuneration under this Act shall be deemed to have been entrusted to him for the purpose of paying the contribution in respect of which it was deducted.

26.—(1) Where an employed contributor does not receive any wages or other pecuniary remuneration from his employer but receives such remuneration from some other person, a contribution paid by the employer on behalf of the contributor shall, without prejudice to any other means of recovery, be recoverable summarily as a civil debt, if proceedings for the purpose are instituted within three months from the date on which the contribution was payable.

Payment of contributions where no wages are paid.

(2) Where the contributor does not receive wages or other pecuniary remuneration either from his employer or from any other person, the employer shall be liable to pay the contributions payable both by himself and the contributor, and shall not be entitled to recover any part thereof from the contributor.

PART I.

—*cont.*

Provision
with respect
to con-
tributors
working
under con-
trol of
person
other than
immediate
employer,
and to out-
workers.

27. Regulations may provide—

- (a) that in any cases or classes of cases where contributors work under the general control and management of some person other than their immediate employer, such as the owner, agent or manager of a mine or quarry, or the occupier of a factory or workshop, that person shall, for the purposes of the provisions of this Act relating to the payment of contributions, be treated as the employer, and may provide for allowing him to deduct the amount of any contributions, other than employer's contributions, which he may become liable to pay from any sums payable by him to the immediate employer, and for enabling the immediate employer to recover from the contributors the like sums and in the like manner as if he were liable to pay the contributions;
- (b) that in the case of outworkers the contributions to be paid may be determined by reference to the work actually done, instead of by reference to the weeks in which work is done, and any such regulations may apply to all trades or to any specified classes or branches of trades, and may determine the conditions to be complied with by employers who adopt such a system of payment of contributions.

Provisions
as to casual
and inter-
mittent
employ-
ment.

28.—(1) The Minister may, by special order, modify this Act in its application to persons whose employment is of a casual or intermittent nature and the employers of such persons, and any such order may apply either generally or to any one or more particular trades or industries or branches thereof, and either generally or in any one or more particular localities, and where any such order is an order applying to a particular trade or industry or branch thereof in a particular locality, it may extend to other persons if employed in the same class of employment as the persons to whom the order primarily relates.

(2) The order may make provision—

- (a) as to the amount of the employed rate and the contributions payable by the employer

and by the employed contributor respectively;
and

PART I.
—cont.

- (b) as to the payment, recovery and collection of such contributions in such manner, in such proportions and in respect of such periods, as may be specified, and for the apportionment among employers of the amounts payable by employers;

and may modify and adapt the provisions of this Act accordingly;

Provided that the employer's contributions shall not exceed eightpence nor the employed contributor's contributions fourpence halfpenny, or in the case of a woman fourpence, in any contribution week, nor, if the contributions are payable day by day, shall the employed contributor's contribution for any day exceed one penny.

(3) In the case of a draft order made under this section, any inquiry to be held before the making of the order shall, instead of being held in manner provided by the section of this Act relating to the making of special orders, be an inquiry held by one or more competent and impartial persons to be appointed by the Lord Chancellor on the demand, made in the prescribed manner, of the person making the objection to the draft order.

(4) The provisions of this Act as to the laying of regulations before both Houses of Parliament and the proceedings consequent thereon shall apply to special orders made under this section in lieu of the provisions contained in this Act relating to the making of special orders.

29. The contributions by or in respect of an insured person and in respect of an exempt person payable under this Act and under the Contributory Pensions Act shall be paid as one contribution under this Act, and all the provisions of this Act relating to the payment and collection of contributions under this Act, including (but without prejudice to the generality of the foregoing) the provisions with respect to offences and civil proceedings in relation to contributions, with respect to priority of the claims for contributions and with

Contributions to be collected with contributions under Pensions Act.

PART I. respect to the powers of inspectors, shall have effect
—cont. accordingly."

Saving for
powers of
Minister of
Labour
under s. 16
of 25 & 26
Geo. 5. c. 8.

30. Nothing in the foregoing provisions of this Act affects any power of the Minister of Labour under section thirteen of the Unemployment Insurance Act, 1935, to make arrangements with employers for the payment of contributions through an employment exchange.

Meaning of
"week."

31. In the provisions of this Part of this Act relating to the payment of contributions the expression "week" means a contribution week.

PART II.

BENEFITS.

Benefits conferred by the Act.

Benefits
conferred by
Act on
insured
persons.

32.—(1) Subject to the provisions of this Act, the benefits conferred by this Act upon insured persons (in this Act referred to as "benefits") are:—

- (a) Medical treatment and attendance (in this Act called "medical benefit"):
- (b) Periodical payments while rendered incapable of work by some specific disease or bodily or mental disablement of which notice has been given, commencing on the fourth day of the incapacity and continuing for a period not exceeding twenty-six weeks (in this Act called "sickness benefit"):
- (c) In the case of the disease or disablement continuing after the termination of the period during which sickness benefit may continue, periodical payments during the continuance of the incapacity for work (in this Act called "disablement benefit"):
- ~~(d)~~ A payment in the case of the confinement of the wife or, where the child is a posthumous child, of the widow of an insured person, or of any other woman who is an insured person (in this Act called "maternity benefit"):

- (e) In the case of persons entitled under this Act to any of the further benefits mentioned in the Third Schedule to this Act (in this Act called "additional benefits"), such of those benefits as those persons may be entitled to.

PART II.
—cont.

(2) For the purposes of paragraph (b) of subsection (1) of this section, a day on which the incapacitated person was prevented by the incapacity from doing any effective work shall be treated as a day of incapacity, but a Sunday shall not be so treated, unless the incapacitated person would but for the incapacity have worked on that day.

33. As soon as the reserve values hereinafter mentioned, whether created under this Act or under any Act repealed by this Act or by the National Health Insurance Act, 1924, and credited to approved societies have been written off in manner provided by this Act, the benefits payable to insured persons under this Act shall be extended in such manner as Parliament may determine.

Future
extension
of benefits.
14 & 15
Geo. 5. c. 38.

Medical Benefit.

34.—(1) Medical benefit shall be administered by and through insurance committees.

Medical
benefit.

(2) A voluntary contributor whose total income from all sources exceeds two hundred and fifty pounds a year shall not be entitled to medical benefit.

(3) Provision shall be made by regulations for applying the contributions paid in respect of exempt persons in providing medical benefit for those persons and defraying the cost of the administration thereof, and those persons shall, if they fulfil the prescribed conditions, become entitled to medical benefit as if they were members of approved societies and the provisions of this Act with respect to the provision and administration of medical benefit (including provisions relating to the application of moneys provided by Parliament towards the cost of medical benefit and of the administration thereof) shall, subject to any prescribed modifications, adaptations and exceptions, apply accordingly :

PART II.
—cont.

Provided that—

- (a) the prescribed conditions shall not require payment of upwards of twenty-six weekly contributions before the person becomes entitled to benefit; and
- (b) where the total income from all sources of an exempt person exceeds two hundred and fifty pounds a year, he shall be required to make his own arrangements for receiving medical treatment and attendance, and the provisions of this Act relating to persons allowed to make such arrangements shall apply accordingly.

(4) A person shall not be disentitled to medical benefit by reason that he is, under the rules of an approved society or insurance committee, suspended from sickness or disablement benefit on the ground that his disease or disablement was caused by his own misconduct.

Administra-
tion of
medical
benefit.

35.—(1) Every insurance committee shall, for the purpose of administering medical benefit, make arrangements with medical practitioners in accordance with regulations.

(2) Subject to the provisions of this Part of this Act, provision shall be made by regulations for the arrangements under this section being subject to the approval of the Minister and being such as to secure that insured persons shall, subject to the provisions of this Act, receive adequate medical treatment and attendance from the medical practitioners with whom arrangements are so made, and shall require the adoption by every insurance committee of such system as will secure—

- (a) the preparation and publication of lists of medical practitioners who have agreed to attend and treat insured persons whose medical benefit is administered by the committee;
- (b) a right on the part of any medical practitioner who is desirous of being included in any such list as aforesaid of being so included;
- (c) a right on the part of any insured person of selecting, at such times as may be prescribed,

from the appropriate list the medical practitioner by whom he wishes to be attended and treated, and, subject to the consent of the practitioner so selected, of being attended and treated by him;

PART II.
—*cont.*

- (d) the distribution among the several medical practitioners whose names are on the lists, so far as practicable under arrangements made by them, of the insured persons who after due notice have failed to make any selection, or who have been refused by the practitioner whom they have selected;
- (e) the provision, on the same terms as to remuneration as those arranged with respect to insured persons, of medical treatment and attendance for such members of any friendly or other society which, or a separate section of which, is or becomes an approved society as were members thereof on the sixteenth day of December, nineteen hundred and eleven, and who are not entitled to medical benefit by reason that being subject to permanent disablement on the fifteenth day of July, nineteen hundred and twelve, they were not qualified to become insured persons.

36. If the Minister, after such inquiry as may be prescribed, is satisfied that the continued inclusion in the list of any medical practitioner would be prejudicial to the efficiency of the medical service of the insured, the Minister may remove his name from the list.

Power of
Minister to
remove
practi-
tioner's
name from
list.

37.—(1) If the Minister is satisfied after inquiry that the medical practitioners included in any list are not such as to secure an adequate medical service in any area, or part of an area, he may dispense with the necessity of the adoption of such system as aforesaid as respects that area or part, and authorise the committee to make such other arrangements as he may approve, or may himself make such arrangements as he thinks fit, or may suspend the right to medical benefit in respect of any insured persons in the area, or part of the area, for such period as he thinks fit, and pay to each such

Powers of
Minister
where
medical
service is
inadequate,
&c.

PART II.
—*cont.*

person a sum bearing the same proportion to such sum as may be specified by the Minister as representing the annual cost at the time of medical treatment and attendance as that period bears to a whole year, and where the Minister takes any such action himself, he shall retain and apply for the purpose such part of the sums payable to the insurance committee in respect of medical benefit as may be required.

(2) If the Minister is satisfied that the insured persons or any considerable proportion of the insured persons within any area, or part of an area, are not receiving satisfactory medical treatment under the panel system, he may authorise the insurance committee to make, or may himself make, such other arrangements as will secure to insured persons within that area, or that part of the area, such better medical service as is practicable having regard to the funds available for the purpose, or arrangements whereunder insured persons within that area or that part of the area may be required to make their own arrangements for receiving medical treatment and attendance and whereunder the insurance committee or the Minister undertake to pay the cost of that medical treatment and attendance upon such scale as the insurance committee with the approval of the Minister, or as the Minister, as the case may be, may determine.

Certain
persons to
make their
own
arrange-
ments for
receiving
medical
treatment
and atten-
dance.

38.—(1) Regulations made for the purposes of medical benefit shall authorise the insurance committee by which medical benefit is administered to require any person whose income exceeds a limit to be fixed by the committee, and to allow any other persons, in lieu of receiving medical benefit under such arrangements as are hereinbefore mentioned, to make their own arrangements for receiving medical treatment and attendance and in such case the committee shall, subject to the regulations, out of the funds out of which the cost of medical benefit is payable, contribute towards the cost of medical treatment and attendance for those persons sums not exceeding in the aggregate the amounts which the committee would otherwise have expended in providing medical benefit for them.

(2) The said regulations shall provide that, in the case of persons who are entitled to receive

medical treatment and attendance under any system or through any institution existing on the sixteenth day of December, nineteen hundred and eleven, and approved by the insurance committee and the Minister, medical treatment and attendance so received may be treated as, or as part of, their medical benefit under this Act, and may provide for the committee contributing towards the expenses thereof the whole or any part of the sums which would be contributed in the case of persons who have made their own arrangements under the last preceding subsection, but the regulations shall secure that no person shall be deprived of his right of selecting, if he desires so to do, in accordance with the provisions of this Part of this Act, the medical practitioner by whom he wishes to be attended and treated.

PART II.
—*cont.*

(3) Save as provided by regulations under the last preceding subsection, the insurance committee shall not, after such date as may be prescribed, be entitled to allow any person (other than a nurse or other employee of a hospital or similar institution) to make his own arrangements for receiving medical treatment and attendance by way of participating in any collective arrangements made by or through any system or institution, and any such permission given before that date shall thereupon cease to have effect :

Provided that, where before the sixth day of March, nineteen hundred and twenty-eight, any person has been allowed to make his own arrangements by means of any such collective arrangement as aforesaid, the system or institution by or through which such arrangements were made may, within such period as may be prescribed, apply to the insurance committee and the Minister for approval under the last preceding subsection, and shall be qualified to receive such approval notwithstanding that it was not in existence on the sixteenth day of December, nineteen hundred and eleven.

39. Subject to the provisions of this Part of this Act, every insurance committee shall make arrangements for the supply of proper and sufficient drugs and medicines and prescribed appliances to insured persons in accordance with regulations, and the regulations made

Supply of
drugs,
medicines
and
appliances.

PART II.
—cont.

for the purposes of this section shall provide for the arrangements made being subject to the approval of the Minister and being such as to enable insured persons to obtain such drugs, medicines and appliances, if ordered by the medical practitioner by whom the insured persons are attended, from any persons with whom arrangements have been made, and shall require the adoption by every insurance committee of such a system as will secure—

- (a) the preparation and publication of lists of persons, who have agreed to supply drugs, medicines and appliances to insured persons whose medical benefit is administered by the committee, according to such scale of prices as may be fixed by the committee;
- (b) a right on the part of any person desirous of being included in any such list as aforesaid of being so included, for the purpose of supplying such drugs, medicines and appliances as that person is entitled by law and authorised by the committee to supply, except in cases where the Minister after inquiry is satisfied that the inclusion or continuance of that person in the list would be prejudicial to the efficiency of the service.

Powers of
Minister
where
supply of
drugs, &c., is
inadequate.

40. If the Minister is satisfied as respects any area that the scale of prices fixed by the insurance committee is reasonable, but that the persons included in any list are not such as to secure an adequate and convenient supply of drugs, medicines and appliances in that area, he may dispense with the necessity of the adoption of such system as aforesaid as respects that area and authorise the committee to make such other arrangements as he may approve.

Provisions
with respect
to persons
authorised
to supply
drugs, &c.

41.—(1) Except as may be provided by regulations, no arrangement shall be made by the insurance committee with a medical practitioner under which he is bound or agrees to supply drugs or medicine to any insured persons.

(2) Subject to the provisions of the last preceding subsection, the regulations shall prohibit arrangements for the dispensing of medicines being made with persons

other than persons who are entitled under the Pharmacy and Poisons Acts, 1852 to 1933, to use the title chemist and druggist, and who undertake that all medicines supplied by them to insured persons shall be dispensed either by or under the direct supervision of a registered pharmacist or by a person who for three years immediately before the sixteenth day of December, nineteen hundred and eleven, acted as a dispenser to a medical practitioner or a public institution :

PART II.

—cont.

(3) Nothing in this Act shall interfere with the rights and privileges conferred by the Apothecaries Act, 1815, upon any person qualified under that Act to act as an assistant to any apothecary in compounding and dispensing medicines. 55 Geo. 3. c. 194.

42. Where the Minister in pursuance of his powers under this Part of this Act removes the name of any medical practitioner or of any person undertaking the supply of drugs, medicines or appliances from any list prepared under the provisions of this Part of this Act, he may, if he thinks fit so to do, remove the name of that practitioner or person from any of the other lists so prepared in which it is at the time included, and, until such time as the Minister directs to the contrary, that practitioner or person shall be disqualified for inclusion in any such list, whether in England, Scotland or Wales. Powers of Minister when he removes names of medical practitioners and chemists from lists.

43. Provision for any of the following matters may be included in regulations made for the purposes of medical benefit :— Supplemental provisions as to medical benefit regulations.

(a) the issue of certificates for the purposes of this Act by medical practitioners under agreement with insurance committees ;

(b) the application to inquiries held under this Part of this Act, subject to such modifications as may be prescribed (including a modification providing that the costs of any inquiry and of the finding thereon shall be in the discretion of the Minister instead of in the discretion of the person holding the inquiry), of any of the provisions of the Arbitration Acts, 1889 to 1934, as amended by any subsequent enactment, relating

PART II.
—cont.

to the cost of an arbitration, the attendance of witnesses and the production of documents;

- (c) the procedure on any appeal to the Minister against a decision of an insurance committee given under the regulations, and the application to any such appeal, subject to such modifications as may be prescribed, of any of the provisions of the Arbitration Acts, 1889 to 1934, as amended by any subsequent enactment.

Sickness Benefit and Disablement Benefit.

Rates of
sickness and
disablement
benefit.

44. The ordinary rate of sickness benefit shall be, in the case of a man, fifteen shillings a week, and, in the case of a woman, ten shillings a week during the subsistence of any marriage and twelve shillings a week at any other time; and the ordinary rate of disablement benefit shall be, in the case of a man, seven shillings and sixpence a week, and, in the case of a woman, five shillings a week during the subsistence of any marriage and six shillings a week at any other time:

Provided that, until one hundred and four weeks have elapsed since the entry of an insured person into insurance and one hundred and four weekly contributions have been paid by or in respect of that person, the rate of sickness benefit to which that person shall be entitled shall be, in the case of a man, nine shillings a week, and, in the case of a woman, seven shillings and sixpence a week.

Administra-
tion of sick-
ness and
disablement
benefit.

45. Sickness benefit and disablement benefit shall, in the case of an insured person who is a member of an approved society, be administered by and through the society or a branch thereof, and, in the case of an insured person who is not such a member, shall, subject to the provisions of this Act, be administered by and through the insurance committee.

Conditions
for sick-
ness and
disablement
benefit.

46. An insured person shall not be entitled to—

- (a) sickness benefit, until twenty-six weeks have elapsed since his entry into insurance, and twenty-six weekly contributions have been paid by or in respect of him;

- (b) disablement benefit, until one hundred and four weeks have elapsed since his entry into insurance, and one hundred and four weekly contributions have been paid by or in respect of him.

PART II.
—cont.

47.—(1) Where an insured person who claims to be entitled to sickness or disablement benefit fails to give notice of the disease or disablement on or before the third day of the incapacity, benefit shall, subject as hereinafter provided, commence only on the day following the date on which the notice is given, or, if the disease or disablement is under the provisions of the next succeeding section deemed to be a continuation of a previous disease or disablement, on the day next but one before that date :

Notice of
disease or
disablement
to be given.

Provided that, if the society or committee administering the benefit are satisfied, or if in the case of a dispute it is decided in manner provided by this Act, that in the circumstances of the case the insured person had a reasonable excuse for not giving notice either before the date on which it was in fact given or before some earlier date, being a date more than three days after the commencement of the incapacity, he shall be entitled to benefit commencing on the fourth day of the incapacity, or, in the case of a disease or disablement which is deemed as aforesaid to be a continuation of a previous disease or disablement, commencing on the first day of the incapacity, so, however, that where the insured person only proves that he had a reasonable excuse for not giving notice before some date earlier than the date on which notice was in fact given, he shall not be entitled to benefit for the period commencing on the day next after that earlier date and ending on the date of the notice.

(2) Notwithstanding anything in the preceding subsection, an insured person shall not be entitled to sickness or disablement benefit in respect of any week unless satisfactory evidence of his incapacity during that week is submitted within three months of the end of the week to his approved society or to the committee administering the benefit :

Provided that in calculating the said period of three months no account shall be taken of any period during

PART II.
—cont.

which the society or committee are satisfied, or in the case of a dispute it is decided in manner provided by this Act, that in the circumstances of the case the insured person had a reasonable excuse for not submitting evidence.

(3) For the purposes of this section, notice or evidence sent by post shall be deemed to have been given or submitted on the day on which the letter containing the notice or evidence was posted.

Provisions
as to
recurring
sickness or
disablement.

48.—(1) Where an insured person who has been in receipt of sickness benefit recovers from the disease or disablement in respect of which the benefit was payable, any disease or disablement occurring subsequently (whether the same disease or disablement or not) shall for the purpose of the provisions of this Act relating to sickness and disablement benefits be deemed to be a continuation of the previous disease or disablement unless in the meantime a period of at least one year has elapsed.

(2) Where, by virtue of the special provisions of this Part of this Act applicable to contributors entitled to compensation or damages, a part only of sickness benefit has been paid to an insured person, he shall, for the purpose of the last preceding subsection, be treated as having been in receipt of sickness benefit for a period bearing the same proportion to the whole period in respect of which that partial benefit was paid to him as that partial benefit bears to the whole benefit, and the period so resulting shall be deemed to have been continuous and to have expired on the last day of the incapacity in respect of which the partial benefit was paid.

Provisions
as to women
who are
confined.

49. A married woman or a widow confined of a posthumous child shall not in any case be entitled to sickness benefit or disablement benefit for a period of four weeks after her confinement, and no other woman shall be entitled to sickness benefit or disablement benefit for the period aforesaid unless she is an insured person and suffering from disease or disablement not connected directly or indirectly with her confinement.

Sickness and
disablement
benefit to
cease at
sixty-five.

50. The right of an insured person to sickness benefit and disablement benefit shall cease on his attaining the age of sixty-five.

51.—(1) Where an insured person has received or recovered or is entitled to receive or recover, whether from his employer or any other person, any compensation or damages under the Workmen's Compensation Acts, or under any scheme certified thereunder, or under the Employers' Liability Act, 1880, or at common law, in respect of any injury or disease, the following provisions shall have effect :—

PART II.

—*cont.*

Special provisions applicable to contributors entitled to compensation or damages.

43 & 44 Vict.
c. 42.

- (a) no sickness benefit or disablement benefit shall be payable to the insured person in respect of that injury or disease in any case where any weekly sum or the weekly value of any lump sum paid or payable by way of compensation or damages is equal to or greater than the benefit otherwise payable to that person, unless and except so far as such weekly or lump sum is irrecoverable, and where any such weekly sum or the weekly value of any such lump sum is less than the benefit in question, such part only of the benefit shall be payable as, together with the weekly sum or the weekly value of the lump sum, if and so far as such weekly or lump sum is recoverable, will be equal to the benefit;

- (b) the weekly value of any such lump sum as aforesaid may, subject to the provisions of this Act relating to the decision of disputes between insured persons and approved societies or insurance committees, be determined by the society or committee by which the sickness and disablement benefits payable to the insured person are administered.

(2) Where an insured person has recovered compensation in respect of any injury or disease and in fixing the amount of the weekly payment regard was had to any payment, allowance or benefit which the workman has received from his employer during his incapacity, or where an insured person who is entitled to receive or recover, but has not received or recovered, any such compensation is in receipt of any such payment, allowance or benefit as aforesaid, the weekly value of that payment, allowance or benefit, as determined by the society or committee, or in the case of a dispute

PART II.
—cont.

as determined in manner provided by this Act, shall, in computing under the preceding subsection what part of the benefit is payable to the insured person, be added to the weekly sum payable by way of compensation or be treated as being a weekly sum payable by way of compensation, as the case may be, and taken into account accordingly :

Provided that no account shall be taken of any such payment, allowance or benefit so far as the weekly value thereof together with the weekly sum, if any, or the weekly value of the lump sum, if any, paid or payable by way of compensation, exceeds the amount of the weekly payment which the insured person would, if there had been no such payment, allowance or benefit, have been entitled to receive or recover by way of compensation under the Workmen's Compensation Acts.

Power of
society or
committee
to make
advances
pending
settlement
of claim.

52.—(1) Nothing in the last preceding section shall prevent the society or committee from paying benefit to an insured person by way of advance pending the settlement of his claim for compensation or damages, and any advance so made shall, without prejudice to any other method of recovery, be recoverable by deductions from, or suspension of, any benefits which may subsequently become payable to the insured person.

(2) Where any society or committee in pursuance of the last preceding subsection has made or intends to make advances to an insured person, the society or committee may give notice thereof in the prescribed form to the person liable to pay the compensation or damages, and if such notice is given the person so liable shall, notwithstanding anything in the Workmen's Compensation Acts, on demand and on being furnished with the prescribed proof of the amount of the advances made, repay to the society or committee, up to the amount which he is liable to pay as compensation or damages, less such part, if any, of that amount as he has already duly paid at the time of receiving the notice aforesaid, the amount advanced, and the receipt of the society or committee shall, up to the amount of the repayment, be a full and valid discharge to him in respect of the compensation or damages payable by him to the insured person :

Provided that, if the person so liable to pay compensation or damages gives to the society or committee by which such notice as aforesaid is given notice in the prescribed form that he intends to pay, or that he has paid, compensation or damages, he shall not be under any obligation to make any repayment in respect of any advance made after the date of the payment of the compensation or damages, or after the time at which the notice so given by him is received by the society or committee, whichever is the later.

PART II.
—cont.

(3) For the purposes of the last preceding subsection, a person against whom a claim for damages or compensation has been made shall be deemed to be a person liable to pay compensation or damages, if he has agreed to pay a sum in composition of the claim, notwithstanding that he does not admit liability, and the sum payable under the agreement shall be deemed to be compensation or damages.

Nothing in this subsection shall affect any rights which an authority which has granted outdoor relief would have had under section forty-one of the Workmen's Compensation Act, 1925, or section forty-two of the Workmen's Compensation Act (Northern Ireland), 1927, if this Act had not been passed, and the receipt of any such authority shall have the same operation under that section as it would have had if this Act had not been passed.

15 & 16
Geo. 5. c. 84.
17 & 18
Geo. 5.
c. 16 (N.I.).

53.—(1) Where an insured person appears to be entitled to any such compensation or damages as aforesaid and unreasonably refuses or neglects to take proceedings to enforce his claim, it shall be lawful for the society or committee concerned, either—

Power of
society or
committee
to take pro-
ceedings,
&c.

- (a) at its own expense, to take such proceedings in the name and on behalf of the insured person, in which case any compensation or damages recovered shall be held by the society or committee as trustee for the insured person; or
- (b) to withhold payment of any benefit to which but for this section the insured person would be entitled.

(2) In the event of the society or committee concerned taking proceedings as aforesaid and failing in

PART II.
—cont.

the proceedings, it shall be responsible for the costs of the proceedings as if it were claiming on its own account.

Provisions
with respect
to war
pensions.

4 & 5 Geo. 5.
c. 30.

5 & 6 Geo. 5.
c. 18.

5 & 6 Geo. 5.
c. 24.

5 & 6 Geo. 5.
c. 96.

54. Where any pension, grant or allowance has been granted to any insured person in pursuance of the Injuries in War (Compensation) Act, 1914, or the Injuries in War Compensation Act, 1914 (Session 2), or the Injuries in War (Compensation) Act, 1915, or any similar Act with respect to which regulations made with the consent of the Treasury provide that this section shall apply, or in pursuance of any scheme for compensation in respect of persons injured on any merchant ship or fishing vessel in connection with which any Government obligations within the meaning of the Government War Obligations Act, 1915, are incurred, then as from the prescribed date that pension, grant or allowance shall, for the purposes of this Part of this Act be treated as if it were compensation under the Workmen's Compensation Acts.

Provisions
in case of
contributors
who are
inmates of
hospitals,
&c.

55.—(1) No payment on account of sickness or disablement benefit in respect of any period when the insured person is an inmate of any workhouse, hospital (including mental hospital), asylum, convalescent home or infirmary, supported by any public authority or out of any public funds or by a charity or voluntary subscriptions, shall be made during any period when the insured person is such an inmate as aforesaid.

(2) During the period aforesaid, the sum which would but for the provisions of the preceding subsection have been payable on account of any benefit to any person—

(a) if that person has any dependants, shall, after consultation wherever possible with that person, be paid or applied, in whole or in part at the discretion of the society or committee administering the benefit, to or for the advantage of those dependants, or such of them, and in such proportions, as the society or committee may determine; and

(b) so far as not applied under the preceding paragraph, or if that person has no dependants, and if in any case he so authorises, may at the

discretion of the society or committee administering the benefit be applied towards defraying any expenses for which he may be or become liable otherwise than to the institution while he is such an inmate as aforesaid, and in so far as not so applied, be paid in whole or in part to the institution of which he is an inmate :

PART II.
—cont.

Provided that—

- (i) any person who is entitled to any benefit under this Act shall not, if he applies for admission to any workhouse infirmary, be refused admission thereto solely on the grounds of the right to that benefit;
 - (ii) where on the thirty-first day of December in any year an insured person is an inmate of an institution, any sum which but for the provisions of this section would have been payable to him, if and so far as it has not been paid or applied in accordance with the foregoing provisions of this subsection, shall, in so far as it exceeds fifty pounds, be paid to the Central Fund hereinafter mentioned, in accordance with regulations made under this Act.
- (3) Any sum which but for the provisions of this section would have been payable to any person on account of sickness or disablement benefit shall, if and so far as it is not paid or applied during such a period as aforesaid in accordance with the foregoing provisions of this section, be paid in cash to that person after he has left the institution in weekly instalments, each instalment being of an amount not less than ten shillings nor more than two pounds as the society or committee administering the benefit may determine, unless the society or committee think proper, in view of the special circumstances of the case, to make a lump sum payment :

Provided that—

- (i) if that person dies in the institution, the sum so payable shall be deemed to form part of his estate, and if he dies after leaving the institution but before the whole of the instalments have been paid, the balance remaining unpaid

PART II.
—*cont.*

shall be deemed to form part of his estate, and the amount so deemed to form part of his estate shall be paid in a lump sum and not in instalments;

- (ii) the amount so payable to any person, or deemed to form part of his estate, shall in no case exceed fifty pounds, and the balance shall, in accordance with regulations under this Act, be paid to the Central Fund.

(4) Where any sum which, but for the provisions of this section, would have been payable on account of sickness or disablement benefit has been paid or applied in accordance with those provisions, that sum shall be treated as a payment in respect of sickness or disablement benefit, as the case may be, and where under this section any payment is made to the Central Fund so much thereof as is derived from moneys provided by Parliament shall be repaid to the Exchequer.

Power to
substitute
other
benefits for
sickness and
disablement
benefits.

56.—(1) Any approved society may submit to the Minister a scheme for substituting any of the additional benefits for sickness benefit and disablement benefit or either of those benefits or any part thereof.

(2) Any such scheme may provide as respects the members of the society to whom the scheme applies that sickness benefit or disablement benefit or both such benefits shall be abolished or the rate thereof reduced or, in the case of sickness benefit, the commencement thereof postponed, and may contain such incidental and consequential provisions as appear necessary for adapting the other provisions of this Act to the members to whom the scheme applies.

(3) A scheme made under this section shall apply either to all members of the society or to any specified class thereof or to any members of the society who may elect to come under the scheme, according as may be provided by the scheme.

(4) A scheme made under this section shall not have any effect unless and until confirmed by the Minister, and the Minister shall not confirm any scheme unless satisfied that the value of the additional benefits conferred by the scheme is equivalent to the value of the

benefits for which they are substituted, and that, in view of the special circumstances of the members or class of members intended to come under the scheme, there is good reason for substituting the additional benefits conferred by the scheme for the benefits for which they are substituted.

PART II.
—*cont.*

(5) Nothing in this section or in any scheme made thereunder shall affect the amount of any reserve value to be credited to a society in respect of a member.

Maternity Benefit.

57.—(1) The amount of maternity benefit shall be a sum of forty shillings. Maternity benefit.

(2) Maternity benefit shall, in the case of an insured person who is a member of an approved society, be administered by and through the society or a branch thereof, and, in the case of an insured person who is not such a member shall, subject to the provisions of this Act, be administered by and through the insurance committee.

(3) No insured person shall be entitled to maternity benefit until forty-two weeks have elapsed since his entry into insurance and forty-two weekly contributions have been paid by or in respect of him.

58.—(1) Where a woman confined of a child is herself an insured person and is a married woman, or, if the child is a posthumous child, a widow, she shall be entitled to receive a maternity benefit (in this Act referred to as “the second maternity benefit”) from the society of which she is a member or from the insurance committee, as the case may be, in addition to any maternity benefit to which she may be otherwise entitled in respect of her husband’s or her own insurance. Provision for second maternity benefit in certain cases.

(2) Every approved society and insurance committee shall make rules to the satisfaction of the Minister requiring any woman in respect of whom any such sum as aforesaid is payable in respect of her own insurance to abstain from remunerative work during a period of four weeks after her confinement.

PART II.

—cont.

Maternity
benefit
where no
benefit is
payable in
respect of
husband's
insurance.

59. Where a woman who is an employed contributor is confined and is the wife, or, if the child is a posthumous child, the widow, of an insured person, then—

- (a) if her husband is, or was at the date of his death, a member of an approved society, and for any reason other than delay in making a claim, no maternity benefit is payable in respect of his insurance, she shall on her confinement be entitled to receive in respect of her own insurance such sum as she would have been entitled to receive if her husband had not been an insured person ;
- (b) if her husband is, or was at the date of his death, a deposit contributor, and for any reason other than delay in making a claim no maternity benefit or a sum less than the full maternity benefit is payable in respect of his insurance, she shall on her confinement be entitled to receive in respect of her own insurance such sum as, with the sum, if any, payable in respect of her husband's insurance, is equal to the sum she would have been entitled to receive if her husband had not been an insured person.

Maternity
benefit the
mother's
benefit.

60.—(1) Maternity benefit shall in every case be the mother's benefit and shall be administered in the interests of the mother and child in cash or otherwise by the approved society of which she is, or, where she is entitled to benefit in respect of her husband's insurance, her husband is, or was, a member, or if she, or, where she is entitled to benefit in respect of her husband's insurance, her husband, is not, or was not, a member of an approved society, by the insurance committee :

Provided that the mother shall decide whether she shall be attended by a medical practitioner or by a certified midwife and shall have free choice in the selection of the medical practitioner or midwife.

(2) Where the benefit is payable in respect of the husband's insurance, the wife's receipt, or his receipt, if authorised by her, shall be a sufficient discharge to the society or committee, and where the benefit is paid to the husband he shall pay it to the wife.

61. Maternity benefit shall not be payable unless a claim for the benefit is made by or on behalf of the person entitled thereto within six months after the confinement, or, where the insured person is a man of the forces and the confinement takes place outside the United Kingdom, within twelve months after the confinement:

PART II.

—cont.

Maternity benefit not to be payable unless claimed within six months, &c.

Provided that, if the society or committee administering the benefit are satisfied, or in the case of a dispute it is decided in manner provided by this Act, that in the circumstances of the case it was not reasonably possible for a claim for the benefit to have been made within the proper time, the benefit shall be payable.

62. The provisions of this Part of this Act relating to payment on account of sickness and disablement benefit in respect of any period when the insured person is an inmate of any workhouse, hospital (including mental hospital), asylum, convalescent home or infirmary, supported by any public authority or out of any public funds, or by a charity or by voluntary subscriptions, shall apply to payment on account of maternity benefit in respect of the confinement of a woman where she is at the time of the confinement such an inmate as aforesaid in like manner as they apply to payment on account of sickness and disablement benefit, subject to the following modifications:—

Provisions in case of confinements in hospitals, &c.

- (1) if the woman is a married woman or a widow and the sums payable or applicable under the said provisions include the sums which would have been payable both on account of the second maternity benefit and on account of maternity benefit to which she is otherwise entitled under this Act, no part of the sum which would otherwise be payable on account of that last-mentioned maternity benefit shall be paid to or applied for the relief or maintenance of her dependants, but the whole or any part thereof may be paid to the institution of which she is an inmate in the same manner as if she had no dependants;
- (2) any sum which, but for the said provisions, would have been payable to any woman on

PART II.
—cont.

account of maternity benefit shall, if and so far as it is not paid in accordance with those provisions, be paid in cash in a lump sum to the woman after she has left the institution.

Supple-
mental pro-
visions with
respect to
maternity
benefit.

63.—(1) For the purposes of the administration of maternity benefit, the Minister may, if he thinks fit, by special order provide for the reinsurance with him of the liabilities of all approved societies in respect of maternity benefit, and the order may provide for the method of calculating the premiums to be charged against the several societies in respect of any such reinsurance, and may contain such other incidental, consequential and supplemental provisions as may appear necessary for the purpose.

35 & 36 Vict.
c. 65. s. 1. & (2) In deciding whether or not they shall make an order under the Bastardy Laws Amendment Act, 1872, for the payment of the expenses incidental to the birth of a child, the justices shall not take into consideration the fact that the mother of the child is entitled to receive maternity benefit.

General Provisions as to Benefits.

Rules of
approved
societies and
insurance
committees
with respect
to adminis-
tration of
benefits, &c.

64.—(1) Subject to the provisions of this Act, an approved society with the consent of the Minister may, and an insurance committee with the approval of the Minister shall, make rules with regard to the manner and time of paying or distributing and the mode of calculating benefits, suspension of benefits, notices and proof of disease or disablement, behaviour during disease or disablement, and the visiting of sick or disabled persons, and for the infliction and enforcement of penalties (whether by way of fines or suspension of benefits or otherwise) in the case of any member being an insured person who is guilty of any breach of any such rule, or of any imposition or attempted imposition in respect of any benefit under this Act:

Provided that—

- (a) no rule shall provide for the imposition of a fine exceeding ten shillings or, in the case of repeated breaches of rules, twenty shillings;

- (b) no rule shall provide for the suspension of any benefit for a period exceeding one year; PART II.
—cont.
- (c) every rule relating to the visiting of insured persons shall provide that women shall not be visited otherwise than by women;
- (d) every rule relating to behaviour during disease or disablement shall be in the prescribed form;
- (e) no rule shall provide, or have effect so as to subject any insured person to, any penalty, whether by way of suspension of benefits or otherwise, on account of his refusal to submit to a surgical operation, vaccination or inoculation of any kind, unless the refusal is a refusal to submit to a surgical operation of a minor character and is considered by the society, or by the Minister on appeal to him, unreasonable;
- (f) no rule shall provide for inflicting suspension of maternity benefit in respect of the confinement of the wife of an insured person as a penalty for breach of rules or imposition or attempted imposition on his part; except where the wife has herself been guilty of any such breach, imposition or attempted imposition;
- (g) no rule shall be made by an insurance committee relating to anything to be done by, to, or through the Post Office except with the consent of the Postmaster-General.

(2) Notwithstanding any provision to the contrary in any rule, an insured unmarried woman who is pregnant shall not on the ground that her pregnancy was due to misconduct be deprived of any sickness or disablement benefit to which she would but for that provision have been entitled.

(3) Where under any Act regulating the constitution of a society which becomes an approved society the rules of the society are required to be registered, any rules approved under this section by the Minister shall forthwith be registered, but till so registered shall have effect as if they had been duly registered.

PART II.
—*cont.*

(4) Regulations may be made enabling approved societies and insurance committees to appoint a person to exercise on behalf of any insured person of unsound mind any right of election which that person is, under this Act, entitled to exercise, and to appoint a person to receive on behalf and for the benefit of such person any sums by way of benefit which would otherwise have been payable to him.

Power to
prescribe
reduced
rates of
benefit
where
contribu-
tions are in
arrear, &c.

65.—(1) Regulations may be made for the following purposes:—

- (a) for providing, subject to the provisions of this section, for the reduction, postponement or suspension of benefits (other than medical benefit) in the case of insured persons who are in arrears, and with respect to the effect and amount of payments made and to be made by insured persons by way of cancelling arrears;
- (b) for empowering approved societies to terminate the membership of any person, being a voluntary contributor, whose arrears during the prescribed period exceed the prescribed number, or of any person, being an employed contributor, whose arrears during the prescribed period exceed the prescribed number, and who is entitled to obtain a certificate of exemption under this Act as being a person who has not been employed for the prescribed number of contribution weeks during any prescribed period;
- (c) for prescribing the period to which any contribution paid by a voluntary contributor who is in arrears is to be allocated, and providing that for any prescribed purposes any such contribution shall be deemed to have been paid in respect of the period to which it is allocated.

(2) In calculating arrears of contributions, no account shall be taken of arrears accruing—

- (a) during any period during which the person in question was incapable of work by reason of some specific disease or bodily or mental

disablement of which notice was given within the prescribed time; or

PART II.
—*cont.*

- (b) in the case of a woman who is herself an insured person, during two weeks before and four weeks after her confinement, or in the case of maternity benefit payable in respect of the posthumous child of an insured person, during the period subsequent to the father's death.

(3) Regulations under this section shall provide that, subject to such conditions as may be prescribed, arrears of contributions accruing while a person was insured as an employed contributor during any period in respect of which he proves that he was available for but unable to obtain employment within the meaning of this Act, shall be left out of account.

66.—(1) Subject to the provisions of this section, a person shall not be entitled to any benefit during any period when he is resident, whether temporarily or permanently, outside the United Kingdom :

Provisions
in case of
persons
resident
outside
the United
Kingdom.

Provided that—

- (a) in the case of a person temporarily resident in the Irish Free State, the Isle of Man or the Channel Islands, this section shall not operate so as to disentitle him to sickness, disablement or maternity benefit for a period of six months from the date on which he becomes so temporarily resident, or, if the society or committee by which the benefit is administered thinks fit to allow a longer period, for such longer period, and any such benefit shall be payable by the society or out of the fund by or out of which it would have been payable if he had continued to reside in the United Kingdom ;
- (b) where provision has been made by legislative enactment in the Isle of Man or in the Channel Islands for the establishment therein of any scheme of national health insurance, the National Health Insurance Joint Committee hereinafter mentioned (in this Act called “ the

PART II.
—cont.

Joint Committee”), with the consent of the Treasury, may by regulations make arrangements for enabling persons entitled to receive benefits under this Act to receive such benefits while resident in the Isle of Man or the Channel Islands, as the case may be, and for enabling persons entitled to receive benefits under the scheme of national health insurance in the Isle of Man or the Channel Islands, as the case may be, to receive such benefits while resident in the United Kingdom;

- (c) if with the consent of the society or committee by which benefit is administered a person is temporarily resident outside the United Kingdom elsewhere than in the Irish Free State, the Isle of Man or the Channel Islands, the society or committee may allow him, while so resident, to receive sickness or disablement benefit if the incapacity began before he became temporarily resident outside the United Kingdom.

(2) Provision may be made by regulations for directing that this Act shall, in relation to or in connection with any persons affected by any arrangements made under proviso (b) to the preceding subsection, apply subject to such modifications and adaptations as may be prescribed, and may make provision for any necessary financial adjustments.

Mutual
arrange-
ments
between
United
Kingdom
and Irish
Free State.

67.—(1) If the Joint Committee and the authority administering any scheme of national health insurance in the Irish Free State enter into arrangements—

- (a) for securing continuity of insurance of persons who, being insured in one country, are or become resident and employed in the other country (including the insurance of men serving in the naval, military or air forces, who previously to enrolment or enlistment in any such forces were resident in any part of Ireland other than Northern Ireland, and of men who having so served within six months after their discharge from any such forces become resident in the Irish Free State);

PART II.
—*cont.*

- (b) for securing exemption from liability to make contributions in the case of persons who, being ordinarily resident and not insured in one country, become temporarily employed in the other;
- (c) with respect to the insurance of persons who, being resident in Northern Ireland, are employed either temporarily or permanently in the Irish Free State, or who, being resident in the Irish Free State, are employed either temporarily or permanently in Northern Ireland;
- (d) in the case of a ship registered in one country, the owner of which resides or has his principal place of business in the other, for determining in what cases contributions payable in respect of persons employed on the ship are to be payable under the enactments relating to national health insurance in force in one country, and in what cases they are to be payable under those enactments in force in the other;
- (e) for rendering insurable persons who would have been insurable under the National Health Insurance Acts, 1911 to 1920, if those Acts had continued to apply to the whole of Great Britain and Ireland as a single unit, but who, in consequence of the passing of the Irish Free State (Agreement) Act, 1922, and the Irish Free State Constitution Act, 1922 (Session 2), are insurable neither under this Act nor under the enactments relating to national health insurance in force in the Irish Free State;

12 & 13
Geo. 5. c. 4.
13 Geo. 5.
c. 1.

the Joint Committee shall make such orders as may be necessary to carry out any such arrangements, and may by any such order make such modifications in this Act as may be necessary to give effect to the arrangements, and for enabling such financial adjustments to be made as may be necessary or expedient in consequence of those arrangements :

Provided that such an order shall not come into force unless and until the Joint Committee are satisfied that reciprocal provisions having the force of law in

PART II.
—*cont.*

the Irish Free State have been made for carrying the arrangements into effect in the Irish Free State, and shall continue in force only so long as the reciprocal provisions continue to have the force of law in the Irish Free State.

(2) An order under this section may provide that where an owner of a ship registered in the United Kingdom does not reside or have his principal place of business in the United Kingdom, the agent in the United Kingdom of the owner shall for the purposes of this Act be deemed to be the employer of the master and members of the crew of the ship.

(3) For the purposes of this section, where there is more than one owner of a ship, the managing owner or manager shall be deemed to be the owner.

(4) In this section the expression "country" means either the United Kingdom or the Irish Free State.

Benefits to
be in-
alienable.

68. Every assignment of or charge on, and every agreement to assign or charge, any benefits shall be void, and, on the bankruptcy of any person entitled to any benefit, the benefit shall not pass to any trustee or other person acting on behalf of his creditors.

Benefits to
be trans-
mitted free
of cost.

69. Except where special arrangements in that behalf are made at the request of an insured person, no deduction may be made by an approved society as on account of the cost of the transmission of the benefit from the amount payable by way of sickness, disablement or maternity benefit, or any additional benefit.

Power to
subscribe to
hospitals,
&c.

70. An approved society, not being a society in the case of which a disposable surplus was disclosed on the last preceding valuation, or an insurance committee, may from time to time, with the consent of the Minister, make subscriptions or donations of an eleemosynary character to hospitals, dispensaries, and other charitable institutions, or for the support of district nurses, and any sums so expended by an approved society shall be treated as expenditure on benefits.

Repayment
of benefits
improperly
paid.

71.—(1) If it is found at any time that a person has been in receipt of any benefit or any payment under this Act without being lawfully entitled thereto, he, or

in the case of his death his personal representatives, shall be liable to repay to the Minister the amount of that benefit or payment, and any such amount may be recovered as a debt due to the Crown, and when so recovered shall be carried to the credit of the society of which that person was a member, or, if he was not a member of an approved society, to the credit of the Deposit Contributors Fund.

PART II.

—cont.

(2) In any case where the Minister has not taken proceedings under the preceding subsection to recover from any person the amount so repayable by him, the society or committee concerned may, without prejudice to any other method of recovery, and notwithstanding anything in this Part of this Act making void any assignment of or charge on benefits, recover the amount by deductions from any sickness or disablement benefit payable to that person within four years from the date on which the improper payment was made to that person by the society or committee; so, however, that the amount deducted from any benefit shall not exceed one-fourth of the amount which but for such deduction would be payable.

(3) Subject to the consent of the Treasury, regulations may be made for authorising any sums paid by an approved society or branch of an approved society as on account of benefits to or on behalf of persons not lawfully entitled thereto, so far as not recovered, to be treated, to such extent and subject to such conditions as may be prescribed, as expenditure on benefits, and providing for charging to the administration account of societies any sums so improperly paid as aforesaid, and neither authorised to be treated as expenditure on benefits as aforesaid nor recovered.

72. Regulations may be made—

- (a) providing for the nomination by an insured person of the persons to whom any sum payable to him by way of benefit and unpaid at the date of his death, or any other sum payable under this Act and forming part of his estate, is to be paid at his death, for the revocation of any such nomination, for the payment of the specified amount to any nominee so nominated, and providing that

Disposal of sums arising from benefits forming part of estate of deceased persons.

PART II.
—cont.

any such nomination shall take effect as if it were a will of the deceased duly executed, and that notwithstanding the want of due execution, minority or marriage;

- (b) providing that, subject to the regulations, probate or other proof of the title of the personal representatives of the deceased person may be dispensed with in the case of any such sum as aforesaid, and that any such sum may be paid or distributed to or among the persons appearing in manner provided by the regulations to be beneficially entitled to the personal estate of the deceased person, whether under any such nomination as aforesaid or by law, or as next of kin or as creditors, or otherwise, or to or among any one or more of such persons exclusive of the others, or in the case of any illegitimacy of the deceased person or his children to or among such person or persons as may be directed by the regulations, and that any society or committee making a payment in accordance with the regulations shall be discharged from all liability in respect of the sum so paid.

PART III.

APPROVED SOCIETIES AND INSURANCE COMMITTEES.

Constitution and Government of Approved Societies.

Constitu-
tion of
approved
societies.

73.—(1) Any society, that is to say, any body of persons corporate or unincorporate (not being a branch of another such body), registered or established under any Act of Parliament or by Royal Charter, or, if not so registered or established, having a constitution of such a character as may be prescribed, may, if it complies with the requirements of this Act relating to approved societies, be approved by the Minister, and, if so approved, shall be an approved society for the purposes of this Act:

Provided that, where any society establishes for the purposes of this Act a separate section consisting of insured persons, whether with or without honorary

members not being insured persons, and so constituted as to comply with the requirements of this Act relating to approved societies, that separate section may be approved by the Minister, and, if so approved, shall be an approved society, and the provisions of this Act relating to the conditions of approval of societies and to approved societies shall apply only to the separate section of the society.

PART III.
—cont.

(2) No society shall be approved by the Minister unless it satisfies the following conditions :—

- (a) that it is not a society carried on for profit;
- (b) that its constitution provides to the satisfaction of the Minister for the affairs of the society being subject to the absolute control of its members being insured persons or, if the rules of the society so provide, of its members whether insured persons or not, and for the election and removal of the committee of management or other governing body of the society, in the case of a society whose affairs are managed by delegates elected by members, by those delegates, and in other cases in such manner as will secure absolute control by its members;
- (c) that, if the society has honorary members, its constitution provides for excluding the honorary members from the right of voting in their capacity of members of the society on all questions and matters arising under this Act.

(3) The Minister may grant approval either unconditionally or subject to the condition that the society shall within such time as the Minister may allow take such steps as may be necessary to make the society comply with the requirements of this Act relating to approved societies.

74.—(1) A society shall not be required to be approved in respect of any national area other than that in which its registered or head office is situate, by reason of the fact that among its members are persons for the time being resident in that other area, but (without prejudice to the right of a person who within one year after ceasing to be a member of a society becomes an employed contributor

Provisions as to societies having members in more than one national area.

PART III.
—cont.

to be re-admitted as a member of that society) a society shall not admit as a member any person resident at the time of admission in any national area in respect of which the society is not an approved society, or any man of the forces who immediately before his entry or enlistment was not resident in any national area in respect of which the society is an approved society.

(2) A society which has been approved for more than one national area may relinquish approval for any area other than that in which its registered office, or its head office, as the case may be, is situate, if it satisfies the Joint Committee that it fulfils one or other of the following conditions, that is to say—

- (a) that no person being a member of the society is resident in the national area in respect of which approval is proposed to be relinquished; or
- (b) that any members who are so resident were at the time when they were admitted to membership of the society resident in a national area in which the society will remain an approved society.

For the purposes of this subsection, admission to membership of a society means admission to membership whether for the purposes of this Act or for any other purposes of the society, and in the case of a society which is a separate section of another society includes admission to membership of that other society.

(3) Where the Joint Committee are satisfied that the number of those members of any society approved for more than one national area who are resident in a national area other than that in which the registered or head office of the society is situate is less than such proportion of the total number of the members of the society, and does not exceed such minimum number as may be prescribed by regulations of the Joint Committee, the Committee may, if they think fit, and after consultation with the committee of management of the society, withdraw approval from the society in respect of that national area.

Provisions
as to
members
resident in
area for
which

75.—(1) Where any members of a society reside in a national area in respect of which the society is not an approved society, the provisions of this Act relating to payments into and out of the National Health Insurance Funds for Scotland, Northern Ireland and Wales, shall

apply as if those members resided in the national area in which the registered or head office of the society is situate, or in the case of a society with branches, in which the registered office of the branch of which they are members is situate :

PART III.
—cont.
society is
not
approved.

Provided that the amount to be contributed out of moneys provided by Parliament towards the benefits (including the cost of administration of benefits) of any such members as aforesaid shall, whatever the situation of the registered or head office of the society or the office of the branch, be paid, in the case of such of those members as are actually resident in Northern Ireland out of moneys provided by the Parliament of Northern Ireland, and in the case of such of those persons as are not actually resident in Northern Ireland out of moneys provided by the Parliament of the United Kingdom.

This subsection shall apply as respects the members of a branch of a society resident in a national area other than that in which the office of the branch is situate, notwithstanding that the society is approved for that area, unless the Joint Committee on the application of the society otherwise determine, but no branch to which the said provisions apply shall admit as a member of the branch any person resident at the time of admission in any national area other than that in which the office of the branch is situate.

(2) Where at the commencement of this Act those members of any society, being a society which has among its members persons resident in any two or more national areas, who are resident in a national area other than that in which the registered or head office of the society is situate, are for the purposes of the provisions of this Act relating to valuations, surpluses, deficiencies and transfers, treated as if they formed a separate society, such members of that society as are from time to time resident in that other national area shall continue to be so treated :

Provided that, where the members of any such society who are resident in a national area other than that in which the registered or head office of the society is situate satisfy the Joint Committee that they no longer desire to be treated for the purposes of the provisions of this Act relating to valuations, surpluses, deficiencies and transfers as if they formed a separate society, then,

PART III.
—cont.

subject to the consent of the committee of management of the society, those members shall, as from such date as the Joint Committee may determine, cease to be so treated; so, however, that such cesser shall not affect any scheme relating to a surplus or deficiency which is in force at the date of such cesser.

In the exercise of their powers under this proviso, the Joint Committee shall consult with the Minister, the Department of Health for Scotland, or the Ministry of Labour for Northern Ireland, as the case may require, and shall hold an inquiry, or, where in their opinion the wishes of the members cannot otherwise be properly ascertained, cause a poll to be taken in manner prescribed by regulations of the Committee.

Special
provisions
as to
approval of
employers'
provident
funds, &c.

76.—(1) Where a society consists of persons entitled to rights in a superannuation or other provident fund established for the benefit of persons employed by one or more employers, the society may, subject as hereinafter provided, be approved under this Act, notwithstanding that the employer is entitled to representation on the committee or other body administering the fund, if the employer's representation does not exceed one-quarter of the total number of the body and if the employer, in addition to the employer's contributions payable by him under this Act, is responsible for the solvency of the fund or for the benefits payable thereout, or is liable to pay a substantial part of, to make substantial contributions to, or substantially to supplement, the benefits payable out of the fund :

Provided that no such society as aforesaid shall be approved—

- (a) unless its constitution provides that so far as concerns benefits the society may not refuse to allow a member to transfer to another approved society or to allow a member who is discharged from or leaves the employment of the employer and is unable to obtain admission to another approved society on account of the state of his health to continue a member, and that the election of the members of the committee of management (other than the employer's representatives) shall be by ballot; or
- (b) if the employer makes membership of the society a condition of employment.

(2) Where for the purpose of enabling any such society as aforesaid to become an approved society it is necessary to make any alteration in the existing rules or constitution of the society which it is not competent for the society under its existing constitution to make, a scheme for the purpose may be submitted for the approval of the Minister, and, where such a scheme has been approved by the Minister, the Act or deed constituting the society shall have effect subject to the provisions of the scheme, but the Minister shall not approve any such scheme unless he is satisfied that the members of the society have been given an opportunity of voting by ballot thereon and that the scheme makes proper provision for safeguarding existing rights and interests.

PART III.
—cont.

77. Any society for the purpose of carrying on business under this Act, and whether for that purpose alone or for that purpose in conjunction with any purpose mentioned in subsection (1) of section eight of the Friendly Societies Act, 1896, may be registered as a friendly society under that Act, notwithstanding that the contributions under this Act are not voluntary.

Power to register under Friendly Societies Act, 1896. 59 & 60 Vict. c. 25.

78.—(1) Except in so far as may be inconsistent with this Act, any business transacted under this Act by an approved society shall be treated as part of the ordinary business transacted by societies of the class to which that society belongs, and any enactment applying to the society in relation to the transaction of such ordinary business shall apply accordingly in relation to the business transacted by the society under this Act.

Application of Acts of Parliament to approved societies and sections.

(2) This section shall apply to an approved society which is a separate section of another body, subject to the necessary adaptation.

79.—(1) Every approved society shall, as respects the administration of the affairs of the society under this Act, make proper provision by rules to the satisfaction of the Minister for the government of the society, including, in the case of a society with branches, provision for the following matters—

Rules for government of approved societies.

- (a) the government of the society and its branches;
- (b) the determination of disputes arising between the society and any branch, or between one branch and another;

PART III.
—cont.

- (c) the administration of benefits by the branches as respects insured persons who are members of those branches;
- (d) the keeping of proper books of account by the branches in any case where separate accounts are usually kept by those branches;
- (e) depriving of or suspending from the right of administering benefits any branch which is guilty of maladministration of benefits, or is convicted of any offence under any Act, and for providing for the administration of benefits in such a case by the society or otherwise.

(2) Every approved society and every branch thereof shall comply with any regulations as to the place in which meetings are to be held, and regulations may provide for the use for such meetings, with or without payment, of any offices or other buildings under the control of a Government department (including offices or buildings occupied by or in connection with an employment exchange) or belonging to or under the management of a local authority, but subject to the consent of the Government department or the local authority concerned.

(3) Where under any Act regulating the constitution of an approved society the rules of the society are required to be registered, any rules approved under this section by the Minister shall forthwith be registered, but until so registered shall have effect as if they had been duly registered.

Power of
Minister to
require
amendment
of rules.

80. Where the Minister is of opinion that the rules of an approved society do not properly provide for the administration of the affairs of the society under this Act, or that any of the rules is likely to prejudice unfairly any member of the society--

- (a) the Minister may by notice require the committee of management of the society, within such time as may be specified in the notice, to submit for his approval a draft of amendments of the rules so as to make provision for the purposes set forth in the notice;
- (b) if the committee of management within the time so specified fail to submit such a draft or fail to

submit a draft which the Minister is prepared to approve, the Minister may give further notice to the society requiring the rules to be amended in the manner specified in the notice;

PART III.

—cont.

- (c) if at a general meeting of the society held next after the expiration of a period of three months from the approval of such a draft, or, as the case may be, of a period of three months from the receipt of the further notice, the rules are not amended in accordance with the approved draft or the further notice, the Minister may make an order amending the rules in manner specified in the order, and thereupon the rules of the society as so altered by the order shall be deemed to be the rules of the society approved by the Minister:

Provided that the Minister shall, if so required by the society, before making any such order, appoint an independent body constituted in accordance with regulations under this Act to investigate and report on the state of affairs under the existing rules of the society and on the amendments of the rules specified in the approved draft or the further notice, and the Minister in making the order shall have regard to the report of the investigating body.

81.—(1) Every approved society and every society desirous of becoming an approved society shall give such security as the Minister may consider sufficient to provide against any malversation or misappropriation by officers of the society of any funds coming into the hands of the society under this Act, and in determining the amount of the security to be required the Minister shall have regard to the amount of the funds so coming into the hands of the society:

Security to
be given by
approved
societies.

Provided that no security shall be required from any society which proves to the Minister that the only funds coming into the hands of the society under this Act are such funds as are required for reimbursing to the society sums previously expended by the society under this Act.

PART III.
—*cont.*

(2) In the case of an approved society with branches having insured persons among their members, security shall be given by the society in respect of each branch.

(3) The Minister may from time to time vary the amount of security to be required from an approved society as may be thought proper, and where security is given by way of deposit of securities, the society which made the deposit may, with the consent of the Minister, substitute other securities for the securities for the time being deposited.

(4) Any dividends or interest arising from securities deposited by an approved society under this section shall be paid or credited to the society.

Provisions
against mal-
administra-
tion.

82.—(1) For the purpose of providing against maladministration by approved societies and their officers, regulations may be made for applying to approved societies and to branches of approved societies, and to officers and members thereof, the provisions of sections thirty-five and fifty-five of the Friendly Societies Act, 1896, and any of the other provisions of that Act relating to offences, penalties and legal proceedings, and any such regulations may provide that proceedings for any offence under subsection (3) of section eighty-seven of the said Act, as applied by the regulations, may be brought within two years from the date of the commission of the alleged offence.

(2) Any of the said provisions may be applied with or without any adaptation or modification, so, however, that the penalty for offences, other than fraud, false declarations, misappropriation or falsification, shall not be made to exceed a fine of five pounds.

(3) Regulations under this Act may provide for authorising the Minister, in any case in which he has reason to believe that the affairs under this Act of an approved society are not being properly administered in any respect, to cause an inquiry to be held into the administration of the affairs of the society, and if he is satisfied as a result of the inquiry that the administration should be improved, and the society fail after such period as he may determine to introduce such reforms into the administration as are necessary, to order the amount which may be carried to the administration account of

the society out of contributions under this Act to be reduced by such sum as he may direct. PART III.
—cont.

83.—(1) Where an approved society fails to comply with any of the provisions or requirements of this Act relating to approved societies, or where such a society or the body of which the society forms a separate section is convicted of an offence under any Act regulating its constitution or under any other Act, the Minister may withdraw approval, and thereupon the society shall cease to be an approved society, and the Minister shall make such provision as he may consider necessary with respect to members of the society who are insured persons. Withdrawal
of approval.

(2) Provision may be made by regulations for authorising, in cases where it appears expedient in the interest of the members of the society to do so, the withdrawal of approval from a society on account of maladministration of its affairs under this Act.

(3) In case of the maladministration of the affairs of any branch of an approved society, whether a branch which is separately registered or a branch which has been recognised by the Minister under this Act, the Minister may declare that the branch shall cease to be a branch for the purposes of this Act.

Dissolution, Amalgamation, &c.

84.—(1) An approved society shall not be dissolved without the sanction of the Minister. Dissolution
of societies.

(2) Provision may be made by regulations for the manner and conditions in and upon which the dissolution of approved societies may be carried into effect, and in connection with that purpose for—

- (a) the valuation of the assets and liabilities of dissolved societies under this Act;
- (b) the reduction (either permanently or temporarily) in the event of a deficiency being disclosed, of the rates of benefits payable to members and the periods during which those benefits or any of them are payable;
- (c) the establishment of a special fund to which contributions of members are to be paid, and out of which benefits are to be paid; and

PART III.
—cont.

(d) the application, subject to the prescribed modifications, adaptations and exceptions, to the special fund and the members thereof, of the provisions of this Act relating to approved societies and to membership of and transfer to and from approved societies.

(3) This section shall have effect notwithstanding anything contained in any Act regulating the constitution of the society.

Amalgama-
tion, trans-
fer of en-
gagements,
&c. of
societies.

85.—(1) Provision may be made by regulations as to the manner in and the conditions on which the following matters may be carried into effect :—

- (a) the amalgamation for the purposes of this Act of any two or more approved societies, or of an approved society with a society which is not an approved society, or of any two or more branches of an approved society;
- (b) the transfer by an approved society of its engagements under this Act, or of such of those engagements as relate to members resident in any particular national area or as relate to men only or women only, to any other approved society or to any two or more other approved societies which may undertake to fulfil those engagements;
- (c) the transfer of the engagements of a branch of an approved society, or of such of those engagements as relate to men only or to women only, to any other branch, or to any two or more other branches, of that society or of any other society, or to that society or to any other society or to any two or more other societies;
- (d) the financial adjustments to be made on any such amalgamation or transfer.

(2) Regulations under this section may provide that where the committee of management of a society with branches desire to alter the constitution of the society so as to secure that for the purposes of the administration of the affairs of the society under this Act the society shall cease to be a society with branches, or the branches in different areas shall be grouped, and where not less than the prescribed proportion of the members of the society present at a general meeting, or, in the case of a society

whose affairs are managed by delegates elected by members, of those delegates so present, consent thereto— PART III.
—cont.

- (a) an amalgamation for the purposes of this Act of all the branches of the society or of all the branches of the society within any area; or
- (b) a transfer to the society of the engagements under this Act of all the branches of the society, or a transfer to one branch of the society in any area of the engagements of all the other branches of the society within the same area,

may take effect notwithstanding that any one or more of the branches concerned may not consent.

- 86.—(1) Provision may be made by regulations— Secession,
expulsion
and dissolu-
tion, &c. of
branches.
- (a) with respect to the manner and conditions in and upon which the secession, expulsion or dissolution of a branch of an approved society in respect of its business under this Act may be carried into effect, and for the financial adjustments to be made on any such secession, expulsion or dissolution;
 - (b) for enabling or requiring an approved society with branches to establish, subject to the prescribed conditions and in the prescribed manner, a central fund for the purpose of administering the benefits of any of the members of any branch which may secede or be dissolved or expelled or cease to be a branch for the purposes of this Act, and with respect to payments into and out of any fund so established and with respect to the transfer of any persons for whose benefits the fund is liable to any other branch of the society;
 - (c) for enabling an approved society, not being an approved society with branches, to establish branches, and to apportion among the branches, subject to the prescribed conditions, all or any of the funds of the society.

(2) This section shall have effect notwithstanding anything contained in any Act regulating the constitution of the society.

PART III.

—cont.

Admission
of insured
persons to
membership
in approved
societies.

Membership of Approved Societies.

87.—(1) Subject to the provisions of this Act, any insured person and any person entitled to become an insured person may apply to an approved society for membership.

(2) An approved society shall be entitled, in accordance with its rules, to admit or reject any person so applying for membership, or to expel any of its members being insured persons :

Provided that no such application shall be refused solely on the ground of the age of the applicant.

(3) If any approved society to which or to the duly appointed agent of which, being a person receiving applications for admission to the society, any person not being a member of any approved society delivers an application in proper form for admission to the society, does not within a period of three months after the date on which the application is so delivered deliver or send by post to that person a notification in writing that his application has been rejected, that person shall be deemed to have been admitted a member of the society as on the date of delivery of the application.

Prohibition
against
double
insurance.

88.—(1) A person shall not be, or attempt to become, a member for the purposes of this Act of more than one approved society at the same time, or, being a deposit contributor, to become at the same time a member for the purposes of this Act of an approved society.

(2) Nothing in this Act shall prevent any person who is a member of an approved society under this Act becoming a member of the same or any other society independently of this Act, or prevent a deposit contributor becoming a member of any society independently of this Act, or affect the right of an approved society to reject or expel from membership any person not being an insured person, or the rights or liabilities of an approved society or of any member thereof arising otherwise than under this Act.

(3) Subject to the provisions of this Act, all rules made by a society which becomes an approved society or any branch thereof shall remain and be of the same force and effect as though this Act had not been passed.

89.—(1) Subject to the provisions of this Act, a member of an approved society shall be entitled, on giving the prescribed notice and on complying with the prescribed conditions, to terminate his membership of the society and become a member of another society or a deposit contributor :

PART III.

—cont.

Termination
of member-
ship of
approved
societies.

Provided that—

- (i) a member of an approved society shall not be entitled to terminate his membership except as at the prescribed times, and the prescribed times shall be so fixed as to give opportunities for terminating membership at intervals not greater than twenty-seven weeks ;
- (ii) if an approved society, within thirty days after receiving notice from a member that he desires to terminate his membership, gives notice to the Minister and to the member that it objects to the member so doing and proves to the satisfaction of the Minister that the society would be prejudiced in its administration by the retirement of the member, the Minister may, if in the circumstances of the case and having regard to the interests of the insured person he thinks it proper so to do, declare the notice cancelled, and in such case the member shall remain a member of the society as if no notice had been given ;
- (iii) subject to the consent of the Minister, an approved society may, during any period not exceeding two years from the date on which the result of a valuation is declared, suspend, except in any specified circumstances, the right of insured persons who are members of the society to terminate their membership ;
- (iv) if it appears to the Minister at any time as regards an approved society that, having regard to the interests of the society as a whole, it is not desirable that individual members of the society should be allowed to terminate their membership and that the circumstances are such that the engagements of the society ought to be transferred

PART III.
—cont.

to another society, he may declare the right of termination of membership to be suspended, and while any such declaration is in force no person shall, except with the consent of the Minister, terminate his membership of that society;

- (v) a member of an approved society on terminating his membership shall, unless he is a person who entered into insurance within the two years immediately preceding the date on which he gave notice of desire to terminate membership and has not previously been transferred from some other approved society, pay to the society the prescribed fee.

(2) The provisions of the preceding subsection shall apply to the termination of membership of a branch of an approved society in like manner as they apply to the termination of membership of an approved society, subject to the following modifications :—

- (a) in the case of a person desiring to terminate his membership of a branch for the purpose of transferring to another branch of the same society, proviso (ii) shall have effect with the substitution of the central authority of the society for the Minister and proviso (v) shall not apply unless the rules of the society so provide; and

- (b) the power under proviso (iii) shall be exercised by the central authority of the society subject to the consent of the Minister.

(3) If any officer, servant or agent of an approved society directly or indirectly pays or provides, or offers to pay or provide, any fee or part of any fee payable under this section, he shall be liable on summary conviction to a fine not exceeding five pounds.

(4) Any person being a member of an approved society to whom a certificate of exemption is granted under this Act, or who otherwise ceases to be an insured person, shall upon the grant of the certificate or on so ceasing, as the case may be, cease to be a member of the society :

Provided that, if any person within one year after so ceasing to be a member of a society becomes an employed contributor, he shall on making an application for the purpose within the prescribed time be entitled to be re-admitted as a member of the society, and the society shall re-admit him accordingly. .

PART III.
—cont.

(5) The suspension of a member of an approved society from benefits shall not be deemed to deprive him of his membership of the society.

90. Any member of an approved society who is a minor may execute all instruments and give all acquittances necessary to be executed or given under the rules of the society, but shall not be a member of the committee or a trustee, manager or treasurer of the society or any branch thereof.

Provision as to members of approved societies who are minors.

Insurance Committees.

91.—(1) There shall be an insurance committee for every county and county borough.

Constitution of insurance committees.

(2) Every insurance committee—

(a) shall be a body corporate by the name of “The Insurance Committee for the County (or Borough) of ”;

(b) shall have perpetual succession and a common seal;

(c) shall, subject in every case to the consent of the Minister, have power to take, purchase and hold land for the purposes of this Act without any licence in mortmain.

(3) An insurance committee shall consist of such number of members as the Minister, having regard to the circumstances of each case, may determine, but in no case less than twenty or more than forty, of whom—

(a) three-fifths shall be appointed in such manner as may be prescribed so as to secure representation of the insured persons resident in the county or county borough who are members of approved societies and of the insured persons so resident who are deposit contributors in proportion, as nearly as may be, to their respective numbers;

PART III.
—cont.

- (b) one-fifth shall be appointed by the council of the county or county borough;
- (c) two members shall be appointed by the local medical committee for the county or county borough;
- (d) one member shall be a medical practitioner appointed by the council of the county or county borough;
- (e) the remaining members shall be appointed by the Minister:

Provided that—

- (i) the regulations with respect to the appointment of members to represent insured persons shall provide for conferring on the approved societies which have members resident in the county or county borough the power of appointing the representatives of those members, and, where an association of the deposit contributors resident in the county or county borough has been formed under the regulations, for conferring on that association the power of appointing the representatives of the deposit contributors; and
 - (ii) of the members appointed by the council of the county or county borough two at least shall be women, and of the members appointed by the Minister one at least shall be a medical practitioner and two at least shall be women.
- (4) Where in pursuance of the provisions of this Act any part of the cost of medical benefit is defrayed by the council of the county or county borough, the Minister may increase the representation of the council and make a corresponding diminution in the representation of the insured persons.

Procedure
&c. of
insurance
committees.

92.—(1) Provision may be made by regulations—

- (a) with respect to the appointment, quorum, term of office and rotation of members and proceedings generally of an insurance committee, including the appointment of sub-committees consisting wholly or partly of members of the committee;

- (b) with respect to the employment of officers and the provision of offices by the committee, including the use by the committee, with or without payment, of any offices of a local authority, but subject to the consent of such authority;
- (c) for the constitution of district insurance committees, and for apportioning among the several district insurance committees any of the powers and duties of the committee;
- (d) for regulating the relations of district insurance committees to the insurance committee and to one another; and
- (e) for modifying the provisions of subsection (3) of the last preceding section in their application to an insurance committee consisting of less than forty members:

PART III.
—cont.

Provided that the Minister in making regulations under this paragraph shall have regard to the desirability of maintaining, so far as practicable, the proportion between the several classes of persons to be appointed as members of insurance committees as prescribed by the said subsection.

{2} At least one woman shall be on every sub-committee constituted by an insurance committee for dealing with the administration of any benefit.

93.—(1) If the special circumstances of any county or county borough are such that the Minister considers that the travelling expenses of the members of the insurance committee for that county or county borough should be repaid to them by the committee, the Minister may authorise the committee to repay the whole or any part thereof, and any sum so repaid shall be treated as part of the administration expenses of the committee.

Payment by insurance committees of travelling expenses, subsistence allowances, &c.

(2) In addition to any allowances for travelling expenses which may be paid under this section, an insurance committee may pay to the members of the committee subsistence allowance and compensation for loss of remunerative time in accordance with a scheme prepared by the committee and approved by the Minister, and there shall be paid out of moneys provided by

PART III.
—*cont.*

Parliament towards the expenses of the insurance committee under any such scheme, such sum, if any, as the Minister, with the consent of the Treasury, may determine, so, however, that the aggregate amount paid under this subsection shall not exceed twenty-eight thousand pounds in any one year.

(3) Subject to such conditions and restrictions as may be prescribed, an insurance committee may, for the purpose of securing to any of its officers or servants on retirement superannuation allowances or other benefits, make contributions to any fund providing such benefits approved by the Minister, and any contributions so made shall be treated as part of the administration expenses of the committee.

(4) An insurance committee may pay any sum, not exceeding in respect of any year ten pounds, or such greater amount as the Minister approves not exceeding twenty pounds, as a subscription to the funds of any association of insurance committees whose objects are approved by the Minister, as well as any reasonable expenses of the attendances of representatives, not exceeding in any case four, at meetings of any such association, on a scale to be approved by the Minister, and any sums so paid shall be treated as part of the expenses of the committee.

Combina-
tion of
insurance
committees.

94. Any insurance committee may, and, if so required by the Minister, shall, combine with any one or more other insurance committees for all or any of the purposes of this Act, and, where insurance committees so combine, the provisions of this Act shall apply with such necessary adaptations as may be prescribed.

Default by
insurance
committees.

95.—(1) Without prejudice to his power to take any other proceedings, the Minister may, if after a public inquiry he is satisfied that by reason of the default of an insurance committee in the performance of their duties the administration of medical benefit or of the benefits of deposit contributors in the area of the committee is being prejudiced, by order declare that the existing members of the committee have vacated their office.

(2) Every such order shall provide for the appointment forthwith, subject to the provisions of this Part of this Act, of a new committee, and may contain such provisions as seem to the Minister

expedient for authorising any person to act in the place of the committee pending the appointment of the new committee.

PART III.
—*cont.*

96.—(1) An insurance committee shall, in addition to the other powers and duties conferred and imposed on them by this Act, have the following powers and duties :—

Powers and
duties of
insurance
committees.

- (a) they shall make such reports as to the health of insured persons within the county or county borough as the Minister may prescribe, and shall furnish to him such statistical and other returns as he may require, and may make to him such other reports on, and on the conditions affecting, the health of those persons, and may make such suggestions with regard thereto, as they may think fit, and the reports and returns so made shall include such reports and returns as will enable an analysis and classification to be made of the persons who are deposit contributors;
- (b) they shall make such provision for the giving of lectures and the publication of information on questions relating to health as they think necessary or desirable, and may, if they think fit, for that purpose make arrangements with local education authorities, universities and other institutions.

(2) For the purpose of assisting insurance committees in the exercise and performance of their powers and duties under this Act, and with a view to promoting co-operation between such committees and the councils of counties, boroughs, and urban and rural districts, any medical officer of health may, at the request of an insurance committee and with the consent of the council by whom he is appointed, attend meetings of the committee and give such advice and assistance as is in his power.

(3) The Minister shall forward copies of any reports, returns, and suggestions made under this section to the councils of the counties, boroughs, and urban and rural districts, which appear to him to be affected thereby or interested therein.

PART III.
—cont.

(4) In this section references to the council of a borough include references to the common council of the City of London and the council of a metropolitan borough.

Local
medical
committees.

97. Where a local medical committee has been formed for any county or county borough or for any area for which a district committee has been constituted and the Minister is satisfied that the committee is representative of the medical practitioners resident in the county, county borough or area, he shall recognise the committee, and where a local medical committee has been so recognised, that committee shall, subject to regulations, be consulted by the insurance committee or district committee, as the case may be, on all general questions affecting the administration of medical benefit, including the arrangements made with medical practitioners for giving attendance and treatment to insured persons, and shall perform such other duties and shall exercise such powers as may be determined by the Minister.

Panel
committees.

98. Where under this Act or any regulations it is the duty of an insurance committee to ascertain, in respect of any matter affecting the administration of medical benefit in the area, the opinions and wishes of the medical practitioners who have entered into agreements with the committee for attendance on and the treatment of insured persons whose medical benefit is administered by the committee, they shall do so through a committee appointed by those practitioners in accordance with regulations (in this Act referred to as "the panel committee"), and the panel committee shall perform such duties and shall exercise such powers as may be determined by the Minister, and in any area in which no local medical committee has been recognised under the provisions of the last preceding section of this Act, a panel committee may be recognised as the local medical committee for that area.

Pharma-
ceutical
committees.

99. In every county or county borough there shall, in accordance with regulations, be elected by the persons who have agreed to supply drugs, medicines and appliances to insured persons whose medical benefit is administered by the committee, a local committee (in this Act referred to as "the pharmaceutical committee"),

and the pharmaceutical committee shall, subject to regulations, be consulted by the insurance committee on all general questions affecting the supply of drugs, medicines and appliances to insured persons, and shall perform such duties and exercise such powers as may be determined by the Minister.

PART III.
—cont.

100.—(1) An insurance committee, if requested so to do by the panel committee or the pharmaceutical committee, may be authorised by the Minister out of moneys available for the provision of medical benefit within the area to allot to each of those committees respectively for the administration expenses of the committee, such a sum as may be determined by the insurance committee with the consent of the Minister not exceeding twopence in all in respect of each year in respect of each insured person entitled to obtain medical attendance and treatment from the practitioners who have entered into agreement with the insurance committee.

Provision by insurance committees for expenses of panel and pharmaceutical committees.

(2) Any travelling expenses incurred by members of any panel committee or pharmaceutical committee in attending meetings of the committee or of any sub-committee thereof, and any expenses incurred by any such members on account of subsistence while so attending, shall be deemed to be administration expenses of the panel or pharmaceutical committee, as the case may be.

PART IV.

FINANCIAL PROVISIONS RELATING TO APPROVED SOCIETIES AND INSURANCE COMMITTEES.

Accounts of Approved Societies.

101.—(1) Every approved society and every branch of an approved society shall—

Accounts of approved societies.

- (a) keep its books and accounts under this Act separate from all other books and accounts of the society or branch, and in such form as may be prescribed, and when required submit them to audit by auditors appointed by the Treasury;
- (b) submit to have its assets and liabilities under this Act valued in accordance with the provisions of this Act;

PART IV.
—cont.

(c) in the event of a surplus or deficiency, being shown upon any such valuation, comply with the provisions relating to surpluses and deficiencies hereinafter contained;

(d) render such returns as the Minister may require, including such particulars with respect to the insurance of any person who is or was a member of the society as the Minister may require for the purposes of the Contributory Pensions Act.

(2) The provisions of this Act relating to accounts, audit, valuation and returns shall, as respects the transactions of any approved society or branch thereof under this Act, be substituted for such of the provisions of any Act regulating the constitution of the society or branch as deal with the like matters.

(3) In the case of a society or branch transacting other business (in this Act referred to as "private business") as well as insurance business under this Act (in this Act referred to as "state business"), all funds and credits of the society or branch under this Act shall be as absolutely the security of the members for the purposes of this Act as if they belonged to a society or branch carrying on no other business than state business, and shall not be liable for any contracts of the society or branch for which they would not have been liable had the business of the society or branch been only state business, and shall not be applied directly or indirectly for any purposes other than those of state business.

Where there has been established a separate section of a society and that separate section is an approved society under this Act, the expression "society" in this subsection means the society of which the separate section has been established and not the separate section.

Administra-
tion ex-
penses of
approved
societies.

102.—(1) Subject to the provisions of this section, provision shall be made by regulations for a separate account being kept in respect of every society and branch of a society showing the amount expended on administration by that society or branch, and for applying to the audit of expenditure out of that separate account the provisions of the Fourth Schedule to this

Act subject to the necessary modifications and for limiting the amount which may be carried to that account out of the contributions under this Act, and for requiring any deficiency in that account, if not otherwise defrayed to be met forthwith by a special levy.

PART IV.
—cont.

(2) Subject to the consent of the Treasury, regulations may, notwithstanding any other provision of this Act, be made for authorising an approved society, being a society registered under the Friendly Societies Acts, 1896 to 1929, under the Trade Unions Acts, 1871 to 1927, or under the Industrial and Provident Societies Acts, 1893 to 1928, which carries on private business as well as state business, with the consent of the Minister and subject to any prescribed conditions as to audit or otherwise, either to keep a joint account for the purpose of the administration expenses of both the private business and the state business, or for the purpose of some part of those expenses, or to pay out of the funds standing to the credit of the administration account kept by the society in respect of the state business to the account kept by the society in respect of its private business any sum not exceeding the prescribed amount, upon the terms that all or some part of the administration expenses in connection with the state business shall be defrayed out of the funds standing to the credit of the account kept in respect of the private business, and providing that the provisions of this Act relating to the audit of the accounts of approved societies shall not apply in any such case.

(3) Regulations may be made—

- (a) imposing on members of any society who fail to pay within the prescribed time any levy which they are liable to pay such penalty by way of reduction, postponement or suspension of benefits as may be prescribed and providing for the necessary adjustments in the accounts of the society;
- (b) extending to branches of approved societies with or without modification the provisions of any regulations made under this subsection or under subsection (2) of this section with respect to approved societies.

PART IV.

—cont.

Valuation
of approved
societies.*Valuation of Approved Societies.*

103.—(1) A valuation of the assets and liabilities arising under this Act of every approved society and of every branch of an approved society shall be made by a valuer, to be appointed by or with the approval of the Treasury, at the expiration of every five years or at such other times as the Minister may appoint, and the times so appointed may be at shorter or longer intervals than five years and at regular or irregular intervals, and may apply to all approved societies or any particular society or societies.

(2) Every valuation shall be made on such basis as may be prescribed.

Provisions
as to appli-
cation of
surpluses.

104.—(1) The following provisions shall have effect in any case where on a valuation under the last preceding section there is found a surplus which is certified by the valuer to be disposable :—

- (a) if the society is not a society with branches, the society may submit to the Minister a scheme for distributing out of the surplus any one or more additional benefits among insured persons who are members of the society for the purposes of this Act, and upon any such scheme being sanctioned by the Minister, the society may distribute the additional benefit or benefits in accordance with the provisions of the scheme ;
- (b) if on the valuation of a branch of an approved society, a surplus is shown in respect of the branch, the branch may, with the approval of the society, submit to the Minister a scheme for distributing out of the surplus any one or more additional benefits among insured persons who are members of the branch for the purposes of this Act, and upon any such scheme being sanctioned by the Minister, the branch may distribute the additional benefit or benefits in accordance with the provisions of the scheme ;
- (c) if at any time after a scheme submitted by a society or branch has been so sanctioned as aforesaid, there is found to be a deficiency in the funds of the society or branch, no additional benefits shall be distributed under the scheme until the deficiency is extinguished.

PART IV.
—cont.

(2) The duration of the scheme shall be such as may have been previously fixed by the Minister, but may be varied by the Minister from time to time, and the valuer in determining the amount of the surplus which is disposable shall treat as disposable such part only of the surplus as in his opinion may reasonably, having regard to the circumstances and prospects of the society or branch, be expended within the period of the duration of the scheme as so fixed or varied.

(3) Any such scheme may provide for allocating out of the disposable surplus such maximum sum as may be prescribed for the purpose of making occasional subscriptions or donations of an eleemosynary character to hospitals, dispensaries or other charitable institutions, or for the support of district nurses, or for the purposes of medical research to institutions approved by the Minister; and where a scheme makes provision for such expenditure, sums may, subject to any conditions imposed by the scheme and until there is found to be a deficiency in the funds of the society or branch, be so expended, and shall be treated as expenditure on benefits.

(4) A scheme made under this section may determine the conditions to be complied with as respects the additional benefits and may provide for the reduction, suspension or deprivation of the additional benefits in the case of members who are in arrears, and if it so provides may make a corresponding modification in any regulations providing for the reduction, suspension or postponement of benefits (other than additional benefits) on account of arrears.

(5) No surplus and no part of any surplus shall be applied either—

- (a) for the purpose of paying any benefits payable on death or any benefits other than one or more of the additional benefits specified in the Third Schedule to this Act; or
- (b) towards making good any deficiency in any other society or branch.

(6) A member of a society or branch shall not be entitled to an additional benefit unless such conditions relating to the period of membership of the society or branch as may be prescribed with respect to that benefit are complied with in his case.

PART IV.
—cont.

(7) In this section the expression “additional benefits” in relation to any scheme means the additional benefits authorised by the scheme.

Regulations
with respect
to schemes.

105. Regulations may be made with respect to the administration of schemes under the last preceding section and of any additional benefit, and with respect to the arrangements for the provision of any service or appliances towards the cost of which payment may be made by way of additional benefit; and any scheme providing for any additional benefit shall, except so far as the Minister may otherwise direct, have effect as if the regulations relating to the benefit were incorporated in the scheme, and the provisions of the scheme made subject thereto:

Provided that such regulations shall not restrict the right on the part of any insured person to obtain treatment from any practitioner, clinic, or other institution with whom arrangements with respect to that form of treatment have been made in accordance with the regulations.

Power of
Minister to
restrict new
entrants into
society
providing
additional
benefits.

106. Where the Minister is satisfied that the number of members of a society or branch who are or may become entitled to any additional benefit under a scheme has since the scheme came into operation increased to such an extent that a further increase in the number of such members would be likely to affect prejudicially the financial position of the society or branch, the Minister may by order direct that the society or branch shall not without his consent accept as a member of the society or branch during the period of the operation of the scheme any person who is a member of another society or branch.

Provisions
with respect
to apprehended
deficiencies.

107. If on the valuation of an approved society or branch of an approved society it appears to the valuer that a deficiency will be disclosed, the provisions contained in Part VI of this Act with respect to an apprehended deficiency and with respect to payments out of the Reserve Suspense Fund hereinafter mentioned and the Central Fund in the case of apprehended deficiencies shall have effect.

Application
of contin-
gencies fund

108.—(1) If on the valuation of a society without branches a deficiency is disclosed, the sums standing to

the credit of the contingencies fund of the society shall be applied towards making good the deficiency, and if no deficiency is so disclosed, or if the sums standing to the credit of the contingencies fund are more than sufficient to make good that deficiency, the sums standing to the credit of that fund or the balance thereof shall, subject to the provisions of the next succeeding section with respect to small societies, be carried to the benefit fund of the society, but any amount so carried shall not be treated for the purposes of this Part of this Act as forming part of any surplus found at that valuation.

PART IV.

—*cont.*towards
making
good defi-
ciencies.

(2) If on the valuation of any society with branches a deficiency is disclosed in the case of any one or more branches of the society, the central authority of the society shall apply the sums standing to the credit of the contingencies fund of the society towards making good those deficiencies, except that, if satisfied that any part of a deficiency is due to any maladministration by the branch in question, the central authority may, with the consent of the Minister, refuse so to make good at all or in part that part of the deficiency.

(3) If on the valuation of a society with branches there are no deficiencies in the case of any of the branches, or if the sums standing to the credit of the contingencies fund are more than sufficient to provide for the total amount of the deficiencies made good under the last preceding subsection, the fund or the balance of the fund shall, subject to the provisions of the next succeeding section relating to small societies, be apportioned among the several branches in proportion to the amounts paid into the fund in respect of contributions of members of those branches respectively since the date as at which the last valuation was made, but where there was a deficiency in the case of any branch the amount so paid into the fund in respect of contributions of members of that branch shall for the purpose of this subsection be deemed to be reduced by the amount (if any) applied towards making good the deficiency.

(4) The amount apportioned under the last preceding subsection to any branch shall be applied and dealt with as follows :—

- (a) if there was a deficiency in the case of the branch and any part thereof was not discharged out

PART IV.
—cont.

of the 'contingencies fund of the society as being due to maladministration, the amount shall be applied towards making good that deficiency :

- (b) subject as aforesaid, the amount shall be carried to the benefit fund of the branch, but any amount so carried shall not be treated for the purposes of this Part of this Act as forming part of any surplus found at that valuation.

(5) In this Act "contingencies fund" means the contingencies fund of the society formed in accordance with the provisions in that behalf contained in Part VI of this Act, and "benefit fund" means the fund out of which benefits payable by the society or branch are provided.

Regulations
of Joint
Committee
with respect
to small
societies.

109. Regulations of the Joint Committee shall provide, in the case of societies which at the date as at which a valuation is made have not joined an association formed or recognised under the next succeeding section and have less than one thousand members, for applying pro rata to such extent, as may be necessary, any balances of the contingencies funds of those societies not required for making good deficiencies in those societies under the provisions of the last preceding section towards making good pro rata the balances of the deficiencies remaining in the case of other such societies after the application of the contingencies funds of those societies in accordance with the said provisions, subject nevertheless to the power of the Minister to refuse to allow to be made good either at all or in part any part of any deficiency which in his opinion is due to maladministration :

Provided that the Minister shall exempt from this section any society consisting of persons entitled to rights in a superannuation or other provident fund established for the benefit of persons employed by one or more employers, if the employer in addition to the contributions payable by him under this Act is responsible for the solvency of the fund or for the benefits payable thereout, or is liable to pay a substantial part of, or to make substantial contributions to, or substantially to supplement the benefits payable out of, the fund, and this section shall not apply to any society so exempted.

110. Regulations may be made providing for the formation within the prescribed time for the purposes of the last two preceding sections of associations with central financial committees, and the following provisions shall have effect in relation to any associations so formed and in relation to any such associations which are in existence at the commencement of this Act and were either formed under any enactment repealed by this Act or recognised by virtue of regulations made under any such enactment as associations so formed :—

- (a) regulations may be made prescribing the conditions on which and the time within which a society shall be entitled or allowed to join, or having joined, to secede from, any such association, and the manner in which and the conditions on which any such association may be dissolved ;
- (b) subject to such adaptations as may be prescribed, the provisions of this Part of this Act relating to the application of the contingencies fund of a society shall apply as though the association were a society with branches and the associated societies were the branches of the society and the contingencies funds of the associated societies formed the contingencies fund of the society ;
- (c) except so far as relates to the power of refusing to allow any part of a deficiency due to mal-administration to be made good out of any contingencies fund, nothing in this section shall be construed as conferring on any central financial committee any powers of control over the administration of any society ;
- (d) if at the date as at which any valuation is made the aggregate number of the members of societies in any such association is less than five thousand, those societies shall, for the purposes of the last preceding section, be treated in relation to that valuation as if they had not been associated.

PART IV.
—cont.
Regulations
with respect
to associa-
tions with
central
financial
committees.

111. If, in the case of a society consisting of persons entitled to rights in a superannuation or other provident fund established for the benefit of persons employed by one or more persons the employer is responsible for the

Provisions
with respect
to provident
funds

PART IV.
—*cont.*
guaranteed
by
employers.

solvency of the fund, or for the benefits payable thereout, he shall not, in the event of a deficiency being disclosed on a valuation of the society be required to make good the deficiency or to make up to their full amount the benefits payable out of the fund except in so far as the contingencies fund of the society is insufficient for the purpose, but save as aforesaid nothing in the last three preceding sections shall affect any obligation in relation to such a society undertaken by the employer whereby he becomes responsible for the solvency of the fund or for the benefits payable thereout, or liable to pay a substantial part of, or to make substantial contributions to, or substantially to supplement the benefits payable out of, the fund.

Provisions
with respect
to making
good defi-
ciencies out
of Central
Fund.

112. If on the valuation of any society or branch of a society a deficiency is disclosed, and the sums in any contingencies fund available to make good that deficiency are not sufficient, the provisions contained in Part VI of this Act with respect to making good the deficiency out of the Central Fund shall have effect.

Provision
for defi-
ciencies not
met out of
contingen-
cies fund or
Central
Fund.

113.—(1) Any deficiency not made good from any contingencies fund, or from the Central Fund or, in the case of a society in relation to which an employer has undertaken any obligation, by the employer in pursuance of that obligation, shall be made good in accordance with a scheme for that purpose to be prepared by the society, or, in the case of a deficiency in a branch, by the branch subject to the approval of the society, and submitted to the Minister for his sanction, and any such scheme shall provide for making good the deficiency, within a period of five years, or such other period as the Minister may require in any particular case, from the expiration of six months after the date on which the valuation report is issued to the society, in any one or more of the following ways :—

- (a) by a compulsory levy by way of increase of the weekly rate of contributions upon members of the society or branch being insured persons ;
- (b) by reducing the rate of sickness benefit either for the whole period during which sickness benefit is payable or any part thereof ;
- (c) by deferring the day as from which sickness benefit becomes payable ;

(d) by reducing the period during which sickness benefit is payable; PART IV.
—cont.

(e) by increasing the period which is required by this Act to elapse between two periods of disease or disablement to prevent the one being treated as a continuation of the other;

(f) by any other method approved by the Minister;

and on the sanction of the Minister being given to the scheme, the society or branch shall proceed to make good the deficiency in accordance therewith.

(2) Payment of the amount of any compulsory levy made in accordance with a scheme sanctioned under this section may be enforced in such manner as may be provided by the rules of the society or branch, and, where those rules so provide, it shall be lawful for the society or branch in the case of any member to enforce payment of the amount of the levy by giving notice in the prescribed manner to the employer of that member requiring him to pay the amount of the levy, and upon such notice being given, that amount shall be payable as if it were part of the contribution to be paid by the employer on behalf of the member, and all the provisions of this Act relating to the payment of such contributions and the recovery thereof from members shall apply accordingly.

(3) If within six months after the declaration of a deficiency or such longer period as the Minister may determine, such a scheme as aforesaid has not been submitted to and sanctioned by the Minister, or if at any time thereafter it appears to the Minister that the society or branch to which the scheme relates is not enforcing the provisions of the scheme, the Minister may take over the administration of the affairs of the society or branch under this Act, and shall, as soon as possible thereafter, take such steps as he may think necessary to make good the deficiency by any or all of the methods mentioned in subsection (1) of this section, and for that purpose shall be entitled to exercise all or any of the powers given to the society or branch by this Act.

(4) The Minister after taking over the administration of the affairs of any society or branch shall within a reasonable time, not exceeding three years, make arrangements for the restoration to the society or branch of its

PART IV. powers of self-government, or, failing that, for the
—*cont.* dissolution of the society or branch.

(5) Any question or dispute arising between the Minister and the society or branch in respect of the amount of the deficiency, or as to the adequacy of any scheme proposed for making it good, shall be submitted to an independent valuer to be appointed by the Lord Chief Justice of England, and the valuer so appointed shall, subject to the provisions of this Act and of any regulations, act, so far as practicable, on his own knowledge and experience, and shall have power to determine how and by what parties the costs of proceedings, including his own remuneration, not exceeding such amount as the Treasury may prescribe, are to be defrayed, and his decision shall be final and conclusive.

(6) A scheme made under this section shall not affect any person who becomes a member of the society or branch after the date as at which the valuation was made or any member over sixty-five years of age.

(7) Any member liable to a levy payable at intervals may relieve himself of the liability thereto, and a member subject to a diminution of benefits by virtue of any such scheme may, with the consent of the society or branch, acquire a right to undiminished benefits, on payment to the Minister of the capitalised value of the levy or diminution of benefits, as the case may be, ascertained in the prescribed manner.

Restrictions
on transfer
from society
in defi-
ciency.

114.—(1) Where on a valuation a deficiency has been disclosed in the case of any society or any branch of a society and a scheme for making good the deficiency has been made under this Act, no insured person who was a member of the society or branch at the date as at which the valuation was made shall be entitled, till the deficiency has been made good, to be transferred from that society or branch to another society or to any branch of the same society except on payment to the Minister at the time of his transfer, to be credited to the first-mentioned society or branch, of an amount to be ascertained in the prescribed manner equal to the capitalised value of any levy which would have been payable by him, or of any reduction of benefits to which he would have been liable, if he had not ceased to be a member of that society or branch.

(2) If any insured person ceases to be a member of any society or any branch of a society at any time between the date as at which a valuation of the society or branch is made (being a valuation on which a deficiency is subsequently disclosed) and the date on which the scheme for making good the deficiency comes into operation and becomes a member of some other society or branch, he shall on demand pay to the Minister, to be credited to the first-mentioned society or branch, such an amount as he would have been required to pay if he had remained a member of that society or branch and were about to be transferred to another society or branch, and if he fails to do so he shall be subject to such reduction, suspension or postponement of benefits as may be prescribed, and the necessary adjustments shall be made in the accounts of the societies or branches concerned.

PART IV.
—cont.

115.—(1) Where a society with branches is so organised that the branches in different national areas are grouped together for the purposes of this section, the branches in any of those areas may, if and to such extent as the rules of the society so provide and if the number of members of the branches being insured persons in the area exceeds five thousand, be treated for the purposes of the provisions of this Act relating to valuations, surpluses and deficiencies as if they formed a separate society.

Special pro-
visions as to
societies
with
branches.

(2) The rules of any society with branches may provide for the branches reinsuring with the society their liabilities in respect of any benefits or, if the society is so organised as aforesaid, for such reinsurance either with the society or with the group.

(3) Where a society with branches has among its members insured persons who are not members of any branch and the benefits of those members are administered by the society itself, those members shall be treated for the purposes of the provisions of this Act relating to valuations, surpluses and deficiencies as if they formed a separate branch.

116. Where an approved society, not being a society with branches, or a branch of an approved society has amongst its members both men and women and the rules of the society so provide, the provisions of this Part and

Power to
separate
men's and
women's
funds.

PART IV.
—cont.

of Part VI of this Act with respect to valuations, surpluses and deficiencies shall apply to the society as if it were a society consisting of two branches, and to the branch as if the branch consisted of two branches, the one consisting of men and the other of women.

*Accounts and Funds of Insurance Committees.*Accounts of
insurance
committees.

117.—(1) Every insurance committee shall keep proper books and accounts in the prescribed form and shall, when required, submit their accounts to audit by auditors appointed by the Treasury.

(2) The provisions set out in Part I of the Fourth Schedule to this Act shall have effect with respect to the accounts of insurance committees and the audit thereof.

Provision of
funds for
insurance
committees.

118.—(1) All sums payable in respect of the members of approved societies and deposit contributors resident in the county or county borough for the purposes of medical benefit and administration expenses in any year shall be paid or credited to the insurance committee at the commencement of that year, or at such time or times and in such instalments and in such manner and proportions as may, with the consent of the Treasury, be prescribed.

(2) There may, out of the funds out of which benefits are payable under this Act be applied for the purpose of meeting the cost of medical benefit, the administration expenses of insurance committees and any expenses incurred by the Minister in connection with the administration of benefits a sum at such yearly rate as may be prescribed, but not exceeding thirteen shillings per year in respect of each of the total number (calculated in the prescribed manner) of the persons who are entitled to medical benefit as being or having been members of an approved society, and there shall be paid for each year to insurance committees on account of the cost of medical benefit and their administration expenses, and to the Minister on account of expenses incurred by him in respect of the administration of benefits, sums not exceeding in the aggregate the sum applicable as aforesaid, and not exceeding as respects the administration expenses of insurance committees the sum of sixpence, and as respects the expenses of the Minister the sum of threepence, in respect of each of the total number aforesaid :

Provided that, if the aggregate sum paid for any year to insurance committees and the Minister under this section in respect of each of the total number aforesaid is less than the sum applicable as aforesaid in respect of each of the said total number, the balance shall be carried forward and be treated as being applicable as aforesaid in any subsequent year.

PART IV.
—cont.

(3) Payments under this section shall be made in accordance with regulations to be made with the approval of the Treasury, and any such regulations so made may make special provision as to the sum to be paid on account of the cost of the medical benefit of, and otherwise with respect to, members of an approved society who are persons employed as masters or seamen serving on foreign-going ships.

119. It shall be lawful for any local authority, out of any fund or rate out of which the expenses of the authority are payable, to subscribe such sums as they may think fit towards the general purposes of the insurance committee.

Power of local
authorities to
subscribe to
insurance
committees.

120.—(1) If in any year the amount payable to an insurance committee in respect of all persons for the administration of whose medical benefit they are responsible is insufficient to meet the estimated expenditure thereon, the committee may, through the Minister, transmit to the Treasury and to the council of the county or county borough an account showing the amount so payable and the estimated expenditure, and the Treasury and the council of the county or county borough may, if they think fit and if satisfied that the amounts so payable and the proposed expenditure are reasonable and proper in the circumstances, sanction the expenditure.

Contribu-
tions by
local autho-
rities
towards
medical
benefit.

(2) The Treasury and the council of the county or county borough sanctioning any such expenditure as aforesaid shall thereupon each be liable to make good, in the case of the Treasury out of moneys provided by Parliament, one-half of any sums so sanctioned by them and expended by the insurance committee on medical benefit in the course of the year in excess of the amounts so payable to the insurance committee as aforesaid.

PART IV.
—cont.

(3) The council of any borough or urban or rural district may agree with the council of the county in which the borough or district is situate to repay to the council of the county the whole or any part of the sums payable by that council in accordance with the provisions of this section towards the excess expenditure on medical benefit so far as that excess is properly attributable to the borough or district.

(4) An agreement under this section may provide that the county council shall not raise any sum on account of any expenditure incurred by them under this section for the purpose to which the agreement relates within the area of any borough or urban or rural district the council of which have entered into such agreement, during the continuance of the agreement.

PART V.

SPECIAL CLASSES OF INSURED PERSONS.

Voluntary Contributors in certain Excepted Employments.

Voluntary
contributors
in certain
excepted
employ-
ments.

121.—(1) Any person employed in an employment which is an excepted employment by virtue of a certificate given under paragraph (b), paragraph (c) or paragraph (d) of Part II of the First Schedule to this Act, not being a married woman or a person in respect of whom no contributions under the Contributory Pensions Act are payable, may, subject to the prescribed conditions, if he gives notice within the prescribed time and in the prescribed manner that he desires to become a voluntary contributor under this Act, become such a contributor.

(2) Any person who, having been employed in an employment which is such an excepted employment as is mentioned in the preceding subsection, not being a married woman or a person in respect of whom no contributions under the Contributory Pensions Act were payable or, if he had continued to be so employed after the fourth day of January, nineteen hundred and twenty-six, would have been payable while he was so employed, ceases to be so employed, may, subject to the prescribed conditions, become a voluntary contributor under this Act.

(3) If, in the case of a person who is employed in an employment which is an excepted employment by virtue of a certificate given under paragraph (b) or paragraph (c) of Part II of the First Schedule to this Act, contributions under the Contributory Pensions Act either cease to be payable or become payable at the reduced rates mentioned in Part IV of the First Schedule to that Act instead of at the ordinary rates, that person shall be entitled to become a voluntary contributor in the same manner as if he had ceased to be employed in such an excepted employment as aforesaid.

PART V.
—cont.

(4) Notwithstanding anything in the preceding subsections of this section, a person employed in any excepted employment to which those subsections apply shall not be entitled to become a voluntary contributor under this Act by virtue only of his employment in that excepted employment, if that employment is also an excepted employment by virtue of paragraph (k) of Part II of the First Schedule to this Act (which relates to employment otherwise than by way of manual labour and at a rate of remuneration exceeding in value two hundred and fifty pounds a year).

Deposit Contributors.

122.—(1) Subject to any regulations made under this section, the following provisions shall apply in the case of an insured person (in this Act referred to as “a deposit contributor”) who has not joined an approved society within the prescribed time, or who, having been a member of an approved society, has been expelled therefrom or has terminated his membership thereof in accordance with the provisions of this Act and has not, within the prescribed time, joined another approved society :—

Deposit con-
tributors.

- (a) contributions by or in respect of a deposit contributor shall be credited to a special fund to be called the Deposit Contributors Fund;
- (b) the sums required for the payment of any sickness, disablement or maternity benefit payable to a deposit contributor, except so far as they are payable out of moneys provided by Parliament, shall be paid out of the money standing

PART V.
—cont.

to his credit in the Deposit Contributors Fund, and his right to benefits shall be suspended on the sums standing to his credit in that fund being exhausted;

- (c) such sum as may be prescribed shall in each year be payable in respect of each deposit contributor for the purposes of the cost of medical benefit;
 - (d) the sums payable in respect of a deposit contributor for the purposes of medical benefit and towards the expenses of administration, shall, except so far as they are payable out of moneys provided by Parliament, be deducted, at the time and in the manner prescribed, from the amounts standing to his credit in the Deposit Contributors Fund.
- (2) Provision may be made by regulations for—
- (a) applying any of the provisions of this Act relating to members of approved societies, with the necessary modifications, adaptations and exceptions, to deposit contributors;
 - (b) enabling the accounts of deposit contributors to be kept in terms of contributions, and the amounts payable to or in respect of deposit contributors on account of benefit to be fixed as nearly as may be in terms of contributions, and for prescribing the conditions subject to which the benefits of deposit contributors shall be paid or provided;
 - (c) prescribing the amount which may be charged in respect of the expenses (by whomsoever incurred) of administering the benefits of deposit contributors and for providing for the payment of and otherwise regulating those expenses; and
 - (d) authorising in the prescribed cases, and notwithstanding anything contained in this section, the charges for medical benefit and the administration of benefits for past periods, and the adjustment and apportionment of such charges, to be made on such basis as may be prescribed.

123.—(1) There shall be a separate section of deposit contributors, called “the Deposit Contributors Insurance Section,” which shall consist of those deposit contributors who make application to the Minister in the prescribed manner and within the prescribed time, and prove that the state of their health is such that they cannot obtain admission to an approved society, and in whose case the prescribed conditions are fulfilled.

PART V.
—cont.
Deposit
Contribu-
tors In-
surance
Section.

(2) In the case of deposit contributors who are members of the Section the following provisions shall apply in lieu of the provisions of the last preceding section:—

- (a) members of the Section shall, subject to the provisions of this Act, be entitled to benefits other than additional benefits;
- (b) the cost of benefits and the expenses of the administration thereof, so far as not payable out of moneys provided by Parliament, shall be paid out of the sums standing to the credit of the Section;
- (c) subject to the provisions of Part VI of this Act relating to the sums to be retained by the Minister out of weekly contributions, there shall be carried to the credit of the Section—
 - (i) the contributions paid by or in respect of the members of the Section;
 - (ii) the amount standing in the Deposit Contributors Fund to the credit of any depositor, not being a member of the Section, dying or becoming permanently resident outside the United Kingdom, if and so far as not otherwise applied under any provisions of this Act relating to persons resident out of the United Kingdom;
 - (iii) any interest credited to the Deposit Contributors Fund.

(3) Provision may be made by regulations as to the administration of benefits of members of the Section, and for applying to the Section and to the members of the Section, subject to the prescribed modifications, adaptations, and exceptions, the provisions of this Act

PART V.
—cont.

relating to approved societies and to members and membership of and transfers to and from approved societies, and for excepting from their application to members of the Section any of the provisions of this Act relating to deposit contributors.

(4) Regulations may provide for enabling the Minister, if the state of health of any member of the Section is no longer such as to disqualify him for admission to an approved society, to terminate his membership of the Section.

Deposit
contributors
attaining
age of
sixty-five.

124. Provision may be made by regulations for the purpose of enabling deposit contributors who, on attaining the age of sixty-five years, fulfil the prescribed conditions to become entitled to medical benefit for the remainder of their lives, and such regulations may provide for the transfer of such deposit contributors to the Deposit Contributors Insurance Section.

Benefits of
deposit
contributor
joining
approved
society.

125. Any insured person who, being a deposit contributor, becomes a member of an approved society shall, for the purpose of any regulations relating to the benefits of persons in arrears, be treated, subject to the prescribed modifications, as if he had been a member of an approved society since the date of his entry into insurance.

Married Women.

Married
women.

126.—(1) Where a woman being an insured person under the age of sixty-five and a member of an approved society marries, she shall, if she had before the date of her marriage ceased, or if at any time during coverture and within twelve months after the date of her marriage she ceases, to be a person whose normal occupation is employment within the meaning of this Act, cease as from the date of her marriage or as from the date on which she ceases to be such a person (which last date is hereinafter referred to as “the date of unemployment”), whichever is the later, to be entitled to the benefits to which she would otherwise have been entitled under the provisions of this Act, and in lieu thereof she shall,—

(a) subject to the provisions of this Act, be entitled to the following benefits, that is to say—

(i) sickness benefit for an aggregate of not more than six weeks in the period of twelve

PART V.
—cont.¹

months commencing next after the date of unemployment, or if the date of unemployment was anterior to the date of her marriage, within so much of that period as is subsequent to her marriage; and for the purposes of this paragraph the first disease or disablement in respect of which such sickness benefit is payable shall not be deemed to be a continuation of any previous disease or disablement;

(ii) a single maternity benefit irrespective of arrears in respect of her first confinement after the date of unemployment (or, if the date of unemployment was anterior to the date of her marriage, after the date of her marriage) and within two years from the date of her marriage;

(iii) medical benefit until the thirtieth day of June or the thirty-first day of December, whichever first occurs, next after the expiration of a period of twelve months from the date of unemployment;

(iv) any additional benefits provided by her approved society in accordance with a scheme made under the provisions of Part IV of this Act relating to the application of surpluses; and

(b) until the expiration of two years from the date of her marriage, be treated as if she were an insured person.

(2) For the purposes of this section, a woman shall be deemed to have ceased to be a person whose normal occupation is employment within the meaning of this Act as soon as she has been unemployed for eight consecutive weeks commencing next after the contribution week in which she ceased to be employed:

Provided that in calculating the said period of eight weeks no account shall be taken of any period during which she was incapable of work by reason of some specific disease or bodily or mental disablement of which notice is given within the prescribed time, or of any period with respect to which she proves that she was available for but unable to obtain employment within the meaning of this Act, or of any period after she attains the age of sixty-five.

PART V.
—cont.

(3) In the case of a woman being a voluntary contributor who marries, this section shall apply as though the date of her marriage were the date of unemployment.

Provision
as to women
becoming
employed
after
marriage,
&c.

127.—(1) If a woman, after becoming entitled to benefits by virtue of the provisions of the last preceding section, becomes employed within the meaning of this Act, or after the death of her husband becomes a voluntary contributor before she ceases to be an insured person, she shall, for the purpose of determining her title to benefits other than additional benefits, be treated as if she had become insured for the first time on the date on which she so becomes employed or becomes a voluntary contributor :

Provided that no woman shall, by reason only of so becoming employed or becoming a voluntary contributor, be deprived of any benefit to which she would but for the provisions of this subsection have been entitled, unless and until she becomes entitled to corresponding benefit by virtue of her new insurance.

(2) No married woman shall be entitled to be a voluntary contributor during coverture.

(3) Subject to the provisions of this and the last preceding section, the provisions of this Act shall apply to a woman who has been married, both during and after coverture, as if she had never been married.

Notice of
marriage to
be given to
approved
society.

128.—(1) It shall be the duty of every woman who, being an insured person and a member of an approved society, marries to give notice of her marriage to her society within eight weeks thereof.

(2) If an approved society pay to any married woman who has failed to give notice as aforesaid any sum by way of sickness or disablement benefit in excess of the amount properly payable to her, the society shall, if it was not aware of her marriage, be entitled to deduct the amount so paid in excess from the amount of any benefits subsequently payable to her.

Members of the Forces of the Crown.

Seamen,
marines,
soldiers
and airmen.

129.—(1) For the purpose of providing seamen, marines, soldiers and airmen with such benefits during their term of service and after their return to civil life as are hereinafter mentioned, there shall be paid to the

Minister by the Admiralty, Army Council and Air Council respectively, out of the moneys provided by Parliament for Navy, Army and Air Force services, in respect of every seaman and marine within the meaning of the Naval and Marine Pay and Pensions Act, 1865, of every soldier of the regular forces (not being a soldier of His Majesty's Indian Forces, of the Royal Malta Artillery or a native soldier of any regiment raised outside the United Kingdom), and of every member of the regular Air Force, if such seaman, marine, soldier or airman is a member of an approved society, a sum of threepence in respect of each contribution week or part of a contribution week for which he receives pay, and, if such seaman, marine, soldier or airman is not a member of an approved society, such sum per contribution week as may be prescribed :

PART V.
—cont.

28 & 29 Vict.
c. 73.

Provided that the number of the persons in respect of whom payments are to be made under the foregoing provision shall be ascertained in such manner, and the sums to be paid thereunder shall be paid to the Minister in such manner and at such dates in each year as shall be agreed between the Minister and the Admiralty, the Army Council and the Air Council respectively.

(2) This section shall not apply to a seaman, marine, soldier or airman who entered or enlisted before the age of sixteen until he attains that age, and shall apply to him on attaining that age as if he had entered or enlisted at the time when he attained that age.

(3) For the purposes of this section, "seaman," "marine" and "airman" do not include a native or a Maltese enrolled or recruited outside the British Islands, and "soldier" does not include a soldier who has not been finally accepted for service.

(4) A person to whom this section applies is in this Act referred to as "a man of the forces."

130.—(1) A man of the forces who is a member of an approved society shall for the purposes of this Act be treated as if he had been employed within the meaning of this Act and a contribution had been paid in respect of him for each contribution week from the date of his entry or enlistment to the date of his discharge, subject, until his discharge, to the following modifications :—

Position of
men of
forces who
are members
of approved
societies.

(a) he shall not be entitled to medical benefit, sickness benefit or disablement benefit;

PART V.
—cont.

- (b) maternity benefit shall be payable notwithstanding that his wife is resident outside the United Kingdom at the date of the confinement, and the society may arrange with the Admiralty, Army Council or Air Council for the administration of the benefit through the Admiralty, Army Council or Air Council;
- (c) there shall be credited to the approved society of which he is a member a sum equal to sixpence for each weekly contribution paid, and an equal sum shall be treated as having been expended on benefits, and the proper proportion thereof shall accordingly be paid out of moneys provided by Parliament.

(2) Subject to the provisions of Part VI of this Act relating to the sums to be retained by the Minister out of weekly contributions, the Minister shall credit periodically to the approved societies of which men of the forces are members the proper proportion of the sums paid to him by the Admiralty, Army Council and Air Council under the last preceding section.

(3) Provision may be made by regulations for entitling men of the forces who join approved societies either during service or within the prescribed period after discharge to participate, subject to such conditions as may be prescribed, in additional benefits provided by those societies.

Navy,
Army and
Air Force
Insurance
Fund.

131.—(1) The provisions of subsection (1) of the last preceding section shall apply to men of the forces who are not members of approved societies, subject to the following modifications :—

- (a) there shall be credited to a special fund, to be called the Navy, Army and Air Force Insurance Fund (in this section referred to as “the Fund”), a sum equal to sixpence for each weekly contribution paid in respect of every man of the forces who has not joined an approved society, and an equal sum shall be treated as having been expended on benefits, and the proper proportion thereof shall accordingly be paid out of moneys provided by Parliament;

PART V.
—*cont.*

- (b) the weekly contributions to be made by the Admiralty, Army Council and Air Council in respect of men of the forces shall be such as may from time to time be required to keep the Fund solvent;
- (c) subject to the provisions of Part VI of this Act relating to the sums to be retained by the Minister out of weekly contributions, the Minister shall, after crediting as hereinbefore provided to approved societies of which men of the forces are members the proper proportion of the sums paid to him by the Admiralty, Army Council and Air Council in respect of those men, credit to the Fund the residue of the sums so paid;
- (d) any man of the forces who was at the date of his entry or enlistment a deposit contributor, shall, for the purpose of dealings with the sum standing to his credit in the Deposit Contributors Fund, be treated as if the Navy, Army and Air Force Insurance Fund were an approved society and as if he had at the date of his entry or enlistment become a member of that society;
- (e) a man of the forces shall, until discharged, be entitled to maternity benefit payable out of the Fund, and shall be entitled to such benefit notwithstanding that his wife is at the date of the confinement resident outside the United Kingdom, and the benefit shall be administered by the Admiralty, Army Council or Air Council, either directly or through insurance committees;
- (f) a man of the forces, discharged from service as such, who proves that the state of his health is such that he cannot obtain admission to an approved society may, if he so elects, on making application to the Minister in the prescribed manner within three months of his discharge or such longer time as may be prescribed, become, subject to regulations made after consultation with the Admiralty, Army Council and Air Council, entitled to benefits;
- (g) the cost of the benefits mentioned in the last preceding paragraph shall be payable out of the

PART V.
—*cont.*

Fund, and the benefits shall be administered by insurance committees or otherwise in accordance with the regulations aforesaid, and any contributions paid under this Act by or in respect of any such man as is therein mentioned shall be paid into the Fund:

Provided that—

(i) subject to the express provisions of this Act, no deduction from benefits shall be made on account of any pension to which a man may be entitled;

(ii) there shall in each year be repaid to the Fund out of moneys provided by Parliament a sum equal to one-seventh of the amount expended out of the Fund on benefits, including the expenses of administration.

(2) Provision may be made by regulations for applying to the Fund and to the members of the Fund, subject to the prescribed modifications, adaptations and exceptions, the provisions of this Act relating to approved societies and to members and membership of and transfer to and from approved societies, and relating to persons lapsing from insurance, and for providing benefits (other than additional benefits) out of the Fund to men of the forces who are not members of an approved society when discharged for such period after discharge as may be prescribed.

(3) Subject to the approval of the Treasury, provision may be made by regulations for granting out of the Fund to men of the forces to whom paragraph (f) of subsection (1) of this section applies such additional benefits as may from time to time be prescribed having regard to the liabilities and assets of the Fund, as though the Fund were an approved society and the discharged men had been members of the society since the date of their entry or enlistment.

(4) Regulations may be made enabling the Admiralty, the Army Council or the Air Council to appoint a person to exercise on behalf of any person of unsound mind entitled to benefits out of the Fund any right of election which that person is under this Act entitled to exercise, and to appoint a person to receive on behalf of and for the

benefit of such person any sums by way of benefit which would otherwise have been payable to him.

PART V.
—cont.

(5) Regulations may provide that, subject to the prescribed conditions, any person being a man of the forces discharged from service as such during, or within the prescribed period after the conclusion of, the late war shall, if he is certified by the Admiralty, Army Council or Air Council to be suffering from any disease or bodily or mental disablement, and if for any reason he is not qualified under this Act to receive benefits out of the Fund, become or continue to be entitled out of the Fund to medical benefit.

132.—(1) Where, in pursuance of any Order in Council relating to pensions of officers or seamen and marines or other persons, or of any Royal Warrant or order relating to pensions of officers, soldiers or airmen or other persons, disabled in consequence of the late war, there has been granted to any person who was a man of the forces or who was an insured person at the time of his leaving naval, military or other pensionable service, a pension in respect of disablement in the highest degree, the rate of any sickness or disablement benefit to which that person may be entitled in respect of his insurance under this Act shall, throughout the period in respect of which that pension, or a pension of greater amount granted in lieu thereof, is payable, be reduced by seven shillings and sixpence a week, notwithstanding anything in this Act to the contrary :

Men of
forces in
receipt of
war pen-
sions.

Provided that a person to whom such a pension has been granted shall not be subject, or shall cease to be subject, to such reduction as aforesaid—

- (i) as respects sickness benefit, if he proves that since leaving naval, military or other pensionable service he has been employed within the meaning of this Act or been engaged in some regular occupation during twenty-six weeks, whether consecutive or not, and that twenty-six weekly contributions have been paid in respect of him; and
- (ii) as respects disablement benefit, if he proves that since leaving naval, military or other pensionable service he has been so employed or engaged during one hundred and four weeks, whether

PART V.
—cont.

consecutive or not, and that one hundred and four weekly contributions have been paid in respect of him.

, For the purposes of this subsection—

- (a) an allowance in lieu of pension to a person undergoing a special course of medical treatment or undergoing treatment in an institution or receiving training in a technical institution or otherwise; and
- (b) a pension in respect of total disablement suffered in consequence of the late war granted before the first day of April nineteen hundred and seventeen,

shall be treated as if the allowance or pension were a pension in respect of disablement in the highest degree.

For the purposes of this subsection, a person shall not be deemed to have been employed or engaged as aforesaid in any week unless he proves that the remuneration received in respect of the employment or regular occupation in which he was engaged was such as to provide a substantial contribution towards his means of livelihood in that week.

(2) The society, committee or other body by which the sickness and disablement benefits of any person to whom subsection (1) of this section applies are administered may, pending the settlement of his claim for pension, pay him benefit at the unreduced rate, and where benefit at the unreduced rate has been paid pending the settlement, the amount of the difference between the benefit at the unreduced rate and at the reduced rate for that period shall be treated as an advance and shall, without prejudice to any other method of recovery, be recoverable by deductions from or suspension of any benefits which may subsequently become payable to the person in question, or may, if the Minister of Pensions thinks fit, be repaid by him out of any arrears in his hands of the pension due to that person.

(3) In calculating arrears of contributions for the purposes of this Act, no account shall be taken of any arrears accruing during any period when the person in question has been subject to a reduction of, or been disentitled to, sickness or disablement benefit by virtue of this section.

133.—(1) In the application of this Act to a man who is or has been a man of the forces—

PART V.

—*cont.*

General provisions relating to men of forces.

(a) the date of his entry or enlistment as a man of the forces, or, if he was serving on the fifteenth day of July, nineteen hundred and twelve, that date, shall, unless he was an insured person at the date of his entry or enlistment, be treated as the date of his entry into insurance;

(b) subject to the provisions of this Act, a man of the forces during his term of service shall—

(i) if he joined an approved society before his entry or enlistment, be deemed to reside in that national area in which he resided immediately before his entry or enlistment;

(ii) if he joined an approved society after his entry or enlistment, be deemed to reside in that national area in which the registered or head office or other principal place of business of the society or branch which he has joined is situate;

(iii) in any other case be deemed to reside in England; and

(c) all persons entitled to benefits payable out of the Navy, Army and Air Force Insurance Fund shall, subject to the provisions of Part X of this Act, be deemed to reside in England.

(2) Discharge shall, in the case of a man of the forces who on the completion of any term of service is transferred to a reserve, include transfer to the reserve, and a man of the forces who absents himself on desertion shall be deemed to have been discharged on the date on which he so absents himself, and to re-enter or re-enlist on the date on which the absence terminates.

134. The foregoing provisions of this Part of this Act relating to men of the forces shall—

Application of Act to officers and men of reserve forces.

(a) subject to such adaptations and modifications as may be prescribed, apply to men belonging to the naval reserves when employed on service during war or any emergency, to men of the army reserve and air force reserve when called out on service otherwise than for training, and to men of the territorial army and auxiliary air

PART V.
—cont.

force when called out on embodiment or on service otherwise than for training;

- (b) subject to such adaptations, modifications or conditions as may be prescribed, apply to officers of the reserve forces;

but save as aforesaid shall not apply to any such men or officers.

Mercantile Marine.

Benefits,
contribu-
tions, &c.,
of seamen.

135.—(1) Neither sickness benefit nor disablement benefit shall be paid to a master or seaman suffering from any disease or disablement in respect of any period during which the owner of the ship is, under the Merchant Shipping Acts, 1894 to 1932, as amended by any subsequent enactment, or otherwise, liable to defray the expense of the necessary surgical and medical advice and attendance and medicine and of his maintenance, and he shall not be entitled to medical benefit during any such period:

Provided that, if during any part of any such period as aforesaid the owner of the ship is not liable to pay wages to the master or seaman so suffering from disease or disablement, sickness benefit or disablement benefit in respect of that part of the period shall, if the master or seaman has dependants, be paid in whole or in part at the discretion of the society or committee by which the benefit is administered, and the benefit so paid shall be paid to, or applied for the relief or maintenance of, those dependants in such manner as the society or committee by which the benefit is administered, after consultation whenever possible with the master or seaman, thinks fit.

(2) Any period in respect of which, under the provisions of this section, no payment of sickness or disablement benefit is made to a master or seaman or to his dependants shall be excluded in computing the period of twenty-six weeks during which sickness benefit may continue, and any disease or disablement suffered by a master or seaman during any such first mentioned period shall, for the purposes of the provisions of this Act which enact that in certain cases disease or disablement is to be deemed a continuation of a previous disease or disablement, be deemed not to be a disease or disablement.

(3) In the case of masters and seamen serving on foreign-going ships the employed rate and the employer's

contributions¹ shall each be reduced by twopence-halfpenny a week, and every four weekly contributions paid in any prescribed period by or in respect of any master or seaman while serving in such a ship shall, for the purposes of calculating arrears, be treated as five such contributions :

PART V.
—cont.

Provided that there shall be credited to the approved society of which the master or seaman is a member, or, if he is a deposit contributor, to his account in the Deposit Contributors Fund, a sum equal to three-fifths of the amount of the contributions actually paid in respect of him, and an equal sum shall be treated as having been expended on sickness benefit, and the proper proportion thereof shall accordingly be paid out of moneys provided by Parliament.

(4) A master or seaman who is neither domiciled nor has a place of residence in the United Kingdom shall not be deemed to be employed within the meaning of this Act, but the employer shall be liable to pay the same contributions in respect of him as would otherwise have been payable by him as employer's contributions, except in cases where the ship is engaged in regular trade on foreign stations :

Provided that this subsection shall have effect subject to the provisions of this Act which make provision for the case of persons resident outside the United Kingdom and for the making of mutual arrangements between the United Kingdom and the Irish Free State.

136.—(1) The Seamen's National Insurance Society (in this section referred to as "the Society"), constituted under the National Insurance Act, 1911, shall continue to exist, and shall, notwithstanding anything in this Act, be an approved society.

Seamen's
National
Insurance
Society.
1 & 2 Geo. 5.
c. 55.

(2) The affairs of the Society shall be managed by a committee constituted in accordance with a scheme prepared by the Board of Trade with the approval of the Minister, and comprising representatives of the Board of Trade, of shipowners, and of members of the Society, in equal proportions, and one of the representatives of the Board of Trade shall be a person nominated by the Ministry of Labour for Northern Ireland.

(3) Any masters or seamen who are employed within the meaning of this Act, and, if the rules of the Society

PART V.
—cont.

so provide, any masters or seamen who are voluntary contributors, shall be entitled to become members of the Society.

(4) The rules of the Society shall provide for allowing a member who leaves the sea service and is unable to obtain admission to another approved society on account of the state of his health to remain a member of the Society for the purposes of this Act, and may so provide in the case of a member who leaves the sea service and continues to be or becomes a voluntary contributor.

(5) For the purposes of this Act, members of the Society shall, subject to the provisions of Part X of this Act, be deemed to reside in England, and the medical benefit of members of the Society shall be administered by the Society instead of by insurance committees, and the provisions of this Act relating to the administration of medical benefit shall apply accordingly, subject to such modifications as may be prescribed, but nothing in this provision shall prevent the Society from agreeing with any insurance committee for the administration of medical benefit by the committee in relation to individual members of the Society.

(6) Nothing in this section shall prevent any master or seaman from joining another approved society instead of the Society.

Provisions
with respect
to contribu-
tions of
masters and
seamen not
domiciled or
resident in
United
Kingdom,
&c.

137. Regulations shall be made providing that contributions payable in respect of masters and seamen who are neither domiciled nor have a place of residence in the United Kingdom, and of masters and seamen serving in foreign-going ships who have such a domicile or place of residence, shall, subject to the retention thereof of the sums to be retained by the Minister under the provisions of Part VI of this Act, be paid into a separate account, and for the application of the sums carried to that account, so as to provide—

- (a) for the application thereof in the first instance in satisfaction of claims thereto of approved societies and deposit contributors;
- (b) for the payment of the expenses of the administration of the system;
- (c) for making payments for the like purposes as the purposes for which payments may be made

under the provisions of Part VI of this Act out of sums received by the Minister on account of sales of stamps in respect of which no claim has been or is likely to be made by or on behalf of approved societies or deposit contributors, and of amounts corresponding to the amounts paid thereunder;

PART V.
—cont.

- (d) for carrying the residue (subject to the provisions of this Act which make provision for the case of persons resident outside the United Kingdom) to the Seamen's Special Fund hereinafter mentioned.

138.—(1) For the purposes of this Act, there shall be a special fund, called the Seamen's Special Fund, which shall be vested in and administered by a body or bodies constituted in accordance with a scheme to be prepared by the Joint Committee, after consultation with the Board of Trade, and comprising persons representing shipowners and masters and seamen :

Seamen's
Special
Fund.

Provided that at least one-half of the governing body shall be representative of all classes of persons entitled to benefits out of the fund.

(2) The accounts of the Seamen's Special Fund shall be subject to audit, and the Fund shall be subject to the provisions of this Act relating to valuations, surpluses and deficiencies, subject to the prescribed modifications, as if it were an approved society.

(3) The governing body of the Seamen's Special Fund shall, subject to the approval of the Board of Trade and of the Joint Committee, prepare a scheme for the provision out of the sums credited to the Seamen's Special Fund of such benefits for masters and seamen, as are specified in the scheme (including pensions for masters and seamen with long sea service), and the scheme may provide for preference being given to masters and seamen who have served in foreign-going ships over those who have served in coasting and home trade ships, and for such preference being proportionate to the length of time spent in the first-mentioned service.

(4) The costs of any benefits under the said scheme and the expenses of administering those benefits shall be paid out of the Seamen's Special Fund and no part thereof shall be paid out of moneys provided by Parliament.

PART V.

—cont.

Provisions
as to short
service
constables
of the
metro-
politan
police force.*Metropolitan Police.*

139. Notwithstanding anything in any certificate given under paragraph (b) of Part II of the First Schedule to this Act, a constable of the metropolitan police force who is appointed for a fixed period of service shall be deemed to be employed within the meaning of this Act during his period of service and shall be insured during that period as an employed contributor, and the provisions of this Act shall apply in relation to him subject, however, to the following modifications :—

- (a) the contribution payable in respect of him shall be an employer's contribution at the rate of threepence a week and shall be paid to the Minister out of the metropolitan police fund in respect of each contribution week, or part of a contribution week, for which he receives pay; and
- (b) he shall not be entitled during his period of service to medical benefit, sickness benefit or disablement benefit; and
- (c) if he is a member of an approved society, there shall be credited to the society a sum equal to sixpence for each weekly contribution paid, and an equal sum shall be treated as having been expended on benefits, and the proper proportion thereof shall accordingly be paid out of moneys provided by Parliament.

PART VI.

CENTRAL FINANCE.

*National Health Insurance Fund.*Constitution
of National
Health In-
surance
Fund.

140.—(1) Subject to the provisions of this Act, all sums received in respect of contributions under this Act, and all sums paid out of moneys provided by Parliament in respect of benefits and the expenses of the administration of benefits, shall be paid into a fund called "the National Health Insurance Fund," which shall be under the control and management of the Minister.

(2) The sums required to meet expenditure properly incurred by the Minister, by approved societies and insurance committees, and by the Navy, Army and Air Force Insurance Fund, the Deposit Contributors Fund, and the

Deposit Contributors Insurance Section, for the purposes of benefits and of the administration of benefits, shall be paid out of the National Health Insurance Fund.

PART VI.
—cont.

(3) The sums payable to the National Health Insurance Fund out of moneys provided by Parliament shall be paid in such manner and at such times as the Treasury may determine.

141.—(1) Subject to the approval of the Treasury, regulations shall be made with respect to the crediting and debiting to the accounts of approved societies in the National Health Insurance Fund of the sums received and paid by the Minister on behalf of and to them, and with respect to the payments to be made by and to the Minister to and by them.

Provisions with respect to accounts of approved societies, &c. in National Health Insurance Fund.

(2) The said regulations shall, among other things—

- (a) provide for the crediting to each approved society of the contributions paid by or in respect of the members thereof after deduction of the amounts retained thereout by the Minister as hereinafter provided;
- (b) provide for the discharge of debit balances, in such manner and at such times as the Minister may determine, out of the proceeds of the realisation of securities held by an approved society or by the Minister on behalf of the approved society, and out of the sums standing to the credit of the society in the Investment Account hereinafter mentioned, proportionately, or by a reduction of the reserve values hereinafter mentioned which are credited to the society.

(3) Regulations may be made in relation to the Navy, Army and Air Force Insurance Fund, Deposit Contributors Fund and the Deposit Contributors Insurance Section, with respect to any of the matters mentioned in the last preceding subsection subject to the prescribed modifications, adaptations and exceptions.

142.—(1) The Minister shall ascertain periodically the sums standing in the National Health Insurance Fund to the credit of each approved society, the Navy, Army and Air Force Insurance Fund, the Deposit Contributors Fund, the Deposit Contributors Insurance Section, and the Reserve Suspense Fund hereinafter mentioned, which are available for investment.

Investment Account.

PART VI.
—cont.

(2) The amount so ascertained shall, so far as not required under the provisions of this Act to be paid over to a society for investment or invested by the Minister on behalf of the society, be carried to a separate account in the National Health Insurance Fund called "the Investment Account."

(3) Regulations made under this Act with the approval of the Treasury shall require the Minister, on carrying any sum to the credit of an approved society in the Investment Account, to pay over to the society for investment, or at the request of the society, to retain for investment on behalf of the society, one-half of the amount ascertained to be available for investment :

Provided that, in the case of any society which gives notice to that effect to the Minister, no part of the sum ascertained to be available for investment shall be paid over to the society for investment or retained by the Minister for investment on behalf of the society, but the whole amount shall be carried to the credit of the society in the Investment Account.

(4) The said regulations shall provide for crediting to approved societies, the Navy, Army and Air Force Insurance Fund, the Deposit Contributors Fund, the Deposit Contributors Insurance Section, and the Reserve Suspense Fund, interest at such rate or rates per annum as may be prescribed on the sums from time to time standing to the credit of the society, Fund, or Section, in the Investment Account.

Investment
of funds by
approved
societies.

38 & 39 Vict.
c. 83.

143.—(1) Every approved society shall invest any sums paid to the society for investment, and shall for the purpose have power to invest in any investments in which trustees are for the time being by law empowered to invest trust funds, or in any stocks, mortgages or other securities issued by any local authority within the meaning of the Local Loans Act, 1875, and charged on any rates levied by or on the order or precept of that authority, or in any other securities for the time being approved by the Minister.

(2) Regulations may be made enabling the Minister, in the case of approved societies which transact business other than business under this Act or which are separate sections of other bodies, and under whose rules investments arising out of business under this Act are made in the names of the persons in whose names investments

arising out of business other than business under this Act are made, to require that any investments of sums paid to the society for investment under the last preceding section shall, unless made in the names of the trustees of the society as trustees of the funds of the society under this Act, be made in the joint names of the Minister and two or more of the trustees of the society, or, if the society so requests, in the name of the Minister alone.

PART VI.
—cont.

(3) Where at the request of a society the Minister, instead of paying over any sum to the society, retains the sum for investment on behalf of the society, he shall invest the sum in accordance with the directions of the society in any investments in which the society might have invested it, if it had been paid over to the society, and shall from time to time vary the investments in accordance with the like directions, and shall pay over or credit to the society all sums received by way of interest or dividend on the investments held by him on behalf of the society.

(4) Every approved society shall apply the sums received by way of interest or dividend on investments held by the society or by the Minister on behalf of the society towards the cost of the benefits of the members of the society and the expenses of the administration of those benefits, or otherwise as may be prescribed.

144.—(1) Out of each weekly contribution paid by or in respect of an insured person who is a member of an approved society, of the Deposit Contributors Insurance Section or of the Navy, Army and Air Force Insurance Fund, there shall be retained by the Minister—

Minister to retain certain sums out of weekly contributions.

- (a) for the purposes mentioned in paragraphs (a), (b) and (c) of the next succeeding subsection the sum of one penny and one-tenth of a penny in the case of a man, and the sum of four-fifths of a penny in the case of a woman; and
- (b) for the purposes mentioned in paragraph (d) of that subsection such further sum as may with the consent of the Treasury be prescribed in the case of men and women respectively :

Provided that—

- (i) for the purpose of ascertaining the sums to be retained by the Minister out of the contributions of masters and seamen serving in

PART VI.
—*cont.*

foreign-going ships, every six weekly contributions at the reduced rate paid by or in respect of those masters and seamen by virtue of the provisions of Part V of this Act shall be treated as seven weekly contributions;

- (ii) nothing shall be retained by the Minister for the purposes of the Unemployment Arrears Fund out of the weekly contributions paid by or in respect of members of the Deposit Contributors Insurance Section unless regulations so provide.

(2) Out of the sums retained by the Minister under the last preceding subsection—

- (a) seventeen-twentieths of a penny in the case of a man and eleven-twentieths of a penny in the case of a woman shall be periodically apportioned by the Minister in the National Health Insurance Fund among approved societies, including for this purpose the Navy, Army and Air Force Insurance Fund and the Deposit Contributors Insurance Section, in proportion to the amount of the reserve values hereinafter mentioned which have been created under this Act or any Act repealed by this Act or by the National Health Insurance Act, 1924, and which are for the time being standing to the credit of the several societies, and any balance of the sums so apportioned to a society, after providing for interest at the rate of three per centum per annum on the amount of such reserve values for the time being credited to the society, shall be applied to the redemption of those reserve values;
- (b) three-sixteenths of a penny in the case of each insured person, whether a man or a woman, shall be periodically apportioned by the Minister in the National Health Insurance Fund among approved societies, including for this purpose the Deposit Contributors Insurance Section, in proportion to the number of contributions credited, and the sums so apportioned to any society shall form the contingencies fund of the society and be available for making good any deficiency of the society or of the branches thereof in manner provided by Part IV of this Act;

(c) one-sixteenth of a penny in the case of each insured person, whether a man or a woman, shall be paid by the Minister to the Joint Committee, and shall be carried by the Joint Committee to the Central Fund;

PART VI.
—cont.

(d) the sums prescribed in the case of men and women respectively with the consent of the Treasury shall be paid by the Minister to the Joint Committee, and shall be carried by the Joint Committee to the Unemployment Arrears Fund hereinafter mentioned.

(3) Notwithstanding anything in paragraphs (b) and (c) of the last preceding subsection, if at any time it appears to the Joint Committee that, after taking into account the necessity for creating a proper reserve, the sums standing to the credit of the Central Fund are more than sufficient for the purposes for which that Fund is established, the Joint Committee may by regulations provide for decreasing the amounts to be paid by the Minister to the Joint Committee and carried by the Joint Committee to the Central Fund, and for making a corresponding increase in the amounts to be apportioned by the Minister among approved societies for the purposes of the contingencies funds of the societies.

(4) Nothing in this section shall derogate from the power of the Minister to apply the provisions of this Act relating to approved societies and members of approved societies to the Navy, Army and Air Force Insurance Fund and members of the Fund, subject to the prescribed modifications, adaptations and exceptions.

Reserve Suspense Fund.

145. There shall be kept in the accounts of the National Health Insurance Fund an account called "the Reserve Suspense Fund" for the purpose of facilitating the financial adjustments required in respect of persons entering into insurance or ceasing to be insured or transferring from one approved society to another or to an approved society from the Deposit Contributors Fund, the Deposit Contributors Insurance Section, and the Navy, Army and Air Force Insurance Fund, or to any of those Funds from an approved society, or to that Section from the Deposit Contributors Fund, and for the other purposes mentioned in this Part of this Act.

Reserve
Suspense
Fund.

PART VI.

—cont.

Transfer
values
and reserve
values.

146.—(1) "There shall be debited to approved societies and credited to the Reserve Suspense Fund—

- (a) a transfer value for every insured person who, being a member of an approved society, ceases to be an insured person;
- (b) a transfer value for every insured person who, being a member of an approved society, on the expiration of a free insurance period enters upon an extended insurance period and becomes disentitled to sickness and disablement benefit;
- (c) such sum as may be prescribed in the case of any woman, who being an insured person and a member of an approved society, marries.

(2) There shall be credited to each approved society the appropriate reserve values in respect of persons joining the society for the purposes of this Act, or of persons who, being members of the society during an extended insurance period, cease to be disentitled to sickness or disablement benefit or become voluntary contributors, or of women who, being insured persons and members of the society, marry and after their marriage continue to be, or become, employed contributors.

(3) The reserve values required to be credited to approved societies in any year, or such portion of those reserve values as may be prescribed, shall be provided out of the sums standing to the credit of the Reserve Suspense Fund.

(4) Any portion of the reserve values required to be credited to an approved society in any year which is not provided out of the sums standing to the credit of the Reserve Suspense Fund shall be provided by the creation of additional reserve values by the Minister, and the amount of the outstanding reserve values created under any Act repealed by this Act or by the National Health Insurance Act, 1924, shall be increased accordingly.

(5) In this Act, "reserve value" means the capital sum, calculated in accordance with tables prepared by the Minister, which is required in respect of members entering into insurance at ages over sixteen to meet the estimated loss, if any, arising from the acceptance by an approved society of those members upon the terms and conditions as regards contributions and benefits laid down by this Act.

A person who during an extended insurance period ceases to be disentitled to sickness and disablement benefit or becomes a voluntary contributor, or who, being a woman and a member of an approved society, marries and after her marriage continues to be, or becomes, an employed contributor, shall be deemed to have then joined an approved society, and "reserve value" shall in the case of those persons be construed accordingly.

PART VI.
—cont.

(6) In this Act, "transfer value" in relation to an insured person ceasing to be an insured person, or entering upon an extended insurance period and becoming disentitled to sickness and disablement benefit, means the capital sum, calculated in accordance with tables prepared by the Minister, which would represent the liability as at that date of the society in respect of him, if he had continued to be a member of the society upon the same terms and conditions as regards contributions and benefits as theretofore, and in relation to a person who ceases to be a member of an approved society otherwise than by ceasing to be an insured person has a corresponding meaning:

Provided that, save where otherwise expressly provided, the liability, if any, of an approved society with respect to additional benefits shall not be taken into account for the purpose of calculating a transfer value.

(7) Regulations may be made with respect to the administration of the Reserve Suspense Fund, and those regulations shall provide for the manner in which the balance of the sums standing to the credit of the Fund after providing for reserve values and the other sums debited to the Reserve Suspense Fund as hereinafter provided shall be dealt with and applied.

(8) Regulations may be made with respect to the crediting and variation, whether by way of increase or decrease, and cancellation of reserve values.

147.—(1) There shall be debited to an approved society, or to the Navy, Army and Air Force Insurance Fund, as the case may be, and credited to the Reserve Suspense Fund—

- (a) a transfer value for every insured person who ceases to be a member of that approved society and becomes a member of another;

Transfer values in respect of insured persons passing from one society to another.

PART VI.
—*cont.*

(b) a transfer value for every man who ceases to be entitled to benefits out of the Navy, Army and Air Force Insurance Fund on becoming a member of an approved society.

(2) There shall be debited to the Reserve Suspense Fund and credited to an approved society,—

(a) a sum equal to the transfer value of every insured person who becomes a member of that approved society on ceasing to be a member of another approved society;

(b) a sum equal to the transfer value of every man who has ceased to be entitled to benefits payable out of the Navy, Army and Air Force Insurance Fund on becoming a member of an approved society.

(3) In this section, “approved society” includes a branch of an approved society, and “transfer value” in the case of a man ceasing to be entitled to benefits payable out of the Navy, Army and Air Force Insurance Fund means a sum equal to the amount which would have been the amount of his transfer value, if, at that time, he had ceased to be a member of an approved society and had become a member of another approved society.

(4) Regulations made under Part V of this Act for entitling men of the forces who join approved societies to participate in additional benefits provided by those societies may prescribe special transfer values applicable to such men.

Transfer
values in
respect of
deposit con-
tributors.

148.—(1) There shall be credited to the Reserve Suspense Fund—

(a) the sums standing to the credit in the Deposit Contributors Fund of any insured person who ceases to be a deposit contributor and becomes a member of an approved society;

(b) the sums standing to the credit in the Deposit Contributors Fund of any deposit contributor who becomes a member of the Deposit Contributors Insurance Section.

(2) There shall be debited to the Reserve Suspense Fund and credited to an approved society or to the

Deposit Contributors Insurance Section, as the case may be,— PART VI.
—cont.

- (a) in the case of a deposit contributor becoming a member of that approved society;
- (b) in the case of a deposit contributor becoming a member of the Deposit Contributors Insurance Section;

a sum equal to the amount which would have been the amount of his transfer value, if he had previously been a member of an approved society instead of a deposit contributor.

(3) If an insured person, being a member of an approved society, ceases to be a member of that society and becomes a deposit contributor, his transfer value shall be debited to the society and credited to the Reserve Suspense Fund, and there shall be debited to the Reserve Suspense Fund and credited to him in the Deposit Contributors Fund such sum as represents in the opinion of the Minister the value of the contributions paid by or in respect of him, regard being had in making the calculation to his age and the period during which he has been insured, and any sum by which his transfer value exceeds the sum so credited to the Deposit Contributors Fund shall, so far as it represents outstanding reserve value, be cancelled.

149. Provision may be made by regulations for charging to the funds of an approved society and crediting to the Reserve Suspense Fund such sum calculated in the prescribed manner as represents the estimated cost, inclusive of administration expenses, of medical benefit in respect of every person who is a member of that approved society who attains the age of sixty-five years, and there shall be debited to the Reserve Suspense Fund in each year and credited to insurance committees in respect of any such members such amounts as may be prescribed. Transfers to Reserve Suspense Fund in respect of persons attaining age of sixty-five.

150.—(1) If on the valuation of an approved society or branch of an approved society it appears to the valuer that a deficiency will be disclosed, he shall forthwith report the case to the Government Actuary, and the Government Actuary shall thereupon estimate what part of the deficiency has arisen, since the date as at which the last preceding valuation was made, by reason Application of Reserve Suspense Fund towards making good apprehended deficiencies.

PART VI.
—*cont.*
16 & 17
Geo. 5. c. 9

of any changes in the financial basis of the national health insurance scheme effected by the National Health Insurance Act, 1926, and in particular by—

- (a) the reduction in the proportion of the cost of the benefits and of the administration of those benefits payable out of moneys provided by Parliament from two-ninths to one-seventh in the case of men and one-fifth in the case of women ;
- (b) the increase in the maximum charge for medical benefit and the administration expenses of insurance committees and of any expenses incurred by the Minister in the administration of benefits from ten shillings to thirteen shillings.

(2) The Government Actuary shall also estimate the extent, if any, to which the financial position of the society or branch has been made worse owing to the amount of unemployment in the period exceeding that for which provision is made in the valuation basis, regard being had to the operation of the provisions of Part II of this Act relating to arrears of contributions and the regulations made thereunder and of the provisions of this Part of this Act relating to the Unemployment Arrears Fund.

(3) The Government Actuary shall, as soon as he has estimated the amounts aforesaid, issue a certificate specifying what the sum of those amounts is, or, if that sum is greater than the amount of the apprehended deficiency, what the amount of that deficiency is, and shall transmit the certificate to the Minister.

(4) The Minister on receiving a certificate under this section shall cause a sum equal to the amount specified in the certificate to be credited to the society or branch out of the balance, if any, standing to the credit of the Reserve Suspense Fund, after due provision has been made for the payment of any sum charged on that Fund under or by virtue of any of the provisions of this Part of this Act.

(5) Any amount to be credited under this section to a society or branch of a society shall be treated as having formed part of the assets of the society or branch at the date of the valuation.

Transfers
from

151.—(1) If any insured person ceases to be permanently resident in the United Kingdom and becomes

a member of any society or institution, established outside the United Kingdom, of a kind similar to an approved society which is approved by the Minister, or of any branch established outside the United Kingdom of an approved society, a sum equal to the transfer value of that person shall be paid out of the Reserve Suspense Fund to that society or institution or branch, if the Minister is satisfied that the society, institution or branch in question gives corresponding rights to any of its members becoming resident in the United Kingdom.

PART VI.
—*cont.*
Reserve
Suspense
Fund in case
of insured
persons
ceasing to
reside in the
United
Kingdom.

(2) Where an arrangement has been made with the government of any part of His Majesty's dominions outside the United Kingdom or of any foreign state whereby insured persons may be transferred to a society or institution established in that part or in that foreign state similar to an approved society, and members of any such society or institution may be transferred to approved societies, the Minister may make such arrangements as may be necessary for any such transfer as aforesaid, and for the determination of the amount to be paid to or from the Reserve Suspense Fund, as the case may be, in any such case, and of the rights to which any person transferred shall be entitled.

(3) If a person who has for not less than five years been a member of an approved society ceases permanently to reside in the United Kingdom and does not join such a society, branch or institution as is mentioned in the foregoing provisions of this section and the approved society is willing to permit him to remain a member of the society and to become entitled to benefits independently of this Act, such sum may, subject to regulations, be paid from the Reserve Suspense Fund to the funds of the society independently of this Act, as would have been carried to the credit of that person in the Deposit Contributors Fund, if he had ceased to be a member of the society and had become a deposit contributor, and so much of any reserve value which may have been credited to the society in respect of him as would in such a case be cancelled, shall be cancelled.

(4) This section shall have effect subject to the foregoing provisions of this Act which make provision for the case of persons resident outside the United Kingdom and for the making of mutual arrangements between the United Kingdom and the Irish Free State.

PART VI.
—cont.

(5) Nothing in the foregoing provisions of this section shall affect the right of an approved society under this Act to refuse applications for membership.

" (6) The provisions of this section shall apply in the case of a deposit contributor with the substitution of the sum standing to his credit in the Deposit Contributors Fund for a transfer value, and as though, in the case of any arrangements made with the government of any part of His Majesty's dominions outside the United Kingdom or of a foreign state, an approved society included the Deposit Contributors Fund.

Provisions
with respect
to super-
annuation
funds of
statutory
under-
takers.

152. Where persons engaged in an employment which is an excepted employment by virtue of a certificate given under paragraph (d) of Part II of the First Schedule to this Act are members of an approved society connected with the statutory undertaking in respect of which the certificate has been given, such financial arrangements as may be provided by a scheme approved by the Joint Committee shall have effect as between the society, the Reserve Suspense Fund and the superannuation fund approved for the purposes of the said paragraph and in which those persons are entitled to rights.

Payment
out of
ReserveSus-
pense Fund
in respect of
assisted
passages.

153. In the case of a member of an approved society or branch emigrating and applying for an assisted passage under any scheme approved by the Minister, after consultation with the Secretary of State concerned, such sum as may be prescribed in respect of the cost of any medical examination necessary for obtaining the passage, and of the issue of the appropriate certificate, may be paid out of the Reserve Suspense Fund.

Central Fund.

Central
Fund.

154.—(1) There shall be a fund called "the Central Fund", which shall be under the control and management of the Joint Committee, and there shall be carried to that Fund in respect of each year the sums following, that is to say:—

- (a) such payments on account of sickness or disablement benefit in respect of any period when an insured person is an inmate of any workhouse, hospital (including mental hospital),

asylum, convalescent home or infirmary supported by any public authority, or out of any public funds, or by charity or voluntary subscriptions, as by virtue of any of the provisions of Part II of this Act are directed to be carried to the Fund;

PART VI.
—*cont.*

- (b) such sums as are directed by any of the provisions of the Contributory Pensions Act to be carried to the Fund;
- (c) such sums as are directed to be carried to the Fund by the provisions of this Part of this Act, being part of the sums retained by the Minister out of each weekly contribution paid by or in respect of insured persons;
- (d) such surplus as may be disclosed on any valuation of the Deposit Contributors Insurance Section.

(2) Where the Minister satisfies the Treasury as respects any sums received by him on account of sales of stamps issued for the purposes of this Act that no claim has been or is likely to be made by or on behalf of any approved society or any deposit contributor for the crediting of those sums to the society or the Deposit Contributors Fund or the Deposit Contributors Insurance Section, those sums, after deducting therefrom any amounts payable in respect of the cost of medical benefit, shall as to nine-tenths thereof be carried to the Central Fund and as to the residue thereof shall be applied in the repayment to approved societies of so much of the sums expended by them in paying maternity benefit in respect of the insurance of persons disentitled for the time being during an extended insurance period to sickness and disablement benefit as is not defrayed out of moneys provided by Parliament, and, so far as is not so applied, shall be applied in such manner as may be prescribed.

In this subsection "maternity benefit" does not include any increase of maternity benefit by way of additional benefit.

155.—(1) Where, in the case of an apprehended deficiency on the valuation of an approved society or branch of an approved society, the Minister has received a certificate from the Government Actuary in pursuance of the provisions of this Part of this Act, and there is no

Application
of Central
Fund in
certain cases
towards
making

PART VI.
—
good appre-
hended
deficiencies.

balance standing to the credit of the Reserve Suspense Fund, after due provision has been made for the payment of any sum charged on that Fund under or by virtue of any of the provisions of this Part of this Act, or the balance is insufficient for the purpose of providing the whole amount specified in the certificate, the Minister shall transmit the certificate to the Joint Committee with a statement as to the amount which cannot be provided out of the Reserve Suspense Fund, and the Joint Committee shall thereupon cause that amount to be credited to the society out of the Central Fund.

(2) Any amount to be credited under this section to a society or branch of a society shall be treated as having formed part of the assets of the society or branch at the date of the valuation.

Application
of Central
Fund
towards
making
good defi-
ciencies.

156.—(1) If on the valuation of any society or any branch of a society a deficiency is disclosed, and the sums in any contingencies funds available to make good that deficiency are not sufficient, the Joint Committee, if satisfied that the deficiency is due in whole or in part to an abnormal rate of sickness among the members of the society or branch attributable to the nature of their employment or environment or their physical condition or any epidemic disease, or is due to the rate of sickness being abnormal by reason of the small membership of the society or branch or is due to any other special cause beyond the control of the society or branch, may, out of the Central Fund, make good the whole or part of the deficiency in so far as it is not made good out of the available contingencies funds, and, in the case of a society in relation to which an employer has undertaken any obligation, in so far as it is not made good in accordance with that obligation.

(2) For the purpose of determining whether the claim of any society or branch for relief out of the Central Fund should be granted, the Joint Committee shall, if so requested by the society, or in the case of a branch by the central authority of the society, appoint an independent body, constituted in accordance with regulations made by the Joint Committee, to investigate the circumstances to which the deficiency was attributable, and in determining whether and to what extent relief should be granted out of the Central Fund to the society or branch shall have regard to the report of the investigating body.

(3) If on the valuation of the Deposit Contributors Insurance Section a deficiency is disclosed, the deficiency, so far as not made good out of the contingencies fund by the Section, shall be made good out of the Central Fund.

PART VI.
—cont.

Unemployment Arrears Fund.

157.—(1) There shall be a fund called “the Unemployment Arrears Fund”, which shall be under the control and management of the Joint Committee, and there shall be carried to that Fund the sums retained by the Minister for that purpose out of the weekly contributions paid by or in respect of insured persons, as hereinbefore provided, together with the other sums mentioned in this section.

Unemploy-
ment
Arrears
Fund.

(2) There shall be paid as soon as may be after the end of each contribution year in such manner and at such times as the Treasury may determine into the Unemployment Arrears Fund out of moneys provided by Parliament a sum equal to the total sum retained by the Minister and paid into the Fund in respect of that year under the last preceding subsection :

Provided that, if as a result of any valuation of the Navy, Army and Air Force Insurance Fund, made after the first day of January, nineteen hundred and thirty-two, the Government Actuary certifies that there is a disposable surplus in the Fund after providing for the cost of maintaining the prescribed additional benefits, that surplus with any interest accrued thereon shall be paid into the Unemployment Arrears Fund in such amounts and at such times as the Treasury may direct, and the sums payable into the Fund out of moneys provided by Parliament shall be correspondingly reduced.

(3) There shall be credited to every approved society out of the Unemployment Arrears Fund a sum calculated at the rate of threepence halfpenny in respect of each of the total number of arrears of contributions of members of the society which are left out of account in accordance with any regulations relating to arrears of contributions made in accordance with the provisions of Part II of this Act :

Provided that, in the case of arrears of contributions of masters and seamen serving on foreign-going ships, such sum shall be credited to the approved society

PART VI.
—Cont.

of which the master or seaman is a member as may with the consent of the Treasury be prescribed.

(4) All sums credited to societies out of the Unemployment Arrears Fund under this section shall be deemed to have been derived from contributions made in respect of contributors, notwithstanding that they are derived in part from moneys provided by Parliament.

(5) The provisions of this section shall have effect with respect to the contribution year beginning on the second day of July, nineteen hundred and thirty-four, and with respect to succeeding contribution years.

Investment by National Debt Commissioners, Audit, &c.

Investment
of National
Health
Insurance
Fund
moneys by
National
Debt
Commis-
sioners.

158.—(1) Any sums in the National Health Insurance Fund, the Central Fund and the Unemployment Arrears Fund, not required to meet current liabilities or to be paid over to societies for investment or invested by the Minister on their behalf shall be paid over to the National Debt Commissioners, and by them invested in accordance with regulations made by the Treasury in any securities which are for the time being authorised by Parliament as investments for Savings Banks funds.

26 Geo. 5. &
1 Edw. 8.
c. 51.

(2) The Commissioners shall, in making the investment, give preference to stocks or bonds issued under the provisions of the Acts relating to borrowing for raising capital for the purposes of the Local Loans Fund where the purpose for which the capital is required is the making of advances for the purposes of the Housing Act, 1936.

(3) The Commissioners shall present to Parliament annually an account of the securities held by them in which moneys forming part of the National Health Insurance Fund, the Central Fund, and the Unemployment Arrears Fund, are for the time being invested.

Accounts
to be
audited by
Comptroller
and Auditor
General, &c.

159. Accounts of the National Health Insurance Fund, and of the Central Fund, the Unemployment Arrears Fund, and any other fund under the control of the Joint Committee, shall be prepared in such form, in such manner and at such times as the Treasury may direct, and the Comptroller and Auditor General shall

examine and certify every such account and shall lay copies thereof, together with his report thereon, before both Houses of Parliament.

PART VI.
—cont.

PART VII.

CENTRAL ADMINISTRATION.

National Health Insurance Joint Committee.

160.—(1) For the purposes of this Act, there shall be a Joint Committee (in this Act referred to as “the Joint Committee”) which shall consist of the Minister, who shall be chairman, the Secretary of State for Scotland and the Minister of Labour for Northern Ireland, together with one other person appointed by the Minister, being a person having special knowledge and experience of national health insurance in Wales.

National
Health
Insurance
Joint Com-
mittee.

(2) The Joint Committee shall be a body corporate by the name of “the National Health Insurance Joint Committee,” and shall have an official seal which shall be officially and judicially noticed, and the seal of the Committee may be authenticated by any member of, or the secretary to, the Committee, or by any person authorised by the Committee to act on behalf of the secretary.

(3) The Joint Committee shall make regulations providing for the appointment of deputies to act for the several members of the Committee at meetings of the Committee at which those members are unable to be present.

(4) The Joint Committee may make such financial adjustments as may be necessary between the several funds under the control and management of the Minister, the Department of Health for Scotland and the Ministry of Labour for Northern Ireland, and for the purposes of co-ordination shall exercise and perform such powers and duties of the Minister, the Department and the Ministry under this Act, either alone or jointly with any of them, as regulations of the Committee may prescribe.

(5) The Joint Committee may make regulations as to the valuation of societies and branches which have among their members persons resident in any two or more national areas.

PART VII.

—cont.

31 & 32 Vict.
c. 37.45 & 46 Vict.
c. 9.

(6) The Documentary Evidence Act, 1868, as amended by the Documentary Evidence Act, 1882, shall apply to the Joint Committee as if that Committee were included in the first column of the Schedule to the first-mentioned Act, and as if the chairman or other member or the secretary, or any person authorised to act on behalf of the secretary, of the Committee, were mentioned in the second column of that Schedule, and as if the regulations referred to in those Acts included any document issued by the Committee.

Determination of Questions and Disputes.

Determina-
tion of
questions by
Minister.

161.—(1) If any question arises—

- (a) whether any employment or any class of employment is or will be employment within the meaning of this Act, or whether a person is or was a person employed within the meaning of this Act, or whether a person is or was entitled to be a voluntary contributor; or
- (b) as to the rate of contributions payable by or in respect of any insured person; or
- (c) as to the rates of contributions payable in respect of an employed contributor by the employer and the contributor respectively; or
- (d) as to the person who is or was the employer of an employed contributor;

the question shall be determined by the Minister, in accordance with regulations made for the purpose :

Provided that—

- (i) if any person is aggrieved by the decision of the Minister on any question arising under paragraph (a) or paragraph (d), he may appeal therefrom on any question of law to a judge of the High Court selected for the purpose by the Lord Chancellor, and the decision of that judge shall be final :
- (ii) the regulations may provide for questions under paragraph (b) being determined, in the case of any person who is or is about to

become a member of an approved society, PART VII.
by the society : —cont.

- (iii) the Minister may, if he thinks fit, instead of himself deciding whether any class of employment is or will be employment within the meaning of this Act, submit the question for decision to the High Court, and the decision of that Court shall be final.

(2) Any person appointed in accordance with any regulations made under this section for the purpose of holding an inquiry and reporting to the Minister may by summons require any person to attend, at such time and place as is set forth in the summons, to give evidence or to produce any documents in his custody or under his control which relate to the question to be determined, and may take evidence on oath, and for that purpose administer oaths :

Provided that no person shall be required, in obedience to such a summons, to go more than ten miles from his place of residence, unless the necessary expenses of his attendance are paid or tendered to him.

(3) Every person who refuses or wilfully neglects to attend in obedience to a summons issued under this section, or to give evidence, or who refuses to produce any book or document which he may be required to produce for the purposes of this section, shall be liable on summary conviction to a fine not exceeding five pounds.

(4) The Minister may, on new facts being brought to his notice, revise any decision given by him under this section, other than a decision against which an appeal is pending or as respects which the time for appealing has not expired, and an appeal shall lie against any such revised decision in the same manner as against an original decision.

(5) Provision may be made by rules of court for regulating appeals and references to the High Court under this section, and those rules shall provide for limiting the time within which an appeal to the High Court under this section may be brought and for the determination in a summary manner of any appeals or references to the High Court under this section, and for requiring notice of any such appeals to be given to the Minister.

*

PART VII.
—*cont.*

(6) The Minister shall be entitled to appear and be heard on any appeal or reference under this section.

Special provisions with respect to persons declared by High Court not to be employed within the meaning of Insurance Act.

162.—(1) Where under the last preceding section the High Court decide that any employment or any class of employment is not or was not employment within the meaning of the Act or that a person is not or was not a person employed within the meaning of the Act, and that decision is inconsistent with some previous determination of the Minister under that section, then, if the Minister is satisfied that contributions have been paid by or in respect of any person by reason of that determination or in the reasonable belief that that determination was applicable, he may, if it appears to him that it would be in the interests of any person by or in respect of whom contributions have been so paid so to do, direct that that person shall be treated as though he had been in insurable employment during any week in respect of which contributions were so paid before the date on which the decision of the High Court was given, and, if such a direction is given, that person shall be deemed to have been in such employment accordingly.

(2) The provisions of this section shall apply with the necessary modifications in any case where the Minister, on new facts being brought to his notice, has revised a determination previously given by him under the last preceding section as they apply where the High Court have given a decision inconsistent with a determination previously so given by the Minister.

Decision of disputes.

163.—(1) Subject to the provisions of this Part of this Act relating to the determination of questions by the Minister—

(a) Every dispute, relating to anything done or omitted by that person, society or branch (as the case may be) under this Act or any regulations made thereunder, between—

(i) an approved society or a branch thereof, and an insured person who is a member of the society or branch or any person claiming through such a person;

(ii) an approved society or branch thereof, and any person who has ceased to be a member for the purposes of this Act of the

society or branch, or any person claiming through such a person; PART VII.
—cont.

(iii) an approved society and any branch thereof;

(iv) any two or more branches of an approved society; and

- (b) Every dispute between an approved society and any person as to whether that person is or was at any date a member of that society for the purposes of this Act,

shall be decided in accordance with the rules of the society, but any party to such dispute may, in such cases and in such manner as may be prescribed, appeal from the decision to the Minister.

- (2) Every dispute between—

(a) an insured person and an insurance committee;

(b) two or more approved societies;

(c) an approved society and an insurance committee;

(d) two or more insurance committees;

relating to anything done or omitted by such person, society, or insurance committee under this Act or any regulations made thereunder, shall be decided in the prescribed manner by the Minister.

(3) The Minister may, subject to the provisions of this Act, authorise referees appointed by him to decide any appeal or dispute submitted to him under this section.

(4) Regulations may be made providing for the procedure on any such appeal or dispute, and any such regulations may apply any of the provisions of the Arbitration Acts, 1889 to 1934, as amended by any subsequent enactment, but except so far as they may be so applied, those Acts shall not apply to proceedings under this section, and any decision given by the Minister or a referee under this section shall be final and conclusive.

164. In such matters of a judicial nature arising under this Act as may be prescribed, the powers and duties of the Minister shall be exercised by him through a special body or special bodies of persons constituted in such manner as may be prescribed. Provision as to exercise of judicial powers of Minister.

PART VII.

—cont.

Powers of
inspectors.*Inspectors.*

165.—(1) An inspector appointed by the Minister for the purposes of this Act (in this Act referred to as “an inspector”), shall, for the purposes of the execution of this Act, have power to do all or any of the following things, namely :—

- (a) to enter at all reasonable times any premises or place, other than a private dwelling-house not being a workshop, where he has reasonable grounds for supposing that any employed contributors are employed;
- (b) to make such examination and inquiry as may be necessary for ascertaining whether the provisions of this Act are complied with in any such premises or place;
- (c) to examine, either alone or in the presence of any other person, as he thinks fit, with respect to any matters under this Act, every person whom he finds in any such premises or place, or whom he has reasonable cause to believe to be or to have been an employed contributor, and to require every such person to be so examined and to sign a declaration of the truth of the matters in respect of which he is so examined;
- (d) to exercise such other powers as may be necessary for carrying this Act into effect.

(2) The occupier of any such premises or place and any other person employing any employed contributor, and the servants and agents of any such occupier or other person, and any employed contributor shall furnish to an inspector all such information and shall produce for inspection all such registers, books, cards and other documents as the inspector may reasonably require.

(3) Where any such premises or place are liable to be inspected by inspectors or other officers of, or are under the control of, some other Government department, the Minister may make arrangements with that other Government department for any of the powers and duties of inspectors under this section being carried out by inspectors or other officers of the other Government department, and where such an arrangement is made,

those inspectors and officers shall have all the powers of an inspector under this section. PART VII.
—cont.

(4) An inspector shall be furnished with the prescribed certificate of his appointment, and on applying for admission to any premises for the purposes of this Act shall, if so required, produce the said certificate to the occupier.

(5) The Minister may empower an inspector to exercise in respect of any approved society or any branch of an approved society all or any of the powers given by section seventy-six of the Friendly Societies Act, 1896, to an inspector appointed thereunder :

Provided that any complaint or report as to any such branch as aforesaid made by an inspector under this subsection shall be communicated to the central authority of the society.

(6) No one shall be required under this section to answer any question or give any evidence tending to incriminate himself.

166. If any person wilfully delays or obstructs an inspector in the exercise of any power under the last preceding section of this Act relating to the powers of inspectors or fails to give such information or to produce such documents as provided in that section, or conceals or prevents or attempts to conceal or prevent any person from appearing before or being examined by an inspector, he shall be liable on summary conviction to a fine not exceeding five pounds. Penalties
for ob-
structing
inspectors,
&c.

Regulations and Orders.

167.—(1) Regulations may be made under this Act for any of the following purposes, that is to say :— Regulations.

- (a) for any purpose for which regulations are expressly authorised to be made by any of the provisions of this Act;
- (b) for prescribing anything which under this Act is to be prescribed; and
- (c) generally for carrying this Act into effect.

(2) All regulations made under this Act shall be laid before both Houses of Parliament as soon as may be after they are made, and shall have effect as if enacted

PART VII.
—*cont.*

in this Act, and if an address is presented to His Majesty by either House of Parliament within the next subsequent twenty-one days on which that House has sat next after any such regulation is laid before it, praying that the regulation may be annulled, His Majesty in Council may annul the regulation, and it shall thenceforth be void, but without prejudice to the validity of anything previously done thereunder.

(3) Any regulations made under any of the provisions of this Act specified in the Fifth Schedule to this Act may contain such incidental, supplemental and consequential provisions as appear necessary for modifying and adapting the provisions of this Act to the provisions of the regulations and otherwise for the purpose of the regulations.

Rules as to
making, &c.,
of special
orders, &c.

168.—(1) Before the Minister makes any special order under this Act, he shall publish, in such manner as he may think best adapted for informing persons affected, notice of the proposal to make the order, and of the place where copies of the draft order may be obtained, and of the time (which shall be not less than twenty-one days) within which any objection made with respect to the draft order by or on behalf of persons affected must be sent to him.

(2) Every objection shall be in writing and shall state the draft order or portions of draft order objected to, the specific grounds of objections, and the omissions, additions or modifications desired.

(3) The Minister shall consider any objection made by or on behalf of any persons appearing to him to be affected which is sent to him within the required time, and he may, if he thinks fit, amend the draft order and cause the amended draft to be dealt with in like manner as an original draft.

(4) When the Minister does not amend or withdraw any draft order to which any objection has been made, then (unless the objection either is withdrawn or appears to him to be frivolous) he shall, before making the order, direct an inquiry to be held in manner hereinafter provided.

(5) The Minister may appoint a competent and impartial person to hold an inquiry with regard to any

draft order and to report to him thereon, and the following provisions shall have effect in relation to any such inquiry :—

PART VII.
—cont.

- (a) the inquiry shall be held in public, and any objector and any other person who, in the opinion of the person holding the inquiry, is affected by the draft order, may appear at the inquiry either in person or by counsel, solicitor or agent;
- (b) the witnesses at the inquiry may, if the person holding it thinks fit, be examined on oath;
- (c) subject as aforesaid, the inquiry and all proceedings preliminary and incidental thereto shall be conducted in accordance with rules made by the Minister;
- (d) the fee to be paid to the person holding the inquiry shall be such as the Minister may direct and shall be deemed to be part of the expenses of the Minister in carrying this Act into effect.

(6) Before a special order comes into force, it shall be laid before each House of Parliament for a period of not less than thirty days during which that House is sitting, and, if either of those Houses before the expiration of those thirty days presents an address to His Majesty against the order or any part thereof, no further proceedings shall be taken thereon, without prejudice to the making of any new order.

(7) As soon as the Minister has published notice of the proposal to make a special order he may, if he certifies that it is expedient that the special order should come into operation forthwith, make the special order to come into operation forthwith as a provisional special order, but such provisional special order shall only continue in force until the special order made in accordance with the foregoing provisions of this section has come into force.

(8) Any provisional special order made in pursuance of the last preceding subsection shall be laid before both Houses of Parliament as soon as may be after it is made, and if, within the subsequent twenty-one days on which that House has sat next after any such provisional special order is laid before it, either of those Houses presents an

PART VII. address to His Majesty against the order or any part thereof, the order shall be annulled, but without prejudice to the validity of anything previously done thereunder.
—*cont.*

Power to
revoke and
vary orders. **169.** Any order or special order made under this Act may be revoked, varied or amended by an order or special order made in like manner as the original order.

PART VIII.

LEGAL AND MISCELLANEOUS.

Offences, Legal Proceedings, &c.

Offences. **170.**—(1) If for the purpose of obtaining any benefit or payment or the crediting of a reserve value under this Act, either for himself or for any other person, or if for the purpose of avoiding any payment to be made by himself under this Act or of enabling any other person to avoid any such payment, any person knowingly makes any false statement or false representation, he shall be liable on summary conviction to imprisonment for a term not exceeding three months.

(2) If—

- (a) any employer fails to pay any contributions which under this Act he is liable to pay; or
- (b) any employer deducts or attempts to deduct from the wages or other remuneration of an employed contributor the whole or any part of the employer's contribution; or
- (c) any employer, insured person or other person is guilty of any other contravention of or non-compliance with any of the requirements of this Act or the regulations made thereunder in respect of which no special penalty is provided;

he shall, for each offence, be liable on summary conviction to a fine not exceeding ten pounds :

Provided that no person shall be liable to any penalty in respect of any matter if he has acted in

conformity with any decision in respect thereof by the Minister. PART VIII.
—cont.

(3) If any person buys, sells or offers for sale, takes or gives in exchange, or pawns or takes in pawn, any insurance card, insurance book or used insurance stamp, he shall be liable on summary conviction to a fine not exceeding twenty pounds, or to imprisonment for a term not exceeding three months, or to both such fine and imprisonment.

In any proceedings under this subsection with respect to used insurance stamps, an insurance stamp shall be deemed to have been used if it has been cancelled or defaced in any way whatever, and whether it has been actually used for the purpose of payment of a contribution or not.

171. Notwithstanding any other enactment prescribing the time within which proceedings may be brought before a court of summary jurisdiction, proceedings for any offence under this Act may be brought either within one year from the date of the commission of the alleged offence or within three months from the date on which evidence sufficient in the opinion of the Minister to justify a prosecution for the offence comes to his knowledge, whichever is the longer, and for the purposes of this provision a certificate purporting to be signed by the Minister as to the date on which such evidence as aforesaid came to his knowledge shall be conclusive evidence thereof. Time limit
for proceed-
ings.

172.—(1) In any case where an employer has been convicted under this Act of the offence of failing or neglecting to pay any contribution in respect of a person, or has been charged with such an offence and an order has been made under subsection (1) of section one of the Probation of Offenders Act, 1907, the employer shall be liable to pay to the Minister a sum equal to the amount of the contributions which he has so failed or neglected to pay, and, if notice of the intention so to do is served with the summons or warrant, evidence may be given of failure or neglect on the part of that employer during the two years preceding the date of the offence to pay other contributions in respect of that person or any other person employed by him and on proof of such Liability of
employers
to Minister
in certain
cases.

7 Edw. 7.
c. 17.

PART VIII. failure or neglect the employer shall be liable to pay to
—cont. the Minister a sum equal to the total amount of all the
contributions which he is so proved to have failed or
neglected to pay.

Any sum paid by an employer under this subsection
shall be treated as payment in satisfaction of the unpaid
contributions.

(2) In any case where—

54 & 55 Vict.
c. 38.

(a) an employer is convicted of any offence under
section thirteen of the Stamp Duties Manage-
ment Act, 1891, as applied by regulations
made under Part I of this Act or of the offence
of contravening or not complying with the
requirements of the regulations made under
this Act or is charged with any such offence
and an order is made under subsection (1)
of section one of the Probation of Offenders
Act, 1907; and

(b) the evidence on which he is convicted or on
which the order is made shows that the
employer, for the purpose of paying any con-
tribution which he was liable to pay, has
affixed to an insurance card any stamp which
had been previously affixed to any material or
which had been cancelled or defaced in any
way whatever, whether it had actually been
used for the purpose of payment of a con-
tribution or not,

the employer shall be liable to pay to the Minister a sum
equal to the amount of the contribution in respect of
which the stamp was affixed, and on such a conviction or
on the making of such an order, if notice of intention to
do so has been served with the summons or warrant,
evidence may be given of the failure or neglect on the
part of the employer during the two years preceding the
date of the offence to pay other contributions in respect
of the same person, and on proof of such failure or neglect
the employer shall be liable to pay to the Minister a sum
equal to the total of the contributions which he is so
proved to have failed or neglected to pay.

Any sum paid by an employer under this subsection
shall be treated as payment in satisfaction of the unpaid

contributions, and the employed person's portion of those contributions shall not be recoverable by the employer from the employed person.

PART VIII.
—cont.

(3) Any sum ordered to be paid to the Minister under this section shall be recoverable as a penalty and not otherwise.

173.—(1) Where an employer has failed or neglected to pay any contribution which under this Act he is liable to pay in respect of any person, the amount which he has so failed or neglected to pay shall be a debt due from him to the Minister and may be recovered by the Minister summarily as a civil debt, if proceedings for the purpose are instituted within three years from the date when the contribution becomes due :

Civil proceedings by Minister for recovery of contributions.

Provided that the powers hereby conferred on the Minister shall be deemed to be in supplement of and not in derogation of any powers conferred on the Minister or on insured persons by any other provisions of this Act.

(2) If the employer, being a company, fails to pay to the Minister any sum which the company has been ordered to pay under the last preceding section, that sum or such part thereof as remains unpaid shall be a debt due to the Minister jointly and severally from any directors of the company who knew, or could reasonably have been expected to know, of the failure or neglect to pay the contribution or contributions in question, and proceedings for the recovery of the said sum summarily as a civil debt may be commenced at any time within twelve months from the date of the order for payment made on the company.

174.—(1) Where an employer has failed or neglected to pay any contribution which under this Act he is liable to pay in respect of any insured person in his employment (in this section referred to as "an employee"), or has failed or neglected to comply in relation to any employee with the requirements of any regulations relating to the payment and collection of contributions, and by reason thereof the employee or any person claiming through the employee has lost in whole or in part any benefits to which he would have

Civil proceedings by employee against employer for non-compliance with Act.

PART VIII. been entitled under this Act, the employee or person
—*cont.* so claiming shall be entitled to recover summarily
from the employer as a civil debt a sum equal to the
amount of any sickness, disablement or maternity
benefit which he has lost as aforesaid, and a sum equal to
the amount of any expenses which he has incurred by
reason of not being entitled to medical benefit.

(2) If an employee who is a member of an approved society refuses or neglects to enforce any claim under the preceding provisions of this section, the society may take the necessary proceedings in the name and on behalf of the employee :

Provided that, if any society takes proceedings as aforesaid and fails in the proceedings, it shall be responsible for the costs of the proceedings as if it were claiming on its own account.

(3) If an employee is not a member of an approved society, he or any person claiming through him shall in any proceedings under this section be entitled to recover from the employer the same amount as if the employee had been a member of an approved society.

(4) Proceedings may be taken under this section notwithstanding that proceedings have also been taken under any other enactment in respect of the same failure or neglect, and may, notwithstanding any provision in any other enactment, be brought at any time within one year after the date on which the employee, but for the failure or neglect of the employer, would have been entitled to receive the benefit which he has lost.

Inspectors
authorised
to take
proceedings.

175. An inspector or other officer appointed for the purposes of this Act shall, if authorised in that behalf by any special or general directions of the Minister, have power to take proceedings for any offence under this Act, or for the recovery of contributions from an employer summarily as a civil debt, and may, if authorised in that behalf by such directions as aforesaid, although not a counsel or solicitor, prosecute or conduct before a court of summary jurisdiction any such proceedings.

Decision of
Minister on
question of

176.—(1) In any summary proceedings under this Act whether for an offence or for the recovery of any sum as a civil debt the decision of the Minister on

any question whether or not a person is or was an employed person or is or was the employer of an employed contributor within the meaning of this Act shall, unless an appeal against the decision is pending or the time for appealing against the decision has not expired, be conclusive for the purpose of those proceedings.

PART VIII.
—cont.
employ-
ment to be
conclusive
in civil and
criminal
proceedings
under Act.

(2) If such a decision has not been obtained and the decision of the question is necessary for the determination of the proceedings, the question shall be referred to the Minister for decision in accordance with the provisions of this Act, and, where any such appeal is pending or the time for so appealing has not expired or any question has been so referred to the Minister, the court dealing with the case shall adjourn the proceedings until such time as a final decision on the question has been obtained.

177.—(1) Amounts due from a company in respect of contributions payable under this Act shall be paid, subject to and in accordance with the provisions of sections seventy-eight, two hundred and sixty-four and two hundred and ninety-eight of the Companies Act, 1929, in priority to other debts of the company.

Priority of
contribu-
tions in
cases of
winding up
and bank-
ruptcy.

19 & 20
Geo. 5. c. 23.
4 & 5 Geo. 5.
c. 59.
3 & 4 Geo. 5.
c. 20.

(2) Paragraph (e) of subsection (1) of section thirty-three of the Bankruptcy Act, 1914, and paragraph (e) of subsection (1) of section one hundred and eighteen of the Bankruptcy (Scotland) Act, 1913 (which relate to priority of debts in bankruptcy), shall have effect as though for the references therein to contributions payable in respect of employed contributors under the National Insurance Act, 1911, there were substituted references to contributions payable in respect of employed contributors under this Act, and as though twelve months were substituted for four months.

178. Where under any provision of this Act or any regulations made thereunder the Minister is required or authorised to hold, or to appoint any committee or person to hold, an inquiry, the witnesses shall, if the Minister thinks fit, or if any one of the parties so demands, be examined on oath, and the committee or person appointed to hold the inquiry shall have power to administer oaths for the purpose.

Power to
take evi-
dence on
oath at
statutory
inquiries.

PART VIII.

—*cont.*

Exemptions from stamp duty of certain documents required for purposes of Act.

Miscellaneous.

179. Stamp duty shall not be chargeable upon the following documents in connection with business under this Act, namely :—

- (1) draft, order or receipt given by or to an approved society or branch or insurance committee in respect of money payable in pursuance of this Act or of the rules of the society or branch;
- (2) letter or power of attorney granted by any person as trustee for the transfer of any money of an approved society or branch or insurance committee, invested in his name in the public funds;
- (3) bond or other security given to, by or on account of an approved society or branch or by the treasurer or other official thereof;
- (4) appointment or revocation of appointment of agent, or other document required or authorised by or in pursuance of this Act, or by the rules of an approved society or branch;
- (5) agreement entered into between an approved society or branch and an insurance committee in relation to medical benefit.

Provisions as to birth, death and marriage certificates.

180.—(1) Where, for the purposes of this Act, the age of any person is required to be proved by the production of a certificate of birth, or the marriage of any person is required to be proved by the production of a certificate of marriage, any person shall, on presenting a written requisition in such form and containing such particulars as may be from time to time prescribed, and on payment in the case of a certificate of birth of a fee of sixpence and in the case of a certificate of marriage of a fee of one shilling, be entitled to obtain a certified copy of the entry of the birth or marriage, as the case may be, of the person in question in the register of births or the register of marriages, under the hand of the registrar having the custody thereof, and forms of requisition shall on request be supplied without any charge by every registrar.

In the application of the foregoing provision to certificates of birth, the expression "registrar" means

a registrar of births and deaths or a superintendent registrar, and in its application to certificates of marriage means the registrar or superintendent registrar or other person having the care of the register in which the marriage is entered.

PART VIII.
—cont.

(2) Regulations may be made for applying the provisions of section ninety-seven of the Friendly Societies Act, 1896, subject to any necessary modifications, to certificates of death of insured persons required for the purposes of this Act.

181.—(1) Where the medical practitioner attending any insured person in receipt of sickness benefit certifies that the levying of any distress or execution upon any goods or chattels belonging to the insured person and being on premises occupied by him, or the taking of any proceedings in ejectment or for the recovery of any rent or to enforce any judgment in ejectment against that person, would endanger his life, and the certificate has been sent to the insurance committee and has been recorded in manner hereinafter provided, it shall not be lawful during such period as is specified in the certificate for any person to levy any such distress or execution or to take any such proceedings or to enforce any such judgment against the insured person :

Protection
against dis-
tress and
execution in
certain
cases.

Provided that, if any person desirous of levying any such distress or execution or taking any such proceedings or enforcing any such judgment disputes the accuracy of the certificate, he may apply to the registrar of the county court, and the registrar, if he is of opinion that the certificate should be cancelled or modified, may make an order cancelling or modifying it, and no appeal shall lie against any such order or a refusal to make any such order.

(2) A certificate granted for the purpose of this section shall continue in force for one week or such less period as may be specified in the certificate, but may be renewed from time to time for any period not exceeding one week, up to but not beyond the expiration of three months from the date of the grant of the original certificate, but no such renewal shall have effect unless sent to the insurance committee and recorded as aforesaid :

Provided that the protection conferred by this section shall not extend beyond the expiration of one

PART VIII.
—*cont.*

month from the said date if, on demand being made by the person desirous of levying distress or execution or taking proceedings or enforcing judgment, proper security is not given for payment of rent thereafter to become due from the insured person or the amount of the judgment debt, as the case may be, and any dispute as to the sufficiency of the security shall be determined by the registrar of the county court whose decision shall be final.

(3) If any person knowingly levies or attempts to levy any distress or execution or takes any proceedings or enforces or attempts to enforce any judgment in contravention of this section, he shall be liable on summary conviction to a fine not exceeding fifty pounds.

Provisions
with respect
to certifi-
cates of
protection.

182.—(1) A certificate or renewal thereof granted under the last preceding section shall forthwith be sent to the insurance committee, and the committee shall, unless they have reason to suspect its genuineness, record it without fee in a special register, and the register shall at all reasonable times be open to inspection.

(2) The genuineness of a certificate so recorded shall not be questioned in any proceedings against a sheriff or other officer for failure to levy any distress or execute any warrant.

(3) Where the time within which a warrant may be executed is limited, any period during which the warrant cannot be executed by reason of the provisions of the last preceding section shall be disregarded in computing the time within which the warrant may be executed.

Inquiries
into causes
of excessive
sickness.

183.—(1) Where it is alleged by any approved society or insurance committee that the sickness which has taken place among any insured persons, being persons for the administration of whose sickness and disablement benefits the society is or committee are responsible, is excessive, and that the excess is due to—

- (a) the conditions or nature of employment of those persons; or
- (b) bad housing or insanitary conditions in any locality; or
- (c) an insufficient or contaminated water supply; or
- (d) neglect on the part of any person or authority to observe or enforce the provisions of any Act

relating to the health of workers in factories, workshops, mines, quarries or other industries, or relating to public health or the housing of the working classes, or any regulations made under any such Act, or to observe or enforce any public health precautions,

PART VIII.
—cont.

the society or committee making the allegation may send to the person or authority alleged to be in default a claim for the payment of the amount of any extra expenditure alleged to have been incurred by reason of such cause as aforesaid, and if the society or committee and the person or authority fail to arrive at any agreement on the subject, may refer the matter, with a statement in support of the allegation, to the Minister, and if the Minister is of opinion that a *prima facie* case for an inquiry is disclosed, he may appoint a competent person to hold an inquiry :

Provided that, if the excess is alleged to be due to neglect to observe or enforce the provisions of any Act for the administration of which the Secretary of State or the Board of Trade is or are responsible, the Minister shall refer the matter to the Secretary of State or to the Board of Trade, as the case may be, and thereupon the Secretary of State or the Board of Trade, as the case may be, may appoint a competent person to hold an inquiry.

(2) If the Minister is of opinion that the sickness which has taken place among any insured persons is excessive, and it appears to him that the excess is, or may be, due to any of the causes set out in subsection (1) of this section, he may make a claim in the same manner as a society or committee under that subsection, and on failure to arrive at any agreement with the person or authority may cause an inquiry to be held as provided in that subsection.

(3) If upon any inquiry being held, it is proved to the satisfaction of the person holding the inquiry that the amount of sickness has, during a period of not less than three years next before the date of the inquiry, or where there has been an outbreak of any epidemic, endemic or infectious disease, during any less period, been in excess of the amount of sickness which, in the opinion of the person holding the inquiry, would have occurred if there had been no default by any person or authority as aforesaid, the amount of that extra

PART VIII. expenditure found by the person holding the inquiry to
—cont. have been, by reason of the default, incurred under this
Act—

- (a) where the claim is made by the Minister, by any societies or committees; or
- (b) where the allegation is made by a society or committee, by the society or committee in question,

shall be ordered by the person holding the inquiry to be made good in accordance with the following provisions :—

- (i) where the excess is due to the conditions or nature of the employment or to any neglect on the part of any employer to observe or enforce any such Act or regulation as aforesaid, it shall be made good by the employer;
- (ii) where the excess is due to bad housing or insanitary conditions in the locality, or to any neglect on the part of any local authority to observe or enforce any such Act or regulation or such precautions as aforesaid, it shall be made good by such local authority as appears to the person holding the inquiry to have been in default, or if due to the insanitary condition of any particular premises, shall be made good either by the authority or by the owner, lessee or occupier of the premises who is proved to the satisfaction of the person holding the inquiry to be responsible;
- (iii) where the excess is due to an insufficient or contaminated water supply, it shall be made good by the local authority, company or person by whom the water is supplied, or who having imposed upon them the duty of affording a water supply have refused or neglected to do so, unless the local authority, company or person prove that the insufficiency or contamination was not due to any default on the part of the authority, company or person, but arose from circumstances over which they had no control.

locality, it shall be lawful for the local authority to serve notice upon the owner, lessee or occupier of any premises which are the subject-matter of the inquiry, and where it is proved that such a notice has been served and that any such extra expenditure as aforesaid, or any part thereof, has been caused by the act or default of the owner, lessee or occupier, the person holding the inquiry may order the owner, lessee or occupier to repay to the local authority the amount of the extra expenditure or part thereof which has been so caused.

PART VIII.

—cont.

with respect
to inquiries
into excess-
ive sickness.

(2) Regulations shall be made as to the procedure on inquiries under the last preceding section, and a person holding an inquiry shall have all such powers as a person appointed to hold an inquiry under the Local Government Act, 1933, has under that Act, and shall have power to order how and by what parties costs, including such expenses as the Minister or the Secretary of State or the Board of Trade may certify to have been incurred by him or them, are to be paid, and any order so made may, by leave of the High Court, be enforced in the same manner as a judgment or order of the High Court to the same effect :

23 & 24

Geo. 5. c. 51.

Provided that a society or committee shall not be ordered to pay the costs of the other party to the inquiry if the person holding the inquiry certifies that the demand for an inquiry was reasonable under the circumstances, and, where he so certifies, the Treasury may repay to the society or committee the whole or any part of the costs incurred by them.

(3) For the purposes of this and the last preceding section, any expenditure on any benefit administered by an insurance committee shall be deemed to be expenditure of that committee, but any sums paid to any such committee under this section to meet extra expenditure on sickness benefit or disablement benefit shall be dealt with for the benefit of deposit contributors in accordance with regulations.

(4) Where under this or the last preceding section any sum is paid to the Minister, he shall apply it in discharge of any expenses incurred by him under this section and shall distribute the balance among the societies and committees which appear to him to have incurred extra expenditure on account of the excessive sickness, in such proportions as he may think just.

PART VIII.
—*cont.*

(5) Where an association of deposit contributors resident in any county or county borough has been formed under regulations, the insurance committee for the county or county borough shall, if so required by the association, take proceedings on behalf and at the expense of the association.

**Application
of Act to
persons in
the service
of Crown.**

185. This Act shall apply to persons employed by or under the Crown, other than those with respect to whom special provision is made by this Act, in like manner as if the employer were a private person :

Provided that in the case of a person employed in the private service of the Crown, the head of the department of the Royal Household in which he is employed shall be deemed to be his employer.

**Application
of Act to
Reserve
Forces.**

186.—(1) Where a man of the Naval Reserves, the Army Reserve, the Air Force Reserve or the Territorial Army or the Auxiliary Air Force is being trained and is in receipt of pay out of the moneys provided by Parliament for Navy, Army or Air Services, he shall, for the purposes of this Act, be deemed, whilst so training, to be employed within the meaning of this Act and to be in the sole employment of the Crown :

Provided that this subsection shall not apply to a man who was not, immediately before the training commenced, an insured person, except in such cases and under such circumstances as may be specified in a special order made by the Minister.

(2) The provisions of the preceding subsection shall, subject to such adaptations, modifications or conditions as may be prescribed apply to officers of the reserve forces, as they apply to the men therein mentioned.

**Application
of Act to
aliens.**

187. This Act shall, subject as may be prescribed, apply to all persons who are not British subjects in the same manner as it applies to persons who are British subjects.

**Application
of Act to
Scilly Isles.**

188.—(1) In this Act references to a county include references to the Scilly Isles, and references to the council of a county include references to the council of those Isles.

(2) The insurance committee for the Scilly Isles shall be constituted in such manner as may be prescribed.

PART IX.

APPLICATION OF ACT TO SCOTLAND.

189. The provisions of this Part of this Act shall apply for the purpose of carrying this Act into effect in Scotland, and shall apply to Scotland only.

Application
of Act to
Scotland.

190. The Department of Health for Scotland (in this Part of this Act referred to as "the Department"), and the officers, inspectors, referees and servants appointed by the Department shall, subject to the provisions of this Part of this Act, respectively have all the like powers and duties as are, by the provisions of this Act, conferred and imposed on the Minister and the officers, inspectors, referees and servants appointed by him, and references in those provisions to the Minister shall be construed as references to the Department.

Functions of
Department
of Health
for Scotland.

191. All sums received by way of contributions under this Act, in respect of persons resident in Scotland and all sums paid out of moneys provided by Parliament in respect of benefits conferred on such persons, and the expenses of administration of such benefits, shall be paid into a fund called the Scottish National Health Insurance Fund, under the control and management of the Department, and the sums required to meet expenditure properly incurred by approved societies and insurance committees for the purpose of benefits and the administration thereof shall be paid out of that fund, and the provisions of this Act with respect to the National Health Insurance Fund shall, with the necessary modifications, apply to the Scottish National Health Insurance Fund accordingly.

Scottish
National
Health
Insurance
Fund.

192.—(1) The two members of each insurance committee representing medical practitioners shall, instead of being appointed by the local medical committee for the county or burgh, be elected in manner provided by regulations either by any association of medical practitioners resident in the county or burgh which may have been formed for that purpose under the regulations, or, if no such association has been formed, by such practitioners.

Scottish
insurance
committees.

(2) No person, except a medical practitioner appointed under paragraph (d) of subsection (3) of section

PART IX. ninety-one of this Act, shall be qualified for appointment
—*co n t.* as a member of an insurance committee by a county or
town council unless he is a member of a local authority
60 & 61 Vict. within the county under the Public Health (Scotland)
c. 38. Act, 1897, or of the town council, as the case may be,
but this requirement shall not apply to women if no
women so qualified are available.

(3) Where owing to sparseness of population, difficulties of communication or other special circumstances, they consider it desirable, an insurance committee shall have power, with the consent of the Department, to modify or suspend any benefits for the administration of which they are responsible, but where such modification or suspension takes place, provision shall be made by the committee, with the like consent, for the increase of other benefits or the grant of one or more additional benefits to an amount equivalent to the value of the modification or suspension.

(4) Section one hundred and eighteen of this Act shall have effect subject to the following modifications:—

(a) in addition to the payments to be made under subsection (2) of that section out of the sum applicable as provided by that subsection, there may be paid thereout any expenses of the Department in connection with the provision of a medical service for insured persons in such districts (other than the highlands and islands within the meaning of the Highlands and Islands (Medical Service) Grant Act, 1913) as may be determined by the Department to be necessary, and references in the said subsection (2) to expenses incurred by the Department shall be construed as including the expenses aforesaid; and

(b) the maximum sums as respects the administration expenses of insurance committees and the expenses of the Department shall be such sums as may respectively be prescribed.

(5) The provisions of this Act relating to the accounts of insurance committees and to the audit of those accounts shall have effect with the substitution of Part II of the Fourth Schedule to this Act for Part I of that Schedule.

193.—(1) In this Act—

PART IX.

—cont.

- (a) “county borough” means a burgh containing within its police boundaries according to the census of nineteen hundred and eleven a population of twenty thousand or more, and includes the burgh of Dumfries, and all other burghs shall for the purposes of this Act be included within the county; Interpretation for purposes of application of Act to Scotland.
- (b) “borough” means burgh and references to an urban or rural district shall not apply;
- (c) references to a county and the county council thereof shall as regards the counties of Kinross and Clackmannan, and the counties of Moray and Nairn, be construed in each case as references respectively to a combination of the two recited counties and to a joint committee of the county councils thereof which shall from time to time be appointed subject to the provisions of section seventy-six of the Local Government (Scotland) Act, 1889; 52 & 53 Vict. c. 50.
- (d) “workhouse” means poorhouse; “workhouse infirmary” means poorhouse hospital or the sick ward of any poorhouse; “coverture” means marriage; and “public elementary school” means state-aided school;
- (e) for references to the Lord Chancellor and to the Lord Chief Justice of England there shall be substituted references to the Lord President of the Court of Session, and for references to the High Court there shall be substituted references to the Court of Session:
- Provided that, in paragraph (i) of the proviso to subsection (1) of section one hundred and sixty-one of this Act, for the reference to a judge of the High Court selected by the Lord Chancellor there shall be substituted a reference to the Court of Session;
- (f) for references to the Local Loans Act, 1875, there shall be substituted references to the Local Authorities Loans (Scotland) Acts, 1891

PART IX.
—*cont.*

to 1924, and for references to the Housing Act, 1936, there shall be substituted references to the Housing (Scotland) Acts, 1925 to 1935;

(g) references to the Board of Education shall be construed as references to the Scottish Education Department;

(h) any provision with regard to the recovery of a sum or amount summarily as a civil debt shall have effect as if the word “ summarily ” were omitted therefrom.

(2) Section sixty-three of this Act shall have effect with the substitution for subsection (2) of the following subsection :—

“ (2) In awarding inlying expenses in Scotland in connection with the birth of an illegitimate child, the court shall not take into consideration the fact that the mother of the child is entitled to receive maternity benefit under this Act.”

(3) Section seventy-two of this Act shall have effect as if the words “ or the birth of a child ” were added at the end of paragraph (a) of that section.

(4) Section one hundred and sixty-one of this Act shall have effect with the substitution of a reference to a notice for any reference to a summons.

(5) Section one hundred and seventy-two of this Act shall have effect as if the expression “ complaint ” were substituted for the expression “ summons or warrant,” and as if subsection (3) were omitted.

(6) Sections one hundred and eighty-one and one hundred and eighty-two of this Act shall have effect with the substitution—

- (a) of references to the using of diligence for references to the levying of distress or execution;
- (b) of references to raising an action of removing and to a decree in such an action for references to taking proceedings in ejectment and to a judgment in ejectment respectively;
- (c) of references to the sheriff for references to the registrar of the county court; and
- (d) of references to the amount decerned for for references to the amount of the judgment debt.

(7) Section one hundred and eighty-four of this Act shall have effect with the substitution of a reference to a person acting under section seven or section eight of the Public Health (Scotland) Act, 1897, for any reference to a person appointed to hold an inquiry under the Local Government Act, 1933, and a person appointed in terms of section one hundred and eighty-three of this Act to hold an inquiry shall report to the authority appointing him and any further action following on the inquiry which in accordance with the provisions of this Act is to be, or may be, taken by the person making the inquiry shall not be taken by him, but may be taken by that authority after consideration of the report, and the said sections one hundred and eighty-three and one hundred and eighty-four shall be read and construed accordingly.

PART IX.
—cont.

194.—(1) Expenses incurred under this Act by a county council shall, except in so far as apportioned and allocated by virtue of section twenty-one of the Local Government (Scotland) Act, 1929, to any burgh included within the county, be defrayed in like manner as expenditure for general county purposes.

Expenses
and powers
of local
authorities.
19 & 20
Geo. 5. c. 25.

(2) Expenses incurred under this Act by a town council (other than any contribution payable in pursuance of the aforesaid enactment) shall be defrayed out of the public health general assessment.

195.—(1) Proceedings for any contravention of, or non-compliance with, any of the provisions of this Act may be taken at the instance of the procurator fiscal or of the Department or of an inspector or other officer appointed for the purposes of this Act, and authorised by any special or general directions of the Department to take such proceedings, and any inspector or officer so appointed and authorised may, although not a counsel or solicitor, prosecute or conduct in court any such proceedings.

Legal pro-
ceedings,
inquiries
and
disputes.

(2) Where an employer has failed or neglected to pay any contributions which, under this Act, he is liable to pay in respect of a person, the amount which he has so failed or neglected to pay shall be a debt due from the employer to the Department and shall be recoverable by the Department as a civil debt :

Provided that the powers hereby conferred on the Department shall be deemed to be in supplement of and

PART IX.
—cont.

nowise in restriction of the powers conferred on them or on insured persons by any other provisions of this Act.

(3) It shall not be any objection to the competency of a person to give evidence as a witness in proceedings for an offence under this Act that the proceedings are prosecuted or conducted by him.

(4) Section forty-three of this Act shall have effect as if paragraph (b) were omitted therefrom, but regulations made for the purposes of medical benefit may provide that, in the case of any inquiry in Scotland held under Part II of this Act, the Department may make such award as seems to them proper in regard to the expenses of the inquiry and the finding thereon.

23. & 24
Geo. 5. c. 41.

(5) Where any appeal or dispute is submitted to the Department under the provisions of this Act relating to disputes, the Department or the referees appointed by them to decide the appeal or dispute, may on the application of either party, at any stage of the proceedings, and shall, if so directed by the Court of Session, state a case on any question of law arising in the appeal or dispute for the opinion of the Court of Session, and the procedure in such stated cases shall, so far as practicable and save as may otherwise be provided by Act of Sederunt in pursuance of section sixteen of the Administration of Justice (Scotland) Act, 1933, be in accordance with the regulations and practice in Scotland prevailing in stated cases under subsection (1) of section forty-nine of the Workmen's Compensation Act, 1925, provided always that the decision of the Court of Session shall be final.

(6) Subsection (1) of section one hundred and seventy-three, and section one hundred and seventy-five of this Act shall not apply.

County
benefit
societies.

196. Where a scheme for the establishment under any county council of an approved society for the county has been approved under any enactment repealed by the National Health Insurance Act, 1924, the provisions of the scheme shall have effect notwithstanding anything to the contrary in this Act, and, subject to those provisions, the society shall be an approved society for all the purposes of this Act.

PART X.

APPLICATION OF ACT TO NORTHERN IRELAND.

197. The provisions of this Part of this Act shall apply for the purpose of carrying this Act into effect in Northern Ireland, and shall apply to Northern Ireland only.

Application
of Act to
Northern
Ireland.

198. The Ministry of Labour for Northern Ireland (in this Part of this Act referred to as "the Ministry"), and the officers, inspectors, referees and servants appointed by the Ministry shall, subject to the provisions of this Part of this Act, respectively have all the like powers and duties as are by this Act conferred and imposed on the Minister, and the officers, inspectors, referees and servants appointed by him, and references in this Act to the Minister shall be construed as references to the Ministry.

Ministry of
Labour for
Northern
Ireland.

199.—(1) All sums received in respect of contributions under this Act in respect of persons resident in Northern Ireland and all sums paid out of moneys provided by the Parliament of Northern Ireland in respect of benefits conferred on such persons, and the expenses of administration of such benefits, shall be paid into a fund called "the Northern Ireland National Health Insurance Fund," which shall be under the control and management of the Ministry.

Northern
Ireland
National
Health
Insurance
Fund.

(2) The sums required to meet expenditure properly incurred for the purposes of such benefits and of the administration thereof shall be paid out of that fund, and the provisions of this Act with respect to the National Health Insurance Fund shall, with the necessary modifications, apply to the Northern Ireland National Health Insurance Fund accordingly.

(3) So much of any payments under subsection (4) of section fifty-five of this Act as is derived from moneys provided by the Parliament of Northern Ireland shall be repaid to the Exchequer of Northern Ireland.

200.—(1) The amounts to be contributed out of moneys provided by Parliament towards the benefits, Contributions out of

PART X.
—cont.
moneys pro-
vided by
Parliament
of Northern
Ireland for
benefits of
men of the
forces, &c.

including the cost of administration of benefits, of persons who are entitled to benefits (including additional benefits) out of the Navy, Army and Air Force Insurance Fund, or who are members of the Seamen's National Insurance Society, shall in the case of such of those persons as are actually resident in Northern Ireland be paid out of moneys provided by the Parliament of Northern Ireland.

(2) The Joint Committee shall periodically ascertain and inform the Ministry of Finance for Northern Ireland (in this Part of this Act referred to as "the Ministry of Finance") of the amounts due under this section to the Navy, Army and Air Force Insurance Fund and the Seamen's National Insurance Society respectively.

(3) For the purposes of this section, a man of the forces who was immediately before his entry or enlistment resident in Northern Ireland shall, notwithstanding any other provision of this Act, be deemed to be resident in Northern Ireland.

Contribu-
tions out
of moneys
provided by
Parliament
of Northern
Ireland to
Unemploy-
ment
Arrears
Fund.

201.—(1) The sum to be paid into the Unemployment Arrears Fund out of moneys provided by Parliament shall in the case of Northern Ireland be paid out of moneys provided by the Parliament of Northern Ireland and shall be a sum equal to the total sum retained by the Ministry in accordance with the provisions of paragraph (b) of subsection (1) of section one hundred and forty-four of this Act out of the weekly contributions paid by or in respect of insured persons resident in Northern Ireland who are members of an approved society, of the Deposit Contributors' Insurance Section or of the Navy, Army and Air Force Insurance Fund :

Provided that any sums standing at any time in the Northern Ireland National Health Insurance Fund to the credit of the Exempt Persons Fund established in accordance with regulations made by the Joint Committee and the Ministry shall be paid into the Unemployment Arrears Fund in such amounts and at such times as the Ministry of Finance may direct, and the sums payable into the last mentioned Fund out of moneys provided by the Parliament of Northern Ireland shall be correspondingly reduced.

(2) All sums credited to approved societies or branches of approved societies in Northern Ireland out of the Unemployment Arrears Fund shall be deemed to have been derived from contributions made in respect of contributors, notwithstanding that they are derived in part from moneys provided by Parliament.

PART X.
—cont.

(3) The proviso to subsection (2) of section one hundred and fifty-seven shall not apply.

202. Accounts of the Northern Ireland National Health Insurance Fund shall be prepared in such form and in such manner and at such times as the Ministry of Finance may direct, and the Comptroller and Auditor-General for Northern Ireland shall examine and certify every such account and shall lay copies thereof, together with his report thereon, before both Houses of the Parliament of Northern Ireland.

Accounts of Northern Ireland National Health Insurance Fund to be laid before Parliament, &c.

203.—(1) The powers and duties of the Commissioners of Inland Revenue with reference to the granting of allowances for or the repurchase of stamps issued for the purposes of this Act, shall be exercised and performed by the Ministry.

Powers of Ministry with respect to stamps, &c.

(2) The following section shall be substituted for section twenty-two :—

“ 22. Stamps required for the purposes of this Act shall be prepared and issued in such manner as the Ministry, with the consent of the Ministry of Finance, may direct, and the Ministry may make regulations applying, with the necessary adaptations as respects any such stamps, all or any of the provisions, including penal provisions, of the Stamp Duties Management Act, 1891, as amended by or in pursuance of any subsequent enactment, and section sixty-five of the Post Office Act, 1908 :

Provided that nothing in the foregoing provision shall prejudice the making of any arrangement under section sixty-three of the Government of Ireland Act, 1920, for the exercise and performance by the Postmaster-General and his officers on behalf of the Ministry of the powers and duties of the Ministry under this section.”

10 & 11
Geo. 5. c. 67.

PART X.

—cont.

Approval
and laying
before
Parliament
of regula-
tions, &c.

204.—(1) Where under this Act the approval or consent of the Treasury is required to any regulations, orders or schemes made or to be made by the Joint Committee, the approval or consent of the Ministry of Finance to the regulations, orders or schemes shall also be required in so far as the regulations, orders or schemes relate to matters in respect of which the Parliament of Northern Ireland has power to make laws.

(2) Any provision of this Act requiring regulations or orders made by the Joint Committee to be laid before Parliament shall be construed as requiring any such regulations or orders which apply to Northern Ireland and relate to matters in respect of which the Parliament of Northern Ireland has power to make laws to be laid also before that Parliament for any statutory period prescribed by Act of that Parliament, and shall have effect accordingly :

Provided that no action taken under any such provision of this Act in Northern Ireland with respect to any such orders or regulations shall affect the operation thereof in any other part of the United Kingdom, and no action taken under any such provision in the United Kingdom, exclusive of Northern Ireland, with respect to any such orders or regulations shall affect the operation thereof in Northern Ireland.

(3) The reference in subsection (2) of section one hundred and sixty-seven to twenty-one days, and the reference in subsection (6) of section one hundred and sixty-eight to thirty days, shall in each case be construed as a reference to any statutory period prescribed by Act of the Parliament of Northern Ireland.

Certain
provisions
not to
apply.

205.—(1) The provisions of this Act with respect to insurance committees shall not extend to Northern Ireland, and accordingly sections ninety-one to ninety-seven, section one hundred, and sections one hundred and seventeen to one hundred and twenty shall not apply, and references to insurance committees in any other sections of this Act shall, subject to the provisions of this section, be construed as references to the Ministry.

(2) Subsection (2) of section fifty-eight shall have effect as though the words “and insurance committee”

were omitted therefrom and as though, after the word "Ministry" there were inserted the words "and the Ministry shall make rules in relation to benefits administered by it"; subsection (1) of section sixty-four shall have effect as though for the words "an insurance committee with the approval of the Minister" there were substituted the words "the Ministry in relation to benefits administered by it"; section seventy shall have effect as though the words "or an insurance committee" were omitted therefrom; section one hundred and forty-nine shall have effect as though for the words "credited to insurance committees" there were substituted the words "credited to the medical benefit account and to the Ministry"; and subsection (2) of section one hundred and sixty-three shall have effect as though paragraphs (a), (c) and (d) were omitted therefrom and as though the words "by any such society" were substituted for the words "by any such person, society, or insurance committee."

²
PART X.
—cont.

(3) Subsections (2) and (3) of section thirteen (which relate to the application of additional moneys provided by Parliament for the purpose of medical benefit) and sections one hundred and eighty-three and one hundred and eighty-four (which relate to inquiries into causes of excessive sickness) shall not apply.

(4) Section one hundred and sixty-four (which relates to the exercise of judicial powers by the Minister) shall not apply.

206.—(1) The following subsection shall be added to section eighty-two :—

Provisions
with respect
to approved
societies.

"(4) Every approved society and branch of an approved society in Northern Ireland shall, at any reasonable time, furnish to the Ministry all such information concerning the administration of the society or branch as the Ministry may require, and produce, when called upon to do so, all books and records of the society or branch to officers of the Ministry authorised for that purpose in writing."

(2) The reference in subsection (1) of section one hundred and two to the Fourth Schedule shall be construed as a reference to Part I of that Schedule.

PART X.
—cont.Schemes for
sick visiting.

207.—(1) A scheme for the visiting of sick or disabled insured persons, to be available for use by approved societies, may be put into operation under this Act, and the Ministry may frame a scheme for that purpose :

Provided, that no scheme framed by the Ministry shall come into operation if a scheme framed by approved societies, and approved by the Ministry as being adequate and effective, is first put into operation and is maintained.

(2) Regulations may be made providing for any expenses incurred in the maintenance of a scheme for the visiting of sick or disabled insured persons, approved or framed by the Ministry, in excess of the amount received by way of fees charged for specific visits made at the request of approved societies, to be treated as part of the administration expenses of approved societies, and for the application out of the administration accounts of such societies of such sum as the regulations may prescribe to meet the expenses incurred as aforesaid, but not exceeding fourpence per year in respect of each of the total number, calculated in the prescribed manner, of the members of approved societies resident in Northern Ireland.

(3) There shall be paid out of moneys provided by the Parliament of Northern Ireland all such expenses as may be incurred by the Ministry in the administration of a scheme framed and put into operation by the Ministry under this section; and any fees charged for specific visits in pursuance of such a scheme, and any sums to be applied in connection therewith out of the administration accounts of approved societies, shall be appropriated in aid of the moneys provided for the said expenses.

Provisions
with respect
to legal
proceedings.

208.—(1) Any contributions which an employer has failed or neglected to pay in respect of a person may, without prejudice to any other remedy, be recovered by the Ministry summarily as a civil debt, or in the county court by civil bill at the suit of the Ministry.

(2) Any sum which an employee is entitled to recover by reason of his employer's non-compliance with the provisions of this Act or with any regulations made

thereunder may be recovered summarily, or in the county court by civil bill, as a debt due from the employer.

PART X.
—cont.

(3) In subsection (2) of section one hundred and seventy-three the words “and proceedings for the recovery of the said sums summarily as a civil debt may be commenced at any time within twelve months from the date of the order for payment made on the company” shall not extend in Northern Ireland to proceedings under that section against the directors of a company in the case of a sum ordered to be paid to the Ministry under subsection (2) of section one hundred and seventy-two.

209. The following section shall be substituted for section one hundred and seventy-seven:—

Priority of contributions in cases of winding up and bankruptcy.

“177.—(1) Amounts due from a company in respect of contributions payable under this Act shall be paid, subject to and in accordance with the provisions of sections seventy-six and two hundred and thirty-four of the Companies Act (Northern Ireland), 1932, in priority to other debts of the company.

(2) Amounts due in respect of contributions payable under this Act by a bankrupt, arranging debtor, or person dying insolvent shall be paid, subject to and in accordance with the provisions of section one of the Preferential Payments in Bankruptcy Act (Northern Ireland), 1933, in priority to other debts of such bankrupt, debtor or person.”

210.—(1) The following words shall be added at the end of paragraph (c) of Part II of the First Schedule to this Act:—

Provisions with respect to excepted employments.

“or in Northern Ireland is entitled to rights in any such superannuation fund or in any railway superannuation fund which may be approved by the Ministry of Labour for Northern Ireland”.

(2) The following paragraphs shall be included in Part II of the First Schedule to this Act:—

“(ff) Employment in Northern Ireland as a teacher to whom a scheme under the Education Act (Northern Ireland), 1923, as amended by the Teachers Superannuation Act (Northern

PART X.
—cont.

Ireland), 1926, applies, or as a pupil or student teacher in a public elementary school."

"(nn) Employment in Northern Ireland as an out-worker where the wages or other remuneration derived from the employment are not the principal means of livelihood of the person employed."

(3) In paragraph (h) of Part II of the First Schedule to this Act the expression "Board of Education" shall be construed as a reference to the Ministry of Education for Northern Ireland.

Medical Benefit in Northern Ireland.

Medical
benefit in
Northern
Ireland.

211.—(1) Medical benefit in Northern Ireland shall be administered by the Ministry instead of by insurance committees.

(2) The following subsection shall be substituted for subsection (3) of section thirty-four:—

"(3) Subject to the consent of the Ministry of Finance, provision may be made by regulations for applying any moneys received from the Minister of Pensions so that any person to whom this subsection applies shall, subject to the prescribed conditions, become or continue to be entitled to medical benefit as if he were an insured person and entitled to such benefit.

"This subsection applies to any person not being an insured person entitled to medical benefit, and being a man of the forces (within the meaning of section one hundred and twenty-nine of this Act) discharged from service as such during, or within the prescribed period after the termination of, the late war and certified by the Minister of Pensions to be suffering from any disease or bodily or mental disablement attributable to or aggravated by service in the said war."

Provisions
as to cost
of medical
benefit and
administra-
tion
expenses.

212.—(1) There shall, out of the funds out of which benefits in Northern Ireland are payable under this Act, be credited to a separate account (called "the Medical Benefit Account") in the Northern Ireland National Health Insurance Fund for the

purpose of meeting the cost of medical benefit, and to the Ministry for the purpose of meeting the expenses incurred by the Ministry in the administration of benefits, such sums as may be prescribed, but not exceeding in the aggregate the amount of thirteen shillings per year in respect of each of the total number, calculated in the prescribed manner, of the persons who are entitled to medical benefit as being or having been members of an approved society :

PART X.
—cont.

Provided that, where it is not practicable to ascertain the said total number before the expiration of any year, the Ministry may make a provisional calculation in respect of that year, and the difference between the sum so calculated and the sum as finally ascertained shall, as the case may require, be added to or deducted from the amount in respect of a subsequent year.

(2) Sums to be credited under this section shall be so credited in accordance with regulations to be made with the approval of the Ministry of Finance, and any such regulations so made may make special provision as to the sum to be credited on account of the cost of the medical benefit of, and otherwise with respect to, members of an approved society who are persons employed as masters or seamen serving on foreign-going ships.

213.—(1) The following sections shall be substituted for sections thirty-five, thirty-six, thirty-seven, thirty-nine, forty, forty-one, forty-two and forty-three, respectively :—

Provisions
with respect
to medical
benefit.

“ 35.—(1) The Ministry shall, for the purpose of administering medical benefit, make arrangements with medical practitioners in accordance with regulations.

(2) Provision shall be made by regulations for the arrangements under this section being such as to secure that insured persons shall, subject to the provisions of this Act, receive adequate medical treatment and attendance from the medical practitioner with whom arrangements are so made, and shall secure—

(a) the preparation and publication from time to time of a list of medical practitioners agreeing to attend and treat insured persons ;

PART X.
—*cont.*

- (b) a right on the part of any medical practitioner resident in Northern Ireland, who is desirous of being included in the said list, of being so included;
- (c) a right on the part of any insured person of selecting at such periods as may be prescribed, from the said list, the medical practitioner by whom he wishes to be attended and treated, and, subject to the consent of the practitioner so consulted, of being attended and treated by him;
- (d) the distribution among the several medical practitioners whose names are on the said list, so far as practicable, under arrangements made by them, of the insured persons who, after due notice, have failed to make any selection, or who have been refused by the practitioner whom they have selected.

“ 36. If the Ministry, after such inquiry as may be prescribed, is satisfied that the continued inclusion in the list of any medical practitioner would be prejudicial to the efficiency of the medical service of the insured, the Ministry may remove his name from the list.

“ 37.—(1) If the Ministry is satisfied, after inquiry, that the medical practitioners included in the list are not such as to secure an adequate medical service in any area, the Ministry, after consultation with the Ministry of Home Affairs, may make such arrangements as it thinks fit, or may suspend the right to medical benefit in respect of any insured persons in the area for such period as it thinks fit, and pay to each such person a sum bearing the same proportion to such sum as may be specified by the Ministry as representing the annual cost at the time of medical treatment and attendance as that period bears to a whole year.

(2) If the Ministry is satisfied that the insured persons, or any considerable proportion of the insured persons within any area are not receiving

satisfactory medical treatment, the Ministry, after consultation with the Ministry of Home Affairs, may make such other arrangements as will secure to insured persons within that area such better medical service as is practicable, having regard to the funds available for the purpose, or arrangements whereunder insured persons within that area may be required to make their own arrangements for receiving medical treatment and attendance, and whereunder the Ministry undertakes to pay the cost of that medical treatment and attendance upon such scale as the Ministry may determine.

PART X.
—cont.

“ 39. The Ministry shall make arrangements for the supply of proper and sufficient drugs and medicines and prescribed appliances to insured persons in accordance with regulations, and the regulations made for the purposes of this section shall provide for the arrangements made being such as to enable insured persons to obtain such drugs, medicines and appliances, if ordered by the medical practitioner by whom the insured persons are attended, from any persons with whom arrangements have been made, and shall provide for the adoption of such a system as will secure—

- (a) the preparation and publication from time to time of a list of persons agreeing to supply drugs, medicines and appliances to insured persons according to such scale of prices as may be fixed by the Ministry ;
- (b) a right on the part of any person resident in Northern Ireland, who is desirous of being included in the said list, of being so included, for the purpose of supplying such drugs, medicines and appliances as that person is entitled by law and authorised by the Ministry to supply, except in cases where the Ministry, after inquiry, is satisfied that the inclusion or continuance of that person in the list would be prejudicial to the efficiency of the service.

“ 40. If the Ministry is satisfied as respects any area that the persons included in the list are

PART X.
—cont.

not such as to secure an adequate and convenient supply of drugs, medicines and appliances in that area, the Ministry may dispense with the necessity for the adoption of such system as aforesaid as respects that area, and may make such other arrangements as it thinks fit.

“41.—(1) Except as may be provided by regulations, no arrangement shall be made with a medical practitioner under which he is bound or agrees to supply drugs or medicine to any insured person.

(2) Subject to the provisions of the last preceding subsection, the regulations shall prohibit arrangements for the supply of drugs and medicines being made with persons other than persons who are entitled to carry on the business of a pharmaceutical chemist under the provisions of the Pharmacy and Poisons Act (Northern Ireland), 1925, and who undertake that all medicines supplied by them to insured persons shall be dispensed either by or under the direct supervision of a pharmaceutical chemist registered under the said Act.

“42. Where the name of any medical practitioner or person undertaking the supply of drugs, medicines or appliances has been removed under the provisions of this Act from any list in Great Britain, then, until such time as the Ministry directs to the contrary, that practitioner or person shall be disqualified for inclusion in the list of medical practitioners or persons undertaking such supply as aforesaid in Northern Ireland.

“43. Provision for any of the following matters may be included in regulations made for the purposes of medical benefit in Northern Ireland :—

- (a) the issue of certificates for the purposes of this Act by medical practitioners under agreement with the Ministry;
- (b) the procedure and costs of inquiries relating to the inclusion in, or removal from, the list of any medical practitioner

or person undertaking the supply of drugs, medicines or appliances, and the application thereto, subject to such modifications as may be prescribed, of the provisions of the Poor Relief Acts (Northern Ireland), 1838 to 1928, relating to the holding of inquiries, the attendance and examination of witnesses and the production and inspection of documents;

PART X.
—cont.

- (c) the procedure on any appeal to the Ministry against a decision given under the regulations, and the application to any such appeal, subject to such modifications as may be prescribed, of any of the provisions of the Common Law Procedure Amendment Act (Ireland), 1856, with respect to arbitration.”

19 & 20 Vict.
c. 102.

(2) Section thirty-eight and the references in the Fifth Schedule to subsection (3) of section thirteen and to paragraph (a) of section forty-three shall not apply.

214.—(1) There shall be established a medical benefit council for Northern Ireland (in this Act referred to as “the Medical Benefit Council”) consisting of such number of members as may be prescribed, but not less than twenty or more than forty, of whom—

Medical
Benefit
Council and
local
committees.

- (a) one-fourth shall be appointed in such manner as may be prescribed so as to secure representation of—

(i) the insured persons in Northern Ireland who are members of approved societies, and

(ii) the insured persons in Northern Ireland who are deposit contributors,

in proportion, as nearly as may be, to their respective numbers;

- (b) one-fourth shall be appointed in such manner as may be prescribed so as to secure representation of the employers of insured persons in Northern Ireland;

PART X.
—cont.

- (c) one-fourth shall be appointed in such manner as may be prescribed so as to secure representation of the medical practitioners, and persons undertaking the supply of drugs, medicines and appliances, who are included in the respective lists prepared under sections thirty-five and thirty-nine of this Act;
 - (d) the remaining members shall be appointed by the Minister of Labour for Northern Ireland.
- (2) The Medical Benefit Council shall have the following powers and duties :—
- (a) they shall give general advice to the Ministry with respect to the administration of medical benefit;
 - (b) they shall have such powers and duties in relation to complaints by insured persons, medical practitioners, and approved societies, in connection with medical benefit as may be prescribed;
 - (c) they shall have such other powers and duties in connection with the administration of medical benefit as may be prescribed.
- (3) Provision may be made by regulations with respect to the appointment, quorum, term of office and rotation of members and the proceedings generally of the Medical Benefit Council, including the appointment of sub-committees consisting wholly or partly of members of the Council.
- (4) The Minister of Labour for Northern Ireland shall appoint a person to act as secretary to the Medical Benefit Council.
- (5) Provision may be made by regulations for the establishment, in such areas as may be determined by the Minister of Labour for Northern Ireland, of local committees having such powers and duties in relation to complaints by insured persons, medical practitioners, and approved societies, in connection with medical benefit, and such other powers and duties, as may be prescribed.

(6) Any expenses incurred, with the approval of the Ministry, by the Medical Benefit Council, or a local committee established under this section, for the purpose of their powers and duties shall be treated as expenses incurred by the Ministry in the administration of benefits.

PART X.
—cont.

215. The Ministry may pay to the members of the Medical Benefit Council, and of any local committees established and having powers and duties in relation to complaints in connection with medical benefit, travelling expenses, subsistence allowance and compensation for loss of remunerative time in accordance with a scheme to be framed by the Ministry, with the consent of the Ministry of Finance, and any sums so paid shall be treated as expenses incurred by the Ministry in the administration of benefits.

Travelling
expenses,
&c., of
members of
Medical
Benefit
Council.

216. The following section shall be substituted for section ninety-eight :—

Insurance
practi-
tioners'
committees.

“ 98.—(1) Where under this Act or for the purpose of any regulations the Ministry is required to ascertain, in respect of any matter affecting the administration of medical benefit in Northern Ireland, the opinions and wishes of the medical practitioners who have entered into agreements for attendance on and the treatment of insured persons, the Ministry shall do so through a committee appointed by those practitioners in accordance with regulations (in this Act referred to as ‘the central insurance practitioners’ committee’).

(2) There shall, in accordance with regulations, be constituted for each prescribed area in Northern Ireland, from among the medical practitioners who have entered into agreements for attendance on and the treatment of insured persons in such area, a local committee (in this Act referred to as ‘the local insurance practitioners’ committee’).

(3) The respective powers and duties of the central insurance practitioners’ committee and local insurance practitioners’ committee shall be such as may be determined by the Ministry.”

PART X.

—cont.

Local phar-
maceutical
committees.

217. The following section shall be substituted for section ninety-nine :—

“ 99. There shall, in accordance with regulations, be constituted for each prescribed area in Northern Ireland from among the persons who have agreed to supply drugs, medicines and appliances to insured persons in such area, a local committee (in this Act referred to as ‘ the local pharmaceutical committee ’), and the local pharmaceutical committee shall, subject to regulations, be consulted by the Ministry on all local questions affecting the supply of drugs, medicines and appliances to insured persons, and shall perform such duties and exercise such powers as may be determined by the Ministry.”

Benefits and
poor relief.

218.—(1) The obligations of the guardians of a poor law union or officer or other person with respect to the medical relief of the poor under the Poor Relief Acts (Northern Ireland), 1838 to 1928, shall not apply in the case of any insured person to the extent to which that person is entitled to medical benefit.

(2) In granting outdoor relief to a person in receipt of or entitled to receive any benefit, a board of guardians shall not take into consideration any such benefit except so far as the benefit exceeds seven shillings and sixpence a week.

Amendment
of law with
respect to
sales of
poisons on
medical pre-
scriptions.
33 & 34 Vict.
c. 26.

219. Where any poison, to which section two of the Poisons (Ireland) Act, 1870 (as amended by subsequent enactments) applies, is supplied on and in accordance with a written prescription given by a medical practitioner under and in accordance with the provisions of this Act, the seller of the poison shall not be required to make any entry in the book in accordance with the requirements of the said section.

Saving for
certain
dispensary
medical
officers.

220. Notwithstanding the repeal of section seven of the National Health Insurance Act (Northern Ireland), 1930, the provisions of that section shall continue to apply in the case of any medical practitioner who was appointed as medical officer of any dispensary district under the Poor Relief Acts (Northern Ireland), 1838 to 1928, on or before the first day of October, nineteen hundred and thirty.

General.

PART X.

—cont.

221.—(1) In this Act, unless the context otherwise requires—

- (a) references to enactments of the Parliament of the United Kingdom shall be construed as references to those enactments as they apply in Northern Ireland; Interpretation for purposes of application of Act to Northern Ireland.
- (b) references to Parliament shall, if they occur in relation to matters in respect of which the Parliament of Northern Ireland has power to make laws, be construed as references to that Parliament, and references to any department or authority of the Government of the United Kingdom shall be construed as references to the department or authority exercising corresponding functions in Northern Ireland;
- (c) references to the Lord Chancellor and to the Lord Chief Justice of England shall be construed as references to the Lord Chief Justice of Northern Ireland;
- (d) references to justices or to the registrar of the county court shall be construed as references to a resident magistrate within the meaning of the Summary Jurisdiction and Criminal Justice Act (Northern Ireland), 1935;
- (e) the reference to the Bastardy Law Amendment Act, 1872, shall be construed as a reference to the Illegitimate Children (Affiliation Orders) Act (Northern Ireland), 1924;
- (f) references to the Government Actuary shall be construed as references to the Actuary appointed by the Minister of Finance;
- (g) the reference to securities which are for the time being authorised by Parliament as investments for savings banks funds shall be construed as including securities issued in respect of any loan raised by the Government of Northern Ireland or guaranteed by the Ministry of Finance under the authority of an Act of Parliament;

PART X.
—*cont.*

- (h) references to the Arbitration Acts, 1889 to 1934, as amended by any subsequent enactment, shall be construed as references to the provisions of the Common Law Procedure Amendment Act (Ireland), 1856, with respect to arbitration;
- (i) references to societies registered under the Friendly Societies Acts, 1896 to 1929, under the Trade Union Acts, 1871 to 1927, or under the Industrial and Provident Societies Acts, 1893 to 1928, shall be construed as references to societies registered under the corresponding enactments applying in Northern Ireland;
- (j) the matters to be prescribed under subsection (1) of section one hundred and eighty shall be prescribed by the Ministry of Finance;
- (k) references to the National Debt Commissioners shall be construed as references to the Ministry of Finance, but nothing in this provision shall prejudice the power of the Ministry of Finance to make arrangements under section sixty-three of the Government of Ireland Act, 1920, with the National Debt Commissioners for the exercise by the Commissioners on behalf of the Ministry of Finance of such powers of that Ministry under this Act as are exercisable by the Commissioners outside Northern Ireland;
- (l) references to the Contributory Pensions Act and to any provisions of that Act shall be construed as references to the Widows', Orphans' and Old Age Contributory Pensions Acts (Northern Ireland), 1925 to 1935, and to the corresponding provisions of those Acts;
- (m) the reference to the powers of the Minister of Labour under section thirteen of the Unemployment Insurance Act, 1935, shall be construed as a reference to the powers of the Ministry under the corresponding enactments in Northern Ireland;

PART X.
—cont.

- (n) the reference in subsection (4) of section three to Great Britain shall be construed as a reference to Northern Ireland;
- (o) the reference in paragraph (a) of subsection (5) of section three to a person entitled to medical benefit by reason of having been an exempt person shall be construed as a reference to a person who, having been an exempt person, had not before he became insured as an employed contributor completed the prescribed period since ceasing to be an exempt person;
- (p) paragraph (b) of subsection (5) of section three and subsection (1) of section one hundred and twenty-one shall be construed as including, in each case, a reference to employment under a local or other public authority excluded by virtue of the provisions of paragraph (d) of Part I of the First Schedule, being employment of a class which, by a special order made under the enactments relating to contributory pensions, has been declared to be an excepted employment to which those enactments apply;
- (q) the reference in subsection (1) of section one hundred and fifty to changes in the financial basis of the national health insurance scheme effected by the National Health Insurance Act, 1926, shall be construed as a reference to changes in the basis of the scheme effected by the National Health Insurance Acts (Northern Ireland), 1926 and 1930.

(2) In the event of any Act being passed by the Parliament of Northern Ireland repealing and re-enacting with or without amendment—

- (a) provisions of the Common Law Procedure Amendment Act (Ireland), 1856, with respect to arbitration; or
- (b) provisions of the Widows', Orphans and Old Age Contributory Pensions Acts (Northern Ireland), 1925 to 1935, corresponding to any

PART X.
—*cont.*

provisions of the Contributory Pensions Act;
or

(c) provisions corresponding to any provisions of
the Unemployment Insurance Act, 1935;

then, as from the commencement of the said Act of the Parliament of Northern Ireland, a reference in this Part of this Act to any provisions which are repealed and re-enacted as aforesaid shall be construed as a reference to so much of the said Act of the Parliament of Northern Ireland as repeals and re-enacts the last-mentioned provisions.

Saving for
powers of
Parliament
of Northern
Ireland.

222. For the purpose of section six of the Government of Ireland Act, 1920, this Act shall be deemed to be an Act passed before the appointed day.

PART XI.**APPLICATION OF ACT TO WALES.**

Welsh
National
Health
Insurance
Fund.

223. Subject to the provisions of this Act all sums received by way of contributions under this Act in respect of persons resident in Wales, and all sums paid out of moneys provided by Parliament in respect of benefits for persons so resident, and the expenses of the administration of those benefits shall be paid into a fund to be called "the Welsh National Health Insurance Fund," under the control and management of the Minister, and the provisions of this Act with respect to the National Health Insurance Fund, shall, with the necessary modifications, apply to the Welsh National Health Insurance Fund.

Additional
expenditure
on medical
benefit in
Wales.

224. For the purpose of meeting any additional expenditure which may be incurred in the provision of medical benefit in Wales by reason of sparsity of population or difficulty of means of communication, provision may be made by regulations for the payment out of the National Health Insurance Fund to the Welsh National Health Insurance Fund of such sum as may be prescribed.

Saving for
Welsh
Board of
Health.
9 & 10 Geo.5.
c. 21.

225. Nothing in this Act shall affect the power of the Minister under section five of the Ministry of Health Act, 1919, to exercise and perform any of his powers and duties in Wales through the Welsh Board of Health.

PART XII.

INTERPRETATION, SAVINGS AND REPEAL.

226.—(1) In this Act, unless the context otherwise requires— Interpreta-
tion.

“Branch” in relation to a society, shall not include any branch of the society which is not itself separately registered :

Provided that the Minister may, if he thinks fit so to do and subject to such conditions as he may prescribe, recognise for the purposes of this Act any branch of an approved society though the branch is not separately registered as a branch of the society :

“Charitable institution” means any charitable institution which the Minister is satisfied is ordinarily and to a substantial extent supported from sources other than public funds and payments out of funds of approved societies under this Act; and “approved charitable institution” means a charitable institution as so defined which is approved by the Minister for the purposes of this Act :

“Committee of management” in relation to an approved society or branch, includes the governing body of the society or branch by whatever name known :

“Contribution week” means the period of seven days commencing from the midnight between Sunday and Monday :

“Contribution half-year” means one of the following periods, that is to say, a period of twenty-six weeks commencing on the first Monday in any year, or a period commencing on the twenty-seventh Monday in any year and terminating on the day preceding the first Monday in the next year :

“Contribution year” means a period consisting of two consecutive contribution half-years and commencing on the twenty-seventh Monday in any year :

PART XII.
—cont.

“ County ” means administrative county :

“ Dependants ” in relation to any person, includes such persons as the approved society or insurance committee ascertain to be wholly or in part dependent upon his earnings :

“ Disease or disablement ” means such disease or disablement as would entitle an insured person to sickness or disablement benefit :

“ Government Actuary ” includes the Deputy Government Actuary :

“ Medical practitioner ” means a registered medical practitioner :

“ Medical treatment and attendance ” includes the provision of proper and sufficient medicines (including such chemical re-agents as may be prescribed) and of the prescribed medical and surgical appliances, but does not include treatment or attendance in respect of a confinement :

“ Membership of an approved society ” means membership for the purposes of this Act :

“ National area ” means England, Scotland, Northern Ireland or Wales :

“ Officer of the reserve forces ” means an officer on the retired or emergency lists of the Royal Navy or the Royal Marines, a retired officer of the Regular Army, an officer on the retired list of the Royal Air Force, or an officer of the naval reserves, the regular army reserve of officers, the supplementary reserve of officers, the air force reserve, the air force special reserve, the territorial army, the territorial army reserve of officers, the auxiliary air force, or the auxiliary air force reserve, or an officer holding a temporary commission in the naval, marine, land or air forces, or an officer holding a temporary warrant in the Royal Navy, the Royal Marines, or the naval reserves :

“ Prescribed ” means prescribed by regulations :

“ Regulations ” means regulations made by the Minister under this Act :

“Special order” means an order made by the Minister in accordance with the provisions of this Act relating to special orders: PART XII.
—cont.

“The Minister” means the Minister of Health:

“Valuer” means a person possessing such actuarial qualifications as may be approved by the Treasury:

“Workmen’s Compensation Acts” means the Workmen’s Compensation Act, 1906, the Workmen’s Compensation Acts, 1925 to 1931, and the Workmen’s Compensation Acts (Northern Ireland), 1927 and 1931. 6 Edw. 7.
c. 58.

(2) A person shall not be treated as available for but unable to obtain employment within the meaning of this Act while he is following any occupation from which he derives substantial remuneration or profit:

Provided that, if he is insured under the enactments for the time being in force with respect to unemployment insurance, he may be treated as available for but unable to obtain employment within the meaning of this Act while he is following any occupation the following of which does not prevent him from being deemed to be unemployed for the purposes of those enactments.

(3) In the provisions of this Act relating to the mercantile marine, unless the context otherwise requires—

(a) Expressions have the same meaning as in the Merchant Shipping Acts, 1894 to 1932, except that the expressions “foreign-going ship” and “home-trade ship” include a ship engaged in the sea fishing service, and the expression “foreign-going ship” includes a ship engaged in regular trade on foreign stations;

(b) The expression “ship engaged in regular trade on foreign stations” means a ship engaged regularly in trade between ports outside the British Islands exclusive of the Irish Free State when trading between such ports, but for the purposes of this provision a ship shall not be deemed not to be engaged in such a trade by

PART XII.
—cont.

reason only that she has put into a port in the United Kingdom for the purpose of survey or repair;

- (c) The expression " sea service " includes the sea fishing service;
- (d) The expression " seaman " includes an apprentice to the sea service.

(4) For the purposes of this Act—

- (a) Monmouthshire shall be deemed to form part of Wales;
- (b) a person shall be deemed according to the law in England, Wales and Northern Ireland, as well as according to the law in Scotland, not to have attained the age of seventeen until the commencement of the seventeenth anniversary of the day of his birth, and similarly with respect to other ages.

Transitory
and expiring
provisions.

227.—(1) Nothing in this Act shall affect the right of any person to be a voluntary contributor who was on the first day of January, nineteen hundred and twenty-five, by virtue of any of the enactments repealed by the National Health Insurance Act, 1924, entitled to be a voluntary contributor under those enactments and who has since that date continued to be an insured person.

(2) Where under any of the enactments repealed by this Act any person was entitled, on giving notice within a prescribed time, to continue to be or to become a voluntary contributor, and the time prescribed has expired before the commencement of this Act without any such notice being given, nothing in this Act shall affect the power of the Minister to make regulations extending or varying the time so prescribed.

(3) For the purposes of paragraph (b) of subsection (5) of section three of this Act, the number of weeks for which contributions under the Contributory Pensions Act were payable in respect of a person employed in the excepted employment mentioned in that paragraph includes the number of weeks for which contributions under that Act would have been payable if that Act had been in force during his employment in the excepted employment to which that paragraph applies.

(4) For the purposes of subsection (2) of section nineteen, and of the proviso to subsection (1) of section twenty, of this Act, a period before the first day of January, nineteen hundred and twenty-nine, during which a person was entitled to medical benefit, or, in Northern Ireland, sanatorium benefit, and was, by virtue of subsection (2) of section two of the Widows', Orphans' and Old Age Contributory Pensions Act, 1925, deemed to have continued to be insured for the purposes of that Act, shall be treated as a period of insurance.

PART XII.
—*cont.*

15 & 16
Geo. 5. c. 70.

(5) Subsection (2) of section forty-seven of this Act shall apply in relation to benefit in respect of any week before the second day of August, nineteen hundred and thirty-five, as if for the words "within three months of the end of the week" there were substituted the words "within three months of the second day of August, nineteen hundred and thirty-five."

(6) Subsections (2) and (3) of section fifty-five of this Act shall in the case of a person who was an inmate of an institution on the seventh day of January, nineteen hundred and twenty-nine, be construed as if for the words "fifty pounds" there were substituted the words "such sum as may be prescribed."

(7) Subsection (3) of section fifty-seven of this Act shall, in the case of a person who entered into insurance before the seventh day of February, nineteen hundred and eighteen, have effect as though for forty-two weekly contributions there were substituted twenty-six weekly contributions, or, if he is a voluntary contributor, fifty-two weekly contributions.

(8) In determining for the purposes of subsection (2) of section one hundred and twenty-one of this Act whether a person has been employed in an excepted employment to which that subsection applies, employment in Ireland before the first day of April, nineteen hundred and twenty-two, in respect of which a certificate was given under paragraph (b) or paragraph (c) of Part II of the First Schedule to the National Insurance Act, 1911, shall be treated as if it had been employment in Great Britain or in Northern Ireland.

(9) References in paragraph (b) of subsection (5) of section three and in subsection (4) of section one hundred and twenty-one of this Act to paragraph (k)

PART XII. of Part II of the First Schedule to this Act shall, so
 —*cont.* far as the said paragraph (b) and the said subsection (4) apply to any period before the thirtieth day of June, nineteen hundred and nineteen, be construed as if in the said paragraph (k) the words "one hundred and sixty pounds a year" were substituted for the words "two hundred and fifty pounds a year."

(10) Notwithstanding anything in this Act, a married woman who, having been on the first day of July, nineteen hundred and eighteen, a special voluntary contributor, was on that date in receipt of sickness or disablement benefit and who by reason of the continuance of the incapacity was in receipt of sickness or disablement benefit at the commencement of this Act, shall continue to be entitled to sickness or disablement benefit so long as the incapacity continues, and shall, on the expiration of a period of eight weeks commencing next after the date on which incapacity ceases, be entitled to receive by way of benefit the sum of forty shillings.

(11) Notwithstanding anything in this Act, no sum shall be credited to an approved society out of the Unemployment Arrears Fund in respect of the arrears of contributions of any member of the society which accrued while he was treated as insured under subsection (5A) of section three of the National Health Insurance Act, 1924.

Repeal.

228. The enactments set out in the Sixth Schedule to this Act are hereby repealed to the extent specified in the third column of that Schedule :

52 & 53 Vict. c. 63. of section thirty-eight of the Interpretation Act, 1889,—

(a) nothing in this repeal shall affect any order, rule, regulation, arrangement, or scheme made, certificate issued, notice, decision, direction or approval given, or thing done, under any enactment repealed by this Act, and every such order, rule, regulation, arrangement, scheme, certificate, notice, decision, direction or approval shall continue in or come into force, and, shall, so far as it could have been made, issued or given under this Act, have effect as if made, issued or given under the corresponding enactment of this Act;

- (b) any document referring to any enactment repealed by this Act shall be construed as referring to the corresponding enactment of this Act; PART XII.
—cont.
- (c) any person appointed to any office under or by virtue of any enactment repealed by this Act shall be deemed to have been appointed to that office under or by virtue of this Act;
- (d) all funds and accounts constituted under this Act shall be deemed to be in continuation of the corresponding funds and accounts constituted under the enactments repealed by this Act;
- (e) references in this Act to persons insured thereunder whether as employed contributors or as voluntary contributors shall, so far as necessary for the purpose of preserving any accruing right, be construed as including references to persons so insured under the enactments repealed by this Act, and any contributions paid in respect of any persons under the enactments repealed by this Act shall for the purposes of this Act be treated as if they had been paid under the corresponding enactments of this Act;
- (f) any body of persons having immediately before the commencement of this Act power to transact business relating to national health insurance shall continue to have the same power in that behalf which it would have had if this Act had not passed.

229.—(1) This Act may be cited as the National Health Insurance Act, 1936. Short title
and com-
mencement.

(2) This Act shall come into operation on the first day of January, nineteen hundred and thirty-seven.

SCHEDULES.

FIRST SCHEDULE.

Sections 2, 3,
121, 152,
210.

PART I.

EMPLOYMENTS WITHIN THE MEANING OF THE ACT.

(a) Employment in the United Kingdom under any contract of service or apprenticeship, written or oral, whether expressed or implied, and whether the employed person is paid by the employer or some other person, and whether under one or more employers, and whether paid by time or by the piece or partly by time and partly by the piece, or otherwise, or, except in the case of a contract of apprenticeship, without any money payment.

(b) Employment under such a contract as aforesaid as master or a member of the crew of any ship registered in the United Kingdom or of any other British ship or vessel of which the owner, or, if there is more than one owner, the managing owner or manager, resides or has his principal place of business in the United Kingdom.

(c) Employment in the United Kingdom as an outworker, except in so far as such employment is excluded by special order.

The expression "outworker" means a person to whom articles or materials are given out by another person to be made up, cleaned, washed, altered, ornamented, finished, repaired or adapted for sale for the purposes of the trade or business of that other person where the process is to be carried out either in the home of the outworker or in some other premises not being premises under the control and management of that other person.

A special order under this provision may exclude outworkers engaged in work of any class, or outworkers of any class or description specified in the order.

The person who gives out the articles or materials shall, in relation to the person to whom they are given out, be deemed to be the employer of that person for the purposes of this Act, but a special order may provide that as respects any outworkers or any class of outworkers specified in the order a person specified in the order shall, instead of the person who gives out the articles or materials, be deemed to be the employer.

(d) Employment in the United Kingdom under any local or other public authority except in so far as such employment is excluded by a special order.

1st SCH.
—cont.

(e) Employment in the United Kingdom in plying for hire with any vehicle or vessel the use of which is obtained under any contract of bailment (or in Scotland any contract of letting to hire) in consideration of the payment of a fixed sum or a share in the earnings or otherwise, and the person from whom the use of the vehicle or vessel is so obtained shall be deemed to be the employer for the purposes of this Act.

(f) Employment in the United Kingdom by way of manual labour under a contract for the performance of such labour for the purposes of any trade or business, except in so far as such employment is excluded by a special order.

The person for the purposes of whose trade or business the labour is performed shall, in relation to the person performing the labour, be deemed to be the employer of that person for the purposes of this Act.

(g) Employment as master or a member of the crew of any fishing or other vessel registered in the United Kingdom, or of any other British vessel of which the owner, or if there is more than one owner the managing owner or manager, resides or has his principal place of business in the United Kingdom, when the person so employed is remunerated by a share in the profits or gross earnings of the vessel, except in so far as such employment is excluded by special order.

The owner of the vessel, or if there is more than one owner the managing owner or manager, shall for the purposes of this Act be deemed to be the employer; but a special order may—

- (i) modify in the case of persons so employed, or any class of such persons specified in the order, the provisions of this Act restricting the right of deducting or otherwise recovering the employer's contribution;
- (ii) provide that as respects any persons so employed, or any class of such persons specified in the order, a person specified in the order shall, instead of the owner, managing owner, or manager, be deemed to be the employer.

PART II.

EXCEPTIONS.

(a) Employment in the naval, military or air service of the Crown, including service in Officers' Training Corps, except as otherwise provided in this Act.

1ST SCH.
—cont.

(b) Employment under the Crown or any local or other public authority where the Minister certifies that the terms of the employment are such as to secure provision in respect of sickness and disablement on the whole not less favourable than the corresponding benefits conferred by this Act.

(c) Employment as a clerk or other salaried official in the service of a railway or other statutory company, or of a joint committee of two or more such companies, where the Minister certifies that the terms of employment, including the rights of the person employed in such superannuation fund as is hereinafter mentioned, are such as to secure provision in respect of sickness and disablement on the whole not less favourable than the corresponding benefits conferred by this Act, and the person employed is entitled to rights in a superannuation fund established by Act of Parliament for the benefit of persons in such employment.

(d) Employment (if and so long as the prescribed conditions are fulfilled) by any statutory undertakers, that is to say, persons authorised by Parliament to construct, work, or carry on any railway, canal, dock, harbour, tramway, gas, electricity, water or other undertaking of public utility, where the Minister certifies that the employment is, having regard to the normal practice of the employer, employment which is permanent in character, and that the persons engaged in that employment are entitled to rights in a superannuation fund approved by the Minister, and that the terms of the employment, including those rights, are such as to secure to the persons so engaged benefits on the whole not less favourable than benefits conferred by this Act, other than additional benefits, but including medical benefit:

Provided that no such certificate shall be given unless the Minister is satisfied that, if the certificate is given, contributions under the Contributory Pensions Act will either not be payable in respect of the persons engaged in the employment, or will be payable at the reduced rates mentioned in Part IV of the First Schedule to that Act instead of at the ordinary rates.

61 & 62 Vict.
c. 57.

(e) Employment in England or Wales as a teacher in recognised or contributory service within the meaning of the Teachers (Superannuation) Acts, 1918 to 1925, or as a teacher in recorded service within the meaning of the Elementary School Teachers (Superannuation) Act, 1898, or as a pupil or student teacher in a public elementary school.

(f) Employment in Scotland as a teacher to whom a scheme under the Education (Scotland) (Superannuation) Acts, 1919 to 1925, applies, or employment in a state-aided school in Scotland as a student provisionally recognised for temporary service as an uncertificated teacher pending completion of training.

(g) Employment as a teacher in a public elementary school at any time after the person employed has undergone an examination in order to qualify for the position of a certificated teacher in such a school and before the announcement of the result of the examination.

1st SCH.
—cont.

(h) Employment as a teacher of any class which may be specified in a special order made after consultation with the Board of Education as being a class in the case of which the conditions of employment are similar to the conditions of employment prevailing in the case of teachers falling within the foregoing exceptions relating to teachers.

(i) Employment as an agent paid by commission or fees or a share in the profits, or partly in one and partly in another of such ways, where the person so employed is mainly dependent for his livelihood on his earnings from some other occupation, or where he is ordinarily employed as such agent by more than one employer, and his employment under no one of such employers is that on which he is mainly dependent for his livelihood.

(j) Employment in respect of which no money payment is made, whether by way of wages or otherwise, where the employer is the occupier of an agricultural holding and the employed person is employed thereon, or where the person employed is the child of, or is maintained by, the employer.

(k) Employment otherwise than by way of manual labour and at a rate of remuneration exceeding in value two hundred and fifty pounds a year, or in cases where such employment involves part-time service only at a rate of remuneration which in the opinion of the Minister is equivalent to a rate of remuneration exceeding two hundred and fifty pounds a year for whole-time service, or, in cases where the remuneration is in whole or in part a varying amount and the rate of remuneration is accordingly not immediately ascertainable, at a rate of remuneration which, as estimated by the Minister by reference to the remuneration earned by the employee in the same employment during the last preceding year, or earned during that year by persons in the same grade in the same employment for the same employer, or in similar employments for other employers, or, if information with regard to those matters is not available, then to any other circumstances which appear to the Minister to be relevant, exceeds in value two hundred and fifty pounds a year.

(l) Employment of a casual nature otherwise than for the purposes of the employer's trade or business, and otherwise than for the purposes of any game or recreation where the persons employed are engaged or paid through a club, and in such case the club shall be deemed to be the employer.

1st SCH.
—cont.

(m) Employment of any class which may be specified in a special order as being of such a nature that it is ordinarily adopted as subsidiary employment only and not as the principal means of livelihood.

(n) Employment as an outworker where the person so employed is the wife of an insured person and is not wholly or mainly dependent for her livelihood on her earnings in such employment.

(o) Employment in the United Kingdom as master or a member of the crew of any British ship registered outside the United Kingdom, not being a ship engaged in regular trade with ports outside the British Islands.

(p) Employment as a member of the crew of a fishing vessel where the members of the crew are remunerated by shares in the profits or the gross earnings of the working of the vessel in accordance with any custom or practice prevailing at any port, if a special order is made for the purpose, and the particular custom or practice prevailing at the port is one to which the order applies.

(q) Employment in the service of the husband or wife of the employed person.

Section 14.

SECOND SCHEDULE.

PART I.

RATES OF CONTRIBUTIONS IN RESPECT OF EMPLOYED
CONTRIBUTORS.

In the case of men	-	-	-	-	-	9d. a week.
In the case of women	-	-	-	-	-	8½d. a week.

CONTRIBUTIONS OF EMPLOYERS AND EMPLOYED CONTRIBUTORS.

In Ordinary Cases.

To be paid by the employer	-	-	-	4½d. a week.
To be paid by the contributor	{	men	-	4½d. a week.
		women	-	4d. a week.

*In the case of Low-Wage Earners.*2ND SCH.
—cont.

In the case of employed contributors of either sex, of the age of eighteen or upwards, whose remuneration does not include the provision of board and lodging by their employer, and the rate of whose remuneration does not exceed 4s. a working day, the following shall be the rates of contribution :—

- (1) Where the rate of remuneration does not exceed 3s. a working day—

To be paid by the employer { for men 9d. a week.
for women 8½d. a week.

- (2) Where the rate of remuneration exceeds 3s. but does not exceed 4s. a working day—

To be paid by the employer - - 5½d. a week.
To be paid by the contri- { men - 3½d. a week.
butor - - - { women - 3d. a week.

PART II.

POWER TO APPLY PROVISIONS AS TO LOW-WAGE
EARNERS TO SPECIAL CASES.

Where it appears to the Minister that the persons employed by any employer or group of employers in any class or classes of work are in general in receipt of a rate of remuneration which, although liable to fluctuation, is normally within either of the limits of remuneration referred to in Part I of this Schedule, the Minister may by special order declare that all the persons employed by that employer or group of employers in that class or those classes of work shall, for the purposes of this Act, but subject to any exceptions contained in the order, be treated as if they were constantly in receipt of the normal rate of remuneration, notwithstanding that those persons or any of them may in any week in fact receive a higher or lower rate of remuneration.

THIRD SCHEDULE.

Sections 32,
104 (5).

ADDITIONAL BENEFITS.

1. An increase of sickness benefit and disablement benefit.
2. The payment of sickness benefit from the first day of incapacity.
3. An increase of maternity benefit.

3RD SCH.
—cont.

4. Allowances to a member during convalescence from some disease or disablement.

5. Payments to or on behalf of members who are in want or distress.

6. Payments to members not allowed to attend work on account of infection.

7. Repayment of the whole or any part of contributions payable under this Act by members of the society or any class thereof.

8. The payment of the whole or any part of the cost of medical or surgical advice or treatment by any medical practitioner, not being advice or treatment within the scope of any other additional benefit or of medical benefit, under a special scheme approved by the Minister for the purpose.

9. The payment of the whole or any part of the cost of the provision of dental treatment.

10. Payments to hospitals in respect of the maintenance and treatment therein of members, and the payment of the whole or any part of the travelling expenses incurred by or in respect of members in travelling to and from hospitals.

11. The payment of the whole or any part of the cost of maintenance and treatment of members in convalescent homes, and the payment of the whole or any part of the travelling expenses incurred by or in respect of members in travelling to and from convalescent homes.

12. The provision of premises suitable for convalescent homes and the maintenance of such homes.

13. The payment of the whole or any part of the cost of medical and surgical appliances, other than dental and optical appliances and those provided as part of medical benefit.

14. The payment of the whole or any part of the cost of the provision of ophthalmic treatment (other than as provided as part of medical benefit) and the whole or any part of the cost of optical appliances.

15. The payment of the whole or any part of the cost of the provision of nurses for members.

16. Payments to approved charitable institutions in respect of any treatment of members required for the prevention or cure of disease, not being treatment within the scope of any other additional benefit or of medical benefit.

17. Such other additional benefits, being of a character similar to that of any of those hereinbefore mentioned, as may be prescribed.

FOURTH SCHEDULE.

Sections 102
(1), 117 (2),
192, 206 (2).

ACCOUNTS OF INSURANCE COMMITTEES.**PART I.****ENGLAND AND WALES.**

1. If it appears to any auditor to whom the accounts of an insurance committee (including the accounts of any officer or servant of the committee) have been submitted under this Act, that any item of account is contrary to law, or that any money or income which ought to have been brought into account has not been so brought into account, the auditor shall disallow the item of account and shall surcharge the amount of any unlawful payment or expenditure, or of any loss or deficiency, upon any member, officer or servant of the committee or other person by whose negligence or wrongful act that payment or expenditure has been made or authorised or that loss or deficiency has been incurred :

Provided that no item of account sanctioned by the Minister shall be disallowed or surcharged by the auditor,

2. Any insurance committee or person aggrieved by any disallowance or surcharge may, within thirty days after the date of the auditor's certificate, or within such further period as the Minister may (on special cause shown, and subject to such conditions as he may determine) allow, appeal to the Minister whose decision shall be final, and the procedure on appeal shall be such as may be prescribed :

Provided that the Minister may at any stage of the proceedings on appeal, and shall, if so directed by the High Court, state in the form of a special case for the opinion of the court any question of law arising in the course of the appeal.

3. The Minister, in considering whether any item of account should be sanctioned, or in determining any appeal under this Schedule, may, if he is of opinion that any disallowance or surcharge has been or would be lawfully made, but that in the circumstances of the case it is equitable that the disallowance or surcharge should not be made, sanction the item of account and remit the disallowance or surcharge :

Provided that, where the item of account or expenditure relates in whole or in part to moneys for the application of which provision is made by scheme, vote or regulation, the Minister shall have regard to the terms of that scheme, vote or regulation.

4. In any case in which an appeal has been made to the Minister the auditor may re-open the audit for the purpose of giving effect to the decision of the Minister.

4TH SCH.
—cont.

5. Any sum surcharged by the auditor or any balance certified by him to be due, shall be paid to the Minister by the person who is surcharged or from whom the balance is certified to be due within thirty days after the date of the auditor's certificate, or, if an appeal is lodged and the amount surcharged or certified to be due is not remitted, within thirty days after the date of the decision of the Minister, and if not paid within the time aforesaid may be recovered by the Minister summarily as a civil debt; and the costs of any proceedings for the recovery of any such sum so far as not recovered from the person surcharged shall be charged to the insurance committee.

On any proceedings for the recovery of such a sum a certificate purporting to be signed by an auditor appointed under this Act shall be conclusive evidence of the facts certified.

6. Any person who knowingly re-charges to the funds of an insurance committee any sum which has been disallowed by the auditor and has not been allowed by the Minister on appeal, shall be liable on summary conviction to a fine not exceeding three times the amount of the sum so re-charged.

Section 192
(5).

PART II.

SCOTLAND.

1. If it appears to any auditor to whom the accounts of any insurance committee in Scotland (including the accounts of any officer or servant of the committee) have been submitted under this Act that any item of account is contrary to law, or that any money or income which ought to have been, is not brought into account, the auditor shall by an interim report under his hand, report thereon to the Department of Health setting forth the grounds of his opinion as aforesaid; and the Department shall cause such interim report to be intimated to the committee or person affected thereby; and after such enquiry as the Department think fit they shall decide all questions raised by such interim report, and shall disallow all unlawful items of account and shall surcharge the amount of any unlawful payment or expenditure or of any loss or deficiency, upon any member, officer or servant of the committee or other person by whose negligence or wrongful act that payment or expenditure has been made or authorised or that loss or deficiency has been incurred:

Provided that no such interim report shall be made with respect to any item of account sanctioned by the Department.

2. If the Department are of opinion that any disallowance or surcharge might lawfully be made, but that in the circumstances of the case it is equitable that the disallowance or surcharge should not be made, they may abstain from making the same:

Provided that, where the payment or expenditure relates in whole or in part to moneys for the application of which provision

is made by scheme, vote or regulation, the Department shall have regard to the terms of that scheme, vote or regulation.

4TH SCH.
—cont.

3. Every sum determined by the Department under the provisions hereof to be due from any person shall be paid by such person to the Department within thirty days after such determination has been intimated to him, and if such sum is not so paid the Department may recover the same as a civil debt; and the costs of any proceedings for the recovery of any such sum so far as not recovered from the person surcharged shall be charged to the insurance committee.

On any such proceedings a certificate purporting to be signed by the Secretary of the Department or some person authorised by the Department to act on behalf of the Secretary shall be conclusive evidence of the facts certified.

4. Any person who knowingly recharges to the funds of an insurance committee any sum which has been disallowed by the Department under the provisions hereof shall be liable on summary conviction to a fine not exceeding three times the amount of the sum so recharged.

FIFTH SCHEDULE.

Section 167
(3).

PROVISIONS OF ACT AUTHORISING REGULATIONS IN RESPECT OF WHICH SPECIAL POWERS ARE GIVEN.

Section of Act.

Section 13 (3)	- Administration of medical treatment and attendance.
Section 43 (a)	- Issue of certificates by medical practitioners.
Section 64 (4)	- Persons of unsound mind.
Section 83 (2)	- Withdrawal of approval.
Section 84 (2)	- Dissolution of societies.
Section 85 -	- Amalgamation, transfer of engagements, &c., of societies.
Section 86 (1)	- Secessions, expulsions, and dissolution, &c. of branches.
Section 118 (1)	- Provision of funds for insurance committees.
Section 122 (2)	- Deposit contributors.
Section 131 (2)	- Navy, Army and Air Force Insurance Fund.
Section 131 (4)	- Persons of unsound mind entitled to benefits out of the Navy, Army and Air Force Insurance Fund.
Section 146 (8)	- Crediting, variation and cancellation of reserve values.
Section 180 (2)	- Provisions as to death certificates.

Section 228.

SIXTH SCHEDULE.

PART I.

ENACTMENTS REPEALED.

Session and Chapter, or Year and Number of Order.	Short Title.	Extent of Repeal.
1 & 2 Geo. 5. c. 55.	The National Insurance Act, 1911.	Sections seventy-two and seventy-three.
3 & 4 Geo. 5. c. 37.	The National Insurance Act, 1913.	Section one.
10 & 11 Geo. 5. c. 10.	The National Health Insurance Act, 1920.	The whole Act.
12 & 13 Geo. 5. c. 38.	The National Health Insurance Act, 1922.	The whole Act.
14 & 15 Geo. 5. c. 38.	The National Health Insurance Act, 1924.	The whole Act.
15 & 16 Geo. 5. c. 70.	The Widows', Orphans' and Old Age Contributory Pensions Act, 1925.	Paragraph (b) of subsection (2) of section nine; section thirteen; subsection (5) of section fourteen, other than the proviso to that subsection; subsection (5) of section fifteen; sections thirty-seven and thirty-eight; subsection (6) of section forty-five; and the Fourth Schedule.
16 & 17 Geo. 5. c. 9.	The Economy (Miscellaneous Provisions) Act, 1926.	Part I; the First Schedule.
18 & 19 Geo. 5. c. 14.	The National Health Insurance Act, 1928.	The whole Act.
20 & 21 Geo. 5. c. 10.	The Widows', Orphans' and Old Age Contributory Pensions Act, 1929.	Subsection (4) of section three; subsections (1) and (2) of section nine; section twenty-one; section twenty-five.

6TH SCH.
—cont.

Session and Chapter, or Year and Number of Order.	Short Title.	Extent of Repeal.
S.R. & O. 1929, No. 79.	The National Health Insurance (Extension of Enactments to Northern Ireland) Order, 1929.	The whole Order.
21 & 22 Geo. 5. c. 5.	The National Health Insurance (Prolongation of Insurance) Act, 1930.	The whole Act.
22 & 23 Geo. 5. c. 6.	The National Health Insurance (Prolongation of Insurance) Act, 1931.	The whole Act.
S.R. & O. 1931, No. 813.	The National Economy (National Health Insurance) Order, 1931.	Article four.
22 & 23 Geo. 5. c. 52.	The National Health Insurance and Contributory Pensions Act, 1932.	The whole Act except section ten.
23 & 24 Geo. 5. c. 33.	The Metropolitan Police Act, 1933.	Subsection (3) of section four so far as that subsection relates to national health insurance; paragraph 1 of the Schedule.
25 & 26 Geo. 5. c. 44.	The National Health Insurance and Contributory Pensions Act, 1935.	Sections one to fifteen; section twenty-two; subsections (1), (2) and (3) of section twenty-three; the First Schedule.
S.R. & O. 1936, No. 177.	The National Health Insurance (Extension of Enactments to Northern Ireland) Order, 1936.	The whole Order.

PART II.

NORTHERN IRELAND ENACTMENTS REPEALED.

12 & 13 Geo. 5. c. 15.	The National Health Insurance Act (Northern Ireland), 1922.	The whole Act.
14 & 15 Geo. 5. c. 16.	The National Health Insurance Act (Northern Ireland), 1924.	The whole Act.
14 & 15 Geo. 5. c. 27.	The Illegitimate Children (Affiliation Orders) Act (Northern Ireland), 1924.	Subsection (4) of section one.

6TH SCH.
—cont.

Session and Chapter, or Year and Number of Order.	Short Title.	Extent of Repeal.
15 & 16 Geo. 5. c. 17.	The Government Loans and Exchequer Provisions Act (Northern Ireland), 1925.	Section fourteen.
15 & 16 Geo. 5. c. 23.	The Widows', Orphans' and Old Age Contributory Pensions Act (Northern Ireland), 1925.	Paragraph (b) of subsection (2) of section nine; section thirteen; subsection (5) of section fourteen other than the proviso to that subsection; subsection (5) of section fifteen; sections thirty-seven and thirty-eight; the Fourth Schedule, so far as unrepealed.
16 & 17 Geo. 5. c. 11.	The Economy (Exchequer Relief) Act (Northern Ireland), 1926.	Part I; the First Schedule.
18 & 19 Geo. 5. c. 11.	The National Health Insurance Act (Northern Ireland), 1928.	The whole Act, so far as unrepealed.
S.R. & O. (N.I.), 1928, No. 122.	The National Health Insurance (Extension of Enactments) Order (Northern Ireland), 1928.	The whole Order.
20 Geo. 5. c. 17	The Widows', Orphans' and Old Age Contributory Pensions Act (Northern Ireland), 1929.	Subsection (4) of section three; subsections (1) and (2) of section nine; subsection (2) of section twenty, so far as it relates to the National Health Insurance Act, 1924; sections twenty-one and twenty-five.
20 & 21 Geo. 5. c. 13.	The National Health Insurance Act (Northern Ireland), 1930.	The whole Act, except section thirteen.
21 & 22 Geo. 5. c. 6.	The National Health Insurance Act (Northern Ireland), 1931.	The whole Act.

6TH SCH.
—cont.

Session and Chapter, or Year and Number of Order.	Short Title.	Extent of Repeal.
21 & 22 Geo. 5. c. 11.	The Economy Act (Northern Ireland), 1931.	So far as the Act relates to national health insurance.
S.R.&O.(N.I.), 1931, No. 152.	The Economy (National Health Insurance) Order (Northern Ireland), 1931.	Article four.
21 & 22 Geo. 5. c. 23.	The National Health Insurance (No. 2) Act (Northern Ireland), 1931.	The whole Act.
22 & 23 Geo. 5. c. 12.	The National Health Insurance and Contributory Pensions Act (Northern Ireland), 1932.	The whole Act so far as it relates to national health insurance.
S.R.&O.(N.I.), 1932, No. 88.	The National Health Insurance and Contributory Pensions (Enactments) Order (Northern Ireland), 1932.	Paragraphs (a), (b) and (d) of Article two; Article three.
25 & 26 Geo. 5. c. 14.	The National Health Insurance and Contributory Pensions Act (Northern Ireland), 1935.	Section one so far as it relates to national health insurance; sections two and three; subsection (2) of section six and subsection (4) of that section, so far as it relates to national health insurance.
S.R.&O.(N.I.), 1935, No. 100.	The National Health Insurance and Contributory Pensions (Enactments) Order (Northern Ireland), 1935.	Paragraphs (b), (c), (d) and (e), and, so far as it relates to national health insurance, paragraph (h), of Article two.